

2016

Barclays Bank of Kenya
Integrated Report 2016



We're FiRed up



Overall winner,
East African
listed companies

Overall winner,
Banking Category
Kenya

Overall winner,
East Africa

Winner, best
International
Financial
Reporting
Standards

Overall winner,
best Corporate
Governance

Best Company,
Kenya

FiRe is East Africa's most prestigious financial reporting awards. We are proud to have been the recipient of six accolades, including the overall winner, demonstrating our commitment to upholding the integrity of financial reporting and governance. Many thanks to our loyal clients without whom we could not have reached this achievement.

Achieve together. **Prosper.**

Scope of this report

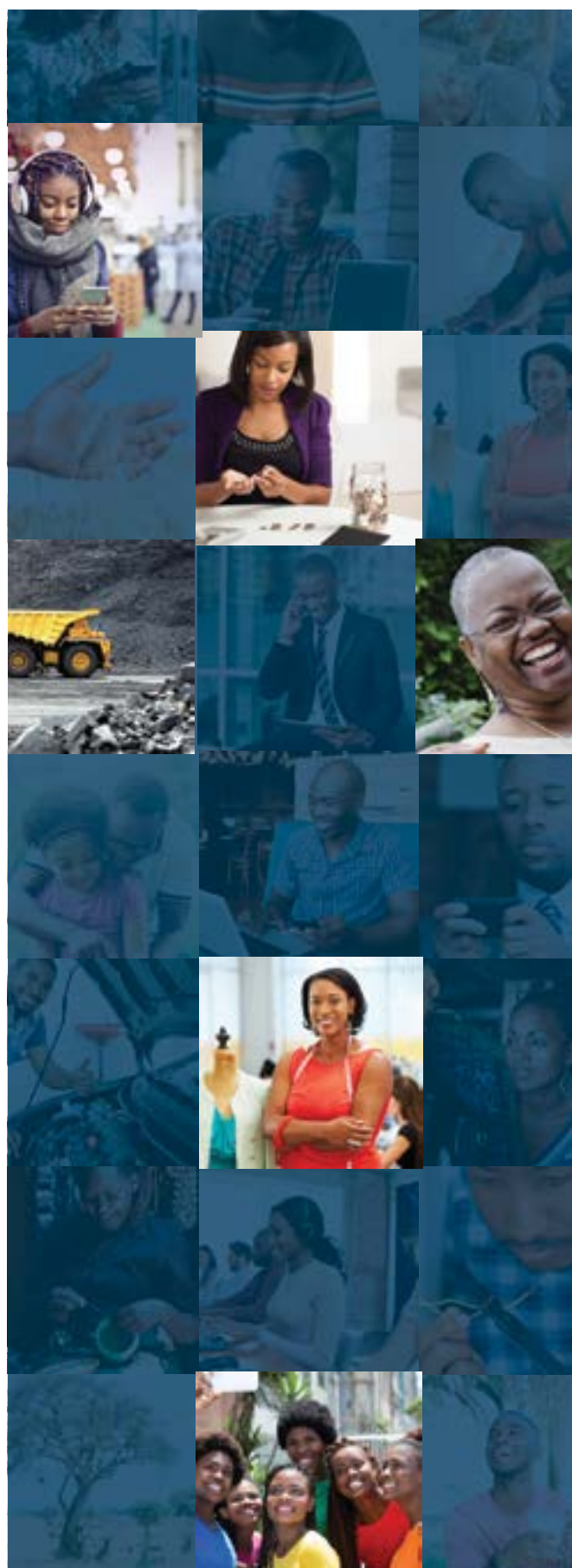
The full set of documents is available on
www.barclays.co.ke

This report covers the period from 1 January to 31 December 2016. As a company incorporated in Kenya and listed on the Nairobi Securities Exchange, our focus in this report is on meeting Kenyan regulatory requirements. These include Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya, the Corporate Governance Guidelines of the Capital Markets Authority (CMA) and the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange.

Furthermore, as this report represents our effort towards meeting the international integrated reporting standards of the International Integrated Reporting Council (IIRC) and Global Reporting Initiative (GRI), we have incorporated as many of these considerations as possible. We estimate that compliance with these additional standards, which are voluntary at this stage in Kenya, will be met in the near future.

“Certain statements (words such as ‘anticipates’, ‘estimates’, ‘expects’, ‘projects’, ‘believes’, ‘intends’, ‘plans’, ‘may’, ‘will’, and ‘should’ and similar expressions in this document are forward-looking. These relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Barclays Bank of Kenya Limited and our subsidiaries (BBK Group). These statements are not guarantees of future operating, financial or other results and involve certain risks, uncertainties and assumptions and so actual results and outcomes may differ materially from those expressed or implied by such statements. We make no express or implied representation or warranty that the results we anticipated by such forward-looking statements will be achieved. These statements represent one of many possible scenarios and should not be viewed as the most likely or standard scenario. We are not obligated to update the historical information or forward-looking statements in this document”.

Barclays Bank of Kenya is regulated by Central Bank of Kenya



Contents

Our Company

About this report	4
Barclays Bank of Kenya at a glance	5
Our Structure	6
2016 Highlights	7
Our Achievements	8
Five-year group review	10
A word from the Chairman	11
Managing Director's message	15

Our Business

Our value creation process	20
Our value added statement 2016	21
Value Created (Shs 'million)	21
Our material issues	22
Our Stakeholders	23
Our Board of Directors	24
Board of Directors profiles	26
Country Management Committee	30
Our business model	32
Integrated planning to create sustainable value	34
Segment profiles	36

Our Strategy

Laying the foundation	38
Our strategic drivers for 2016	38
Balanced scorecard review	39

Our Performance

Operating Environment Review	54
Chief Financial Officer's Report on Financial Performance	56
Risk Management Overview	58
Segment reviews	62
Retail and Business Banking	63
Corporate Banking	65
Markets	66

Corporate Governance Statement

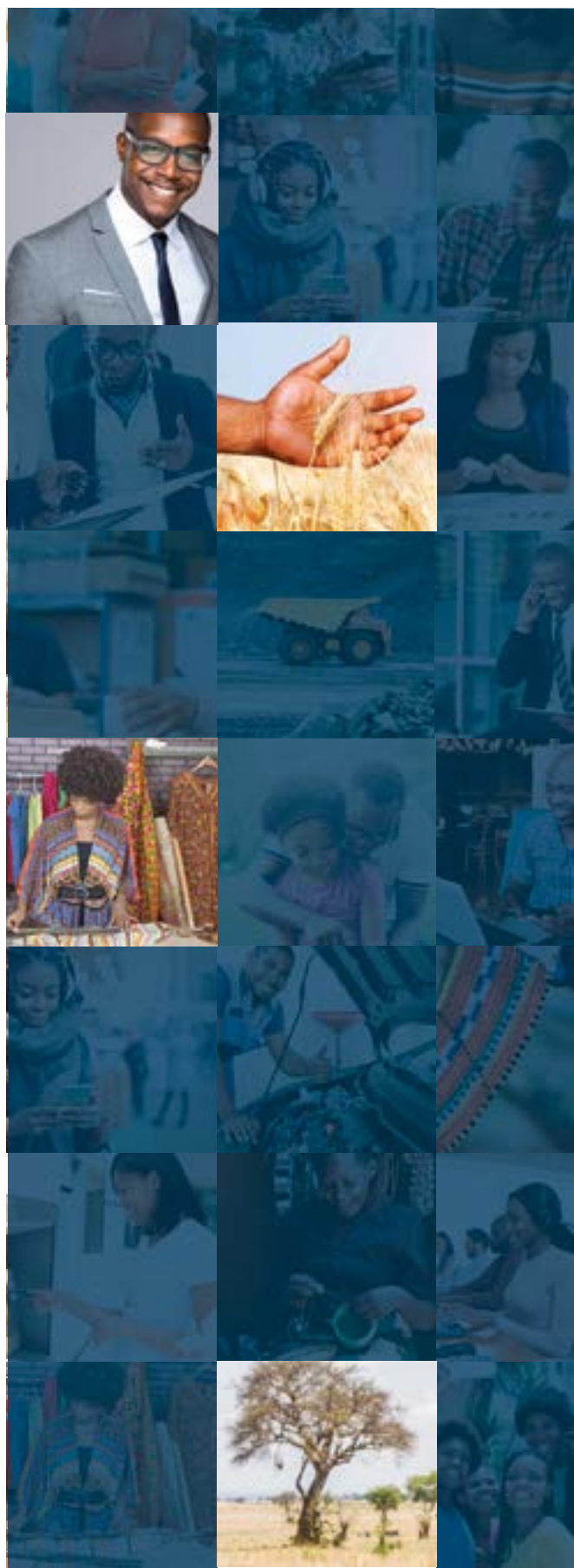
Chairman's Report on Corporate Governance	68
Report from the Chairperson of the Board Audit & Risk Committee	74
Report from the Chairperson of the Board Credit Committee	76
Report from the Chairperson of the Board Corporate Governance and Nominations Committee	77

Financial Review

Directors' Responsibilities and Approval	81
Directors' Report	82
Statement of Directors' Responsibilities	84
Independent Auditor's report	85
Consolidated Statement of Comprehensive Income	89
Bank Statement of Comprehensive Income	90
Consolidated Statement of Financial Position	91
Bank Statement of Financial Position	92
Consolidated Statement of Changes in Equity	93
Bank Statement of Changes in Equity	94
Consolidated Statement of Cash Flows	95
Bank Statement of Cash Flows	96
Summary of Accounting Policies	97
Notes to the consolidated annual financial statements	108

Shareholder Information

Notice of the Annual General Meeting	160
Notes	161
Proxy Form	162
Fomu ya Uwakilishi	163
Company Information	164



Our Company

About this report	4
Barclays Bank of Kenya at a glance	5
Our Structure	6
2016 Highlights	7
Our Achievements	8
Five-year group review	10
A word from the Chairman	11
Managing Director's message	15

About this report

Introducing our 2016 report

We are proud to present our integrated report for the year ended 31 December 2016, as proposed by the International Integrated Reporting Council (IIRC). The objective is to provide readers with a report that connects, on a streamlined basis, our organization's most relevant information that aligns with our strategy. Our intention is to showcase our deliberate actions in positioning Barclays Bank as the preferred financial services provider in Kenya and to achieve our purpose: to help people achieve their ambitions - in the right way. This is underpinned by our values – Respect, Integrity, Service, Excellence and Stewardship – which are at the core of everything that we do. The material issues identified in this report consider our operating environment, current performance and stakeholder feedback and are interrogated through the five Cs – Customer, Colleagues, Citizenship, Conduct and Company.

Where applicable the contents of this report has been reviewed for consistency with the audited financial statements of the Bank.

In the Background section, we highlight our corporate culture and outlook based on our strategic focus and our operating environment in Kenya.

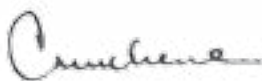
In the Business segment, we present the flow of our operations and highlight how we create value. We also show the teams that lead our business towards sustainable growth.

In the Strategy segment, we present our performance against our material issues in detail. We also use performance indicators to make understanding these 5 Cs an easier task.

In the Performance segment, we showcase the financial performance of the business as a whole and the different business units of the Bank. We also give in detail the Bank's approach to effective risk management.

At the end of this report, we highlight our corporate governance that ensures the sustainability of our business as well as the presentation of the audited financial statements.

Reporting is an ongoing process and we encourage readers to share their feedback on the matters covered in this report through our website www.barclays.co.ke.

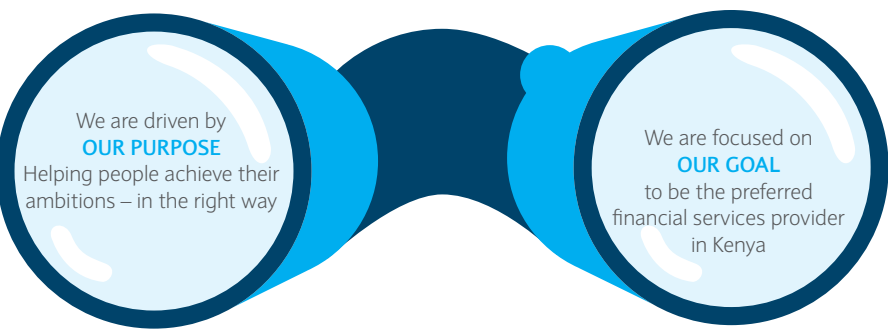


Charles Muchene
Chairman



Jeremy Awori
Managing Director

Barclays Bank of Kenya at a glance



Our VALUES define the way we think, work and act:	
Respect	We value those we work with – our colleagues and other stakeholders.
Integrity	We act honestly, ethically and fairly.
Service	We ensure our customers are always uppermost in our minds.
Excellence	We use our energy, skills and resources to deliver great service and outstanding sustainable results.
Stewardship	We are determined to leave things better than we found them.

Our Strategic Pillars

Our outcome statements help us focus on what being the preferred financial services provider means for each of our stakeholders.

Customers: We are the Bank of choice for our customers.

Colleagues: Our colleagues are fully engaged. We create a diverse and inclusive environment where they can fulfil their potential.

Citizenship: We have a positive impact on the communities in which we operate.

Conduct: Our products and services are designed and distributed to meet our customers' needs. We act with integrity in everything we do.

Company: We create sustainable returns above the cost of equity. We understand and effectively manage risk and continuously improve controls.

Our footprint

833,268 customers

121 branches

214 ATMs including 54 iATMs and Deposit taking ATMs

2,591 employees

The services we provide

Retail Banking

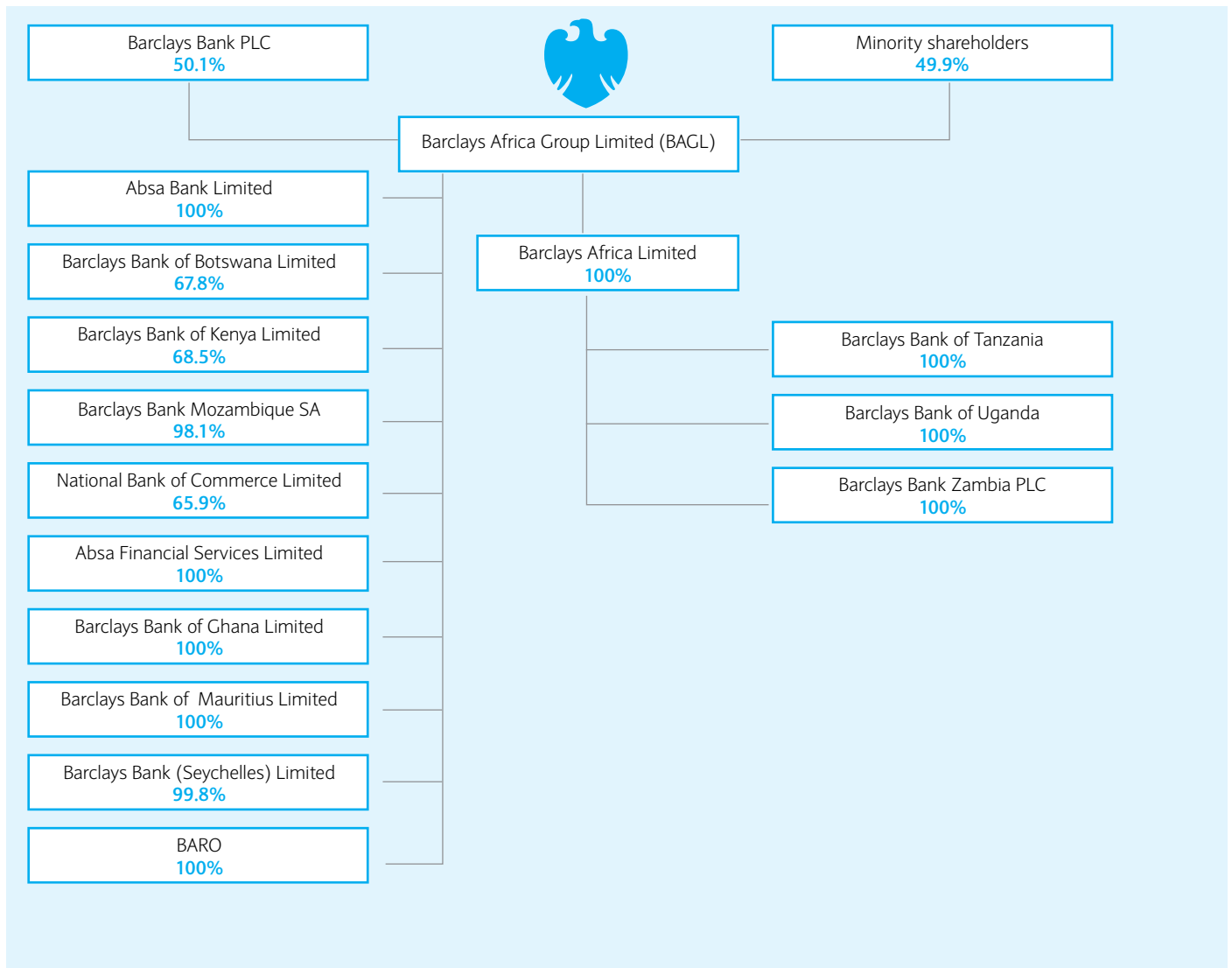
Business Banking

Corporate and Investment Banking

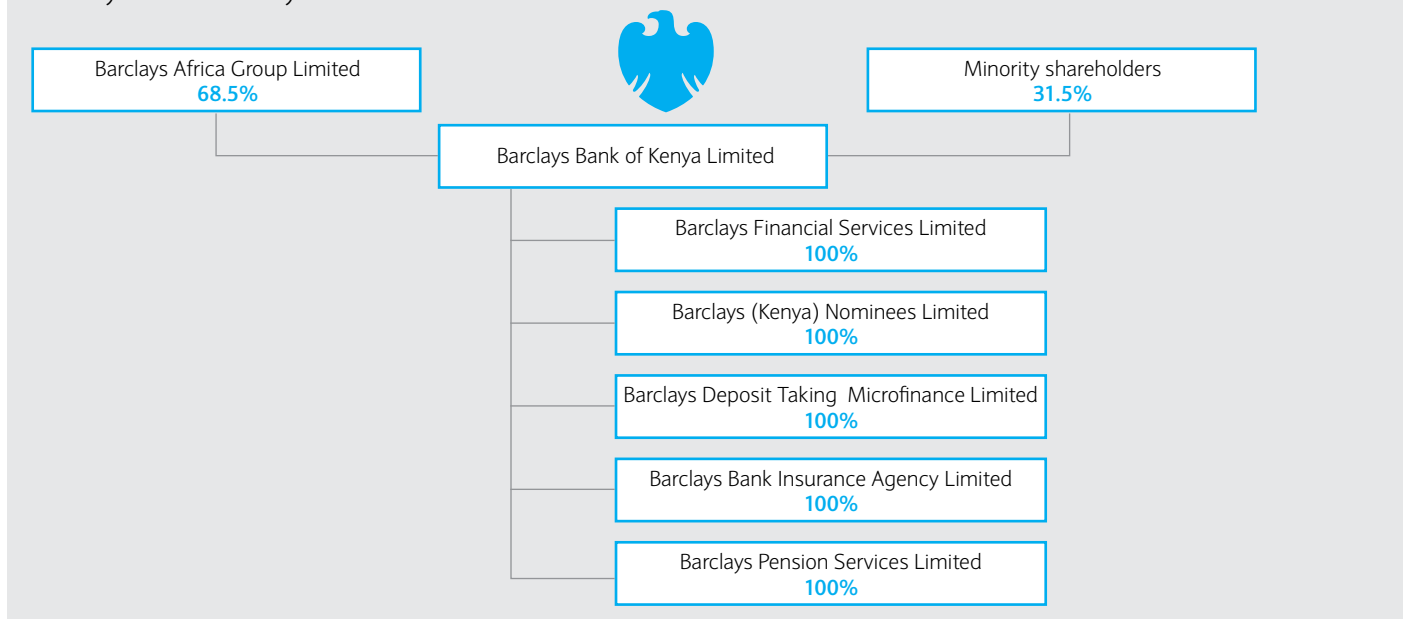
Money markets

Our Structure

Barclays PLC / Barclays Africa Group Limited (BAGL) Overall Structure



Barclays Bank of Kenya Structure



2016 Highlights



Customers

- Launched mobile point of sale and Deposita cash management solution
- Launched agency banking in partnership with Postal Corporation of Kenya
- 832,640 retail and business banking customers; 628 corporate customers
- Customer Experience Score of 75%
- First point of contact complaints resolution of 80%
- Shs 3 billion availed in loans under Wezesha Biashara to Kenya's Small and Medium Enterprises (SMEs)



Citizenship

- Shs 31 million in social capital investments
- ReadytoWork avails a free online learning platform that cascades work, entrepreneurial, money and people skills to the youth in colleges and universities that readies them to transition into the job market
- SheTradesKE in partnership with International Trade Centre targeting to build capacity amongst 10,000 women in the SME sector by 2020.
- Shs 90 million in total investment towards Barclays Kenya Open 2016
- Partnered with the British High Commission to host the United Kingdom-Kenya Renewable Energy Conference (REC 100)
- Shs 3 million sponsorship towards Nairobi Innovation Week with the University of Nairobi



Company

- Shs 27.4 billion interest income
- Shs 31.7 billion total income
- Shs 10.9 billion profit before tax
- Shs 259.7 billion total assets
- Shs 178.2 billion customer deposits
- Shs 175.7 billion loans and advance
- 17.5% return on equity
- 53% cost-to-income ratio
- 95% loan to deposit ratio
- 15.7 % core capital ratio
- 3.1% return on risk weighted assets
- Shs 1 ordinary dividend per share



Colleagues

- 2,591 employees
- Shs 57 million spent on training programmes
- First and only Board in Kenya with 50:50 gender ratio



Conduct

- 20 compliance trainings carried out in 2016
- Over 40 Compliance and Monitoring assessments done in the year
- Integrated conduct risk into our enterprise risk management framework.
- Supported the socio-economic agenda relating to consumer protection and responsible market conduct and lending.
- Continued strengthening measures to counter money laundering, terrorist financing, bribery and corruption.

Our Achievements



We are proud to have been the recipient of six accolades, including the overall winner, demonstrating our commitment to upholding the integrity of financial reporting and governance. Many thanks to our loyal clients without whom we could not have reached this achievement.



Best bank in Corporate Banking Award in 2016



Best Retail bank in Kenya 2016

Five-year group review

	2012 Sh Millions	2013 Sh Millions	2014 Sh Millions	2015 Sh Millions	2016 Sh Millions
Consolidated Statement of Profit or Loss					
Interest income	21 041	21 297	22 941	25 286	27 434
Interest expense	(2 896)	(2 437)	(3 337)	(4 875)	(5 100)
Net Interest Income	18 145	18 860	19 604	20 411	22 334
Non interest income	9 279	9 062	8 684	9 051	9 349
Total Income	27 424	27 922	28 288	29 462	31 683
Operating expenses	(14 260)	(15 565)	(14 590)	(15 622)	(16 904)
Impairment on loans and advances	(144)	(1 223)	(1 405)	(1 766)	(3 927)
Profit before tax	13 020	11 134	12 293	12 074	10 852
Income tax expense	(4 279)	(3 511)	(3 906)	(3 673)	(3 453)
Profit after taxation	8 741	7 623	8 387	8 401	7 399
Earnings per Share	1.61	1.40	1.54	1.55	1.36
Dividends per Share	1.00	0.70	1.00	1.00	1.00
Dividend Payout Ratio	62%	50%	65%	65%	73%
Consolidated Statement of Financial Position					
Assets					
Loans and advances to customers (Gross)	106 973	121 504	128 991	150 293	175 676
Impairment losses on loans and advances	(2 769)	(3 142)	(3 568)	(4 455)	(7 166)
Net loans and advances	104 204	118 362	125 423	145 838	168 510
Cash and balances with Central Bank of Kenya	16 486	16 908	24 568	18 180	13 378
Government securities	47 536	47 559	57 118	47 508	56 044
Property and equipment	2 667	2 786	2 847	3 258	3 081
Other assets	13 933	21 124	15 885	26 093	18 705
Total assets	184 826	206 739	225 841	240 877	259 718
Liabilities					
Customer deposits	137 915	151 125	164 504	165 083	178 180
Other liabilities	17 324	23 242	22 982	36 078	39 150
Total Liabilities	155 239	174 367	187 486	201 161	217 330
Net Assets	29 585	32 372	38 355	39 716	42 388
Shareholders' Funds	29 585	32 372	38 355	39 716	42 388
Key Performance Ratios:					
Return on equity	29.5%	23.5%	22.0%	21.2%	17.5%
Cost income ratio	52%	56%	52%	53%	53%
Loan loss rate	0.14%	1.03%	1.12%	1.21%	2.33%
Balance Sheet Ratios:					
Net advances to deposits (%)	76%	78%	75%	88%	95%
Impairment allowances/Classified debt	77.5%	92.2%	81.7%	83.9%	81.6%
Classified debt/Gross advances	3.3%	2.8%	3.4%	3.5%	4.8%
Others					
Number of Employees	3 072	2 815	2 802	2 762	2 591
Number of lead generators (Direct sales representatives)	997	996	1 095	1 037	870
Number of Branches/Outlets	119	119	119	119	121

A word from the Chairman

CHARLES MUCHENE

CHAIRMAN, BOARD OF DIRECTORS, BARCLAYS BANK OF KENYA

Introduction

As we celebrate the end of the Bank's first century in Kenya, we look back with satisfaction and pride at the relationships we have built, the lives we have touched and in the process, the strong, resilient and reputable institution we have become that is woven into the very fabric of Kenya's social and business community. As a Bank we have maintained strong fundamentals with a solid capital base and liquidity ratios, clear governance structures and sound business practices that have guaranteed our ability to consistently deliver value to all our stakeholders.

We remain committed to this market with an ultimate objective of delivering excellent services to our customers and value to our other stakeholders. As a part of the wider Barclays Africa Group, we combine our deep local knowledge with our international reach to provide our customers with the broader outreach and creating new opportunities through which they can prosper.

I am both excited and honoured to have been elected as chairman of this great institution. I am particularly fortunate to have succeeded Mr Francis Okomo-Okello in the role. Francis has served the Bank with distinction, and led the Board superbly in his unique and eloquent style. I would therefore like to thank him on behalf of the entire Board and shareholders for his enthusiasm, expertise, and dedication to the Bank.

I take on this role at a time when we are arguably facing one of the most exciting phases of our journey as an integrated financial services provider in Kenya. Advancements in financial technology and indeed innovation in general are changing the way our stakeholders are interacting with our brand thus calling on us to constantly review our business strategy and model.

Our Context

2016 was equally challenging and exciting for the entire financial services industry, especially the banking sector. The sector experienced a challenging operating environment with significant regulatory changes and industry shake-ups that have caused banks to rethink their strategies and review their operating models.

Trust is the solemn bond between a bank and its customer and once that is undermined, everything built upon that will quickly unravel. The banking sector witnessed three commercial banks face real financial distress which started in late 2015 and ran into early 2016 resulting in closures. These events caused an erosion of customer confidence in the country's banking industry. The main pain point was that these closures were unanticipated and very rapid, catching most customers and other stakeholders' off-guard. The timely interventions and cautionary measures implemented by the Central Bank of Kenya are increasingly restoring customer confidence in the sector. We welcome the increased oversight as it will encourage stricter adherence to good corporate governance and ethical business practices.

In September, the Banking Amendment Act 2015 came into effect introducing caps on interest rates charged on loans and paid on interest bearing deposits. In the year, we also experienced tightening of the economy with a slow-down in business due to diminishing private sector credit growth and job cuts across most sectors of the economy. This was a huge concern for our line of business as it automatically results in loan defaults.



A word from the Chairman (*continued*)

The announcement on the divestiture of Barclays PLC from Barclays Africa group in March 2016 is part and parcel of normal business and investment actions in a dynamic and an increasingly integrated business world. Over the 100 years of operation, we have made numerous changes in the way we operate and engage with our customers. Throughout these changes, we have remained agile and adaptable, served our customers with increased passion and zeal and continuously embedded ourselves in the Kenyan society by developing home grown solutions that are relevant to our customers. Thus, notwithstanding divestiture plans by Barclays PLC, it is business as usual and we are very optimistic about the opportunities that the next phase of our journey offers us as part of the Barclays Africa Group Limited. We are also confident that the strong foundation that we have built over the years will support the Bank's continued growth into the next 100 years here in Kenya.

Corporate Governance

The Board continued to steer the embedment of good corporate governance principles through the entrenchment of value driven corporate governance culture throughout the organisation. We also laid special emphasis on conformity to internal controls which cover financial, operational, compliance, technology controls, as well as risk management policies and systems. We continue to work closely with our regulators to ensure that our internal governance standards meet the expectations of the Central Bank of Kenya's Prudential Guidelines 2013 and Capital Markets Authority Code of Corporate Governance Practices for Issuers of Securities to the Public 2015.

Strategic progress

As a Board, we remained committed to executing the strategy that we had put in place for the Bank. The tough operating environment has proved that our strategy is the right choice for the Bank. The core of our strategy is to drive customer convenience at all points of our interactions. The strategy is achieved through the simplification of the products and services we offer. To deliver this, we have purposed ourselves to continue investing in this market with solutions that are relevant and more so, help our customers to prosper.

As a business, we hold special value for the communities in which we operate and which form an integral part of our existence. It is for this reason that under our Citizenship Agenda we continuously promote the essence of shared growth with our customers and the other stakeholders. We truly want our customers to prosper as we believe that it is only through their prosperity that the Bank can symbiotically continue to prosper as well.

As we head into 2017 and the second century of our existence as a business in Kenya, I am optimistic that better prospects await the Bank. With the professional and vibrant Board and the dynamic and energetic Management team in place, I am confident that the Bank will continue in its positive growth trajectory as it also continues to play a critical role in the overall development of the banking sector in Kenya and East African region.

Barclays PLC's sell-down of its shareholding in Barclays Africa

On 1 March 2016, Barclays PLC announced its intention to sell down its interest in Barclays Africa to a level which would permit deconsolidation from both regulatory and accounting perspectives. The first tranche of 12.2% of the Barclays Africa Group shares were successfully sold through an accelerated book build on 5 May 2016 – reducing its shareholding to 50.1%.

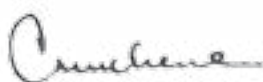
Barclays PLC continues to explore strategic and capital market opportunities to further reduce its shareholding to achieve regulatory deconsolidation. In that regard, it has submitted an application to the relevant authorities to approve the reduction of its shareholding in Barclays Africa to below 50%. The application included the terms of the separation payments and transitional services arrangements. This includes the contracts securing Barclays PLC's operational support for the next three years, while we implement new technologies and build additional capacity.

Regulators in all the markets where subsidiaries of Barclays Africa operate, including Kenya, are actively engaged with the management of Barclays Africa in the process of separating Barclays Africa from Barclays PLC. This to ensure there are no systemic implications, and to secure an orderly separation, with operational stability and continuity across the Group. Your board is also actively involved in ensuring that any potential impacts on Barclays Bank of Kenya of the changes taking place outside our market are anticipated and mitigated as necessary, and that our business is safeguarded.

Conclusion and appreciation

In conclusion I would like to take this opportunity to thank our shareholders, customers, and partners for their unwavering support of the Bank over the years. I also thank my fellow Directors for their consistent support and commitment to their roles on the Board and to the affairs of the Bank.

My deep appreciation goes to our employees and Management under the able leadership of Jeremy Awori for their diligent contribution and their invaluable role in executing our strategy.



Charles Muchene
Chairman

Taarifa ya Mwenyekiti

CHARLES MUCHENE
MWENYEKITI

Utangulizi

Huku tukisherehekea mwisho wa karne ya kwanza ya Benki hii nchini Kenya, tunaangazia yaliyopita katika hali ya kuridhika na fahari ya uhusiano tuliojenga, maisha tuliyoathiri kwa njia nzuri. Katika mchakato huo, tumekuwa taasisi imara, thabiti na yenye kuheshimika ambayo imekuwa sehemu ya maisha ya jamii ya Kenya kibiashara na kijamii.

Kama benki, tumedumisha misingi imara ya uwiano wa mtaji na pesa, mifumo iliyo wazi ya usimamizi na utendaji mzuri wa biashara ambao umehakikisha uwezo wetu wa kawaida wa kuwapa thamani wadau wetu wote.

Tungali tumejitolea katika soko hili tukiwa na lengo kuu la kutoa huduma bora zaidi kwa wateja wetu na kuwapa thamani wateja wetu wengine. Kama sehemu kubwa ya Barclays Africa Group tunashirikisha elimu yetu ya kina humu nchini na uhusiano wetu wa kimataifa ili kuwapa wateja wetu fursa zaidi na kubuni huduma mpya ili waweze kufanikiwa.

Nina furaha na ninajihisi nimetunukiwa sana kuchaguliwa kama mwenyekiti wa taasisi hii kubwa ya taadhima. Pia nina bahati sana kuweza kumrithi Bwana Francis Okomo-Okello kama mwenyekiti. Francis ameihudumia Benki hii kwa upekee na aliongoza Bodi vizuri sana katika mtindo wake wa ufasaha. Na hivyo ningependa kumshukuru kwa niaba ya Bodi nzima na wenyekiti kwa utaalamu wake na kujitolea kwake katika Benki hii.

Ninachukua jukumu hili wakati ambao ni wa awamu ya kuisimua zaidi wa safari yetu kama mtoaji huduma za pamoja za kifedha nchini Kenya. Kuimarika kwa teknolojia ya huduma za kifedha na ubunifu kwa ujumla kunabadilisha jinsi wadau wetu wanaingiliana na chapa yetu ya biashara na hivyo tunahitajika mara kwa mara kuangalia upya mkakati na mfumo wa biashara yetu.

Muktadha wetu

Mwaka wa 2016 pia ulikuwa ni wa changamoto na wa kufurahisha katika sekta yote ya huduma za kifedha, hasa sekta ya benki. Sekta hiyo ilikumbana na changamoto ya mazingira ya utendaji huku kukiwa na mabadiliko muhimu ya kanuni na msukumo ambao ulisababisha benki zifikirie upya mikakati yazo na mifumo ya kuendesha biashara zao.

Uaminifu ni dhamana ya dhiti kati ya benki na mteja wake na pindi utakapohujumiwa, kila kitu kilichotokana nao kitafumuka. Sekta ya benki ilishuhudia benki tatu zikikabiliwa na mporomoko wa kifedha ulioanza mwisho wa mwaka wa 2015 na kuendelea hadi mapema mwaka wa 2016 na kusababisha zifungwe.

Matukio hayo yalisababisha kupungua kwa imani ya wateja katika sekta ya benki humu nchini. Zaidi ni kuwa kufungwa kwa benki hizo hakukutarajiwa na kulifanyika haraka na kupata wateja wengi na wadau wengine wakiwa hawajaiandaa. Hatua zilizochukuliwa kwa wakati ufao na Benki Kuu ya Kenya zinaendelea kurejesha imani ya mteja katika sekta hii. Tunaunga mkono ongezeko la uangalizi kwani kutahimiza ushikiliaji wa usimamizi mzuri wa shirika na utendaji wa maadili ya biashara.

Katika mwezi wa Septemba, sheria ya benki iliyorekebisha ya mwaka wa 2015 (Banking Amendment Act 2015) ilianza kutekelezwa na kuanzisha udhibiti wa viwango vya riba ya mikopo na akiba. Katika mwaka huu pia tulishuhudia hali ngumu ya kiuchumi iliyotokana na kupungua kwa biashara kulikosababishwa na upungufu wa mikopo kwa sekta ya kibinafsi na kupunguzwa kwa nafasi za ajira katika sekta nyingi za uchumi. Hali hii ilizua hofu katika biashara yetu kwani moja kwa moja ilisababisha mikopo kutolipwa.



Taarifa ya Mwenyekiti *(kuendelea)*

Tangazo la kutenganisha Barclays PLC kutoka kwa Barclays Africa Group mwezi Machi mwaka wa 2016 ni sehemu ya hatua za kawaida za biashara na uwekezaji katika ulimwengu wa biashara unaozidi kuwa wa mchanganyiko na wenye kubadilika. Kwa zaidi ya miaka 100 ya biashara, tumefanya mabadiliko mengi kuhusu jinsi tunavyofanya shughuli na kujihusisha na wateja wetu. Katika mabadiliko hayo yote tumesalia kuwa wepesi wa kubadilika, tumewahudumia wateja wetu na hamu kubwa na tumeendelea kuwa ndani ya jamii ya Kenya kwa kuwa na ufumbuzi wa huduma wa humu nchini ambao uliwahusu/uliwaridhisha wateja wetu. Na hivyo, licha ya mipango ya kuuza hisa za Barclays PLC, ni biashara kama kawaida na tuna matumaini mengi kuhusu fursa zitakazotokana na awamu ijayo ya safari yetu kama sehemu ya kampuni ya Barclays Africa Group. Pia tuna imani kuwa msingi thabiti ambao tumeujenga kwa miaka mingi utasaidia ukuaji wa Benki unaoendelea katika miaka 100 ijayo hapa Kenya.

Usimamizi wa shirika

Bodi imeendelea kuongoza kanuni nzuri za usimamizi wa shirika kupitia kuanzisha utamaduni wa usimamizi unaoongozwa na thamani na maadili katika shirika lote. Pia tulikuwa na usisitizaji maalumu wa kutenda kufuatana na kanuni na sheria za udhibiti wa ndani ambao unashughulikia udhibiti wa kifedha, ufanyaji kazi, uridhikaji, teknolojia pamoja na sera na mifumo ya udhibiti wa hasara. Tunaendelea kushirikiana kwa karibu na wadhibiti wetu kuhakikisha kuwa viwango vyetu vya usimamizi wa ndani vinaafikiana na matarajio ya miongozo ya uangalifu ya mwaka wa 2013 ya Benki Kuu ya Kenya na Sheria ya mwaka wa 2015 ya mamlaka ya masoko ya mtaji kuhusu desturi za usimamizi wa shirika kwa ajili ya watoaji wa hisa kwa umma.

Maendeleo ya kimkakati

Kama Bodi tuliendelea kujitolea katika kutekeleza mkakati wa Benki tulioweka. Mazingira magumu ya kazi yamedhihirisha kuwa mkakati wetu ni chaguo sahihi kwa Benki. Kiini cha mkakati wetu ni kuwapa wateja wetu hali zinazofaa katika nyakati zote tunazokutana nao. Mkakati huo unaafikiwa kupitia urahisishaji wa bidhaa na huduma tunazotoa. Ili kutekeleza hilo, tumejitolea kuendelea kuwekeza katika soko hilo kwa kutoa huduma zinazofaa na hasa zaidi kuwasaidia wateja wetu kufanikiwa.

Kama biashara tunazijali sana jamii ambazo tunafanya kazi nazo ambazo ni sehemu kubwa ya kuwepo kwetu. Ni kwa sababu hiyo, chini ya Ajenda yetu ya Uraia tunaendelea kupigia debe umuhimu wa ukuaji wa pamoja na wateja wetu na wadau wengine. Kwa kweli kabisa tunataka wateja wetu wawe na ufanisi kwani tunaamini kuwa ni kupitia tu ufanisi wao ndiyo Benki inaweza pia kuwa na matarajio ya kuendelea kuwa na ufanisi.

Huku tukiingia mwaka wa 2017 na karne ya pili ya kuwepo kwetu kama biashara nchini Kenya, nina matumaini kuwa kuna matazamio mazuri yanayotusubiri. Huku kukiwa na Bodi yenye utaalamu na kusisimua, na usimamizi wenye bidii na unaobadilika, nina imani kuwa Benki itaendelea kukua huku ikiendelea kutekeleza jukumu lake muhimu katika ustawi wa nchi hii.

Uuzaji wa hisa za Barclays PLC katika Barclays Africa

Machi mosi 2016, Barclays PLC ilitangaza nia yake ya kupunguza hisa zake katika Barclays Africa katika kiwango ambacho kitaruhusu kupungua uzatiti katika mitazamo ya udhibiti na uhasibu. Fungu la kwanza la 12.2% la hisa za Barclays Africa Group liliuzwa vizuri kupitia uharakishaji wa kutafuta mtaji kwa kuuza hisa uliofanyika tarehe 5 Mei, 2016 - kulipunguza uenyehisa wake hadi 50.1%.

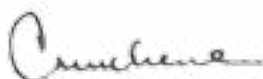
Barclays PLC inaendelea kuchungua fursa za kimkakati na soko la mtaji ili kuendelea kupunguza hisa zake na kufikia udhibiti wa kupunguza uzatiti wake. Kuhusiana na hayo, imewasilisha ombi kwa mamlaka husika ili kuidhinisha upunguzaji wa hisa zake katika Barclays Africa hadi chini ya 50%. Ombi hilo lilijumuisha masharti ya kutofautisha malipo na mipango ya huduma za mpito. Hii inajumuisha mikataba ya kuhifadhi usaidizi wa ufanyaji kazi wa Barclays PLC kwa miaka mitatu ijayo, huku tukitekeleza teknolojia mpya na kuboresha uwezo zaidi wa utendaji.

Wadhibiti katika masoko yote ambayo kampuni tanzu za Barclays Africa huhudumu ikiwemo Kenya, wanahusishwa kikamilifu na usimamizi wa Barclays Africa katika mchakato wa kutenganisha Barclays Africa na Barclays PLC. Hii itahakikisha kuwa hakuna hatari za utaratibu, na kufaulisha utengano uliopangwa vizuri huku kukiwa na uthabiti wa utendaji na uendeleu katika shirika (group) lote. Bodi yako pia inashiriki kikamilifu katika kuhakikisha athari zozote zinazoweza kukumba Barclays Bank ya Kenya kuhusu mabadiliko yanayotokea nje ya soko letu yanatarajiwa /yanawaziwa na kupunguzwa kadiri inavyowezekana, na hivyo biashara yetu imelindwa.

Hitimisho na shukrani

Hatimaye, ningependa kuchukua fursa hii kuwashukuru wenyekiti wetu, wateja na wabia kwa kuiunga mkono Benki hii bila ya kuyumba kwa miaka hiyo yote. Pia nawashukuru wakurugenzi wenzangu kwa usaidizi wao usiokoma pamoja na kujitolea kushughulikia majukumu yao ya Bodi na maswala ya Benki.

Shukrani zangu za dhiti ziwaendee wafanyakazi wetu na usimamizi ulio chini ya Uongozi imara wa Jeremy Awori kwa mchango wao na jukumu lao la umuhimu sana katika kutekeleza mkakati wetu.



Charles Muchene
Mwenyekiti

Managing Director's message

JEREMY AWORI
MANAGING DIRECTOR, BARCLAYS BANK OF KENYA

Introduction

2016 was a year of change for the bank and the financial services industry as a whole. Beginning with the Board welcoming a new chairman to key regulatory changes that redefined how banks and companies operate in Kenya. Over the last 100 years, we have evolved to become a leading financial player with involvement in key sectors of our economy. Deeply rooted in our culture is our ability to adapt to a constantly changing environment and we pride ourselves in our seasoned agility which has held us in good stead as we navigate a more challenging regulatory and business environment.

Our Performance

Our strategic focus has been to diversify our revenue basket by growing our non-funded income while growing our core business across all segments. In line with this, we launched Barclays Financial Services Limited (BFSL) to offer a range of services at the Nairobi Securities Exchange including cash equity trading services, fixed income, foreign exchange, commodities, bond and derivatives trading and research. As a fully owned subsidiary of Barclays Bank of Kenya, BFSL is also a member of Barclays Africa Group (BAGL) which has a pan-African stock broking operation comprising more than 330 staff.

We have also recorded some key successes in our transactional banking and cash management services. Under our corporate segment, we increased our focus on some key sectors such as the public sector, international development agencies and large local businesses. We have begun seeing good results from this strategic direction and we shall increase our efforts in these areas as we move forward. The financial services industry is becoming increasingly competitive with more reliance on technology and innovation as key differentiators for service delivery. Furthermore, we are seeing non-traditional competitors in the secondary market such as Fintech companies moving in to take up a share of the pie. We can no longer do business the way we did five or ten years ago and the financial sector regulation is by far stricter on banks than has been the case in the past. Our ability to innovate has and will continue to be our strength as we maintain our legacy as the bank of many firsts. In line with this, last year we rolled out a number of programs in partnership with the developer community and we are working on some exciting solutions that can be scaled into commercially viable products.

In 2016, we pushed forward our digitization and automation agenda with the aim of solidifying our competitive advantage by offering unparalleled convenience to the customer. Our focus areas were the mobile and internet banking platforms which we have enhanced with added functionalities to support a full suite of products and services in order to increase our competitiveness. Our online banking solution now integrates tax payments for both retail and corporate customers and offers a straight through experience by enabling end to end transactions at a single point of interaction.

We also launched the first ever Mobile Point of Sale (mPOS) payment solution. This is a solution that enables customers to pay for products and services using their debit or credit cards on the go. We also rolled out Deposita cash management solution proposition for our customers that have large daily cash transactions. Deposita cash management solution is a machine that allows customers to bank their money right at their premises, avoiding the costs and risks associated with cash in transit.

Further, we partnered with the Postal Corporation of Kenya to roll out our agency banking proposition opening an additional 182 service outlets for our customers and making us the first international bank to roll out agency banking in Kenya. Our plan is to work with a wide range of partners to increase this number to at least 6,000 outlets by 2019. Our strength lies in the fact that we are a fully-fledged member of the Kenyan socio economic fabric while benefitting from strong links to regional and global markets. Organisations that view Kenya as a spring Board into the region and continent can count on us to facilitate their financial transactions wherever Barclays is present. As for our local companies that have interests in international markets, we have great knowledge and experience through our regional and global offices to facilitate the realisation of their goals.



Managing Director's message *(continued)*

More than a bank

We are driven by a strong set of values that are founded on our mission of shared growth; when our customers prosper, we also prosper. It is through this sense of purpose that we continue to look for and open up unique channels to add value to all our stakeholders.

Our employees remain our most valuable asset and we are committed to facilitating a comfortable, effective and engaging work environment that supports their growth and career ambitions. In 2016, we initiated candid engagement sessions, aptly named 'Lets Talk', with our employees to get the conversation right on key matters that were affecting the bank and the industry at large. Our goal is to build a work force that is agile and able to adapt to a changing business environment while remaining customer centric.

With automation and digitization, the banker role is evolving towards that of relationship management and that is the direction we are developing our staff towards. As our primary brand champions, our employees have played and continue to play a vital role in walking our customers through this season of change.

As a partner of choice to drive diverse social agendas, we partnered with other likeminded organisations in programmes such as the Barclays Kenya Open, SheTradesKE in partnership with the International Trade Center (ITC), Renewable Energy Conference with British High Commission, and Nairobi Innovation Week with the University of Nairobi. We also partnered with Junior Achievement, Shining Hope for Communities (SHOFCO), International Youth Foundation, Technoserve, Care Kenya in the implementation of our ReadytoWork program.

Going forward

2017 represents a new dawn for our business; a perfect opportunity to build on our core values and the achievements of the past 100 years in order to create a reputable organization that is relevant, reliable and trustworthy to all our stakeholders.

We will focus on deliberately distinguishing ourselves by providing exceptional standards of service to all our stakeholders. We are investing heavily in our digital agenda as a key strategy to drive process efficiency in order to provide our stakeholders, be they colleagues, customers or shareholders, with world-class experience every time they interact with us. We will also continue to focus on driving efficiency in our business by growing the uptake of our digital channels and automation. As a business we will continue to amplify our More-than-a-bank strategy in order to offer holistic financial solutions to our customers and further diversify our revenue basket.

Separation terms with Barclays PLC have been agreed on

Since 1 March last year, Barclays Africa our parent company has worked with Barclays PLC and the regulators in preparing for the separation. Barclays Africa and ourselves at country level have set up dedicated teams to manage the separation

During this time we have taken into account a number of key considerations:

- The impact on our technology architecture, resilience, and competitiveness
- Our leadership structures, remuneration arrangements to retain key skills and additional hires to support the separation
- Transitional services arrangements
- Risks arising from the sell-down

We are progressing the required regulatory approvals and will continue working closely with our Board to ensure the separation is managed in an appropriate way.

I am pleased with the progress that has been made so far in ensuring that we have a smooth transition.

Conclusion and appreciation

I would like to thank the Board for the critical strategic and oversight role they are playing in this exciting journey we have embarked on. I would also like to thank our customers, employees and shareholders for their constant loyalty and support.



Jeremy Awori
Managing Director

Ujumbe wa Mkurugenzi Mkuu

JEREMY AWORI
MKURUGENZI MKUU

Utangulizi

Mwaka wa 2016 ulikuwa mwaka wa mabadiliko kwa benki na sekta ya huduma za kifedha kwa ujumla. Kuanzia Bodi kumkaribisha mwenyekiti mpya hadi mabadiliko muhimu ya udhibiti ambayo yalitoa mwelekeo wa jinsi benki na kampuni zitahudumu nchini Kenya. Katika miaka 100 tumekua na kuwa kiongozi wa shughuli za kifedha huku tukijihusisha na sekta muhimu katika uchumi wetu. Kilichokita mizizi katika desturi yetu ni uwezo wetu wa kubadilika sambamba na kubadilika kwa mazingira na tunajivunia uimara wetu ambao umetufaa sana katika mazingira ambayo yamepata changamoto zaidi za kibiashara na udhibiti.

Matokeo yetu

Lengo la mkakati wetu limekuwa ni kupanua kapu letu la mapato kwa kukuza mapato yetu yasiyofadhiliwa huku tukikuza biashara yetu ya msingi katika sehemu zote. Kuambatana na hilo, tulizindua kampuni ya huduma za kifedha ya Barclays (BFSL) ili kutoa huduma kadhaa katika Soko la Hisa la Nairobi zikiwemo huduma za biashara ya fedha za hisa zisizo na riba ya kudumu, mapato yasiyobadilika, ubadilishanaji wa pesa za kigeni, bidhaa, dhamana na yanayotokana na biashara na utafiti. Kampuni ya BFSL ambayo inamilikiwa kikamilifu kama kampuni tanzu ya Barclays Bank ya Kenya pia ni mwanachama wa Barclays Africa Group (BAGL) ambayo ina shughuli ya uuzaji wa Hisa Afrika nzima yenye zaidi ya wafanyikazi 330.

Pia tumeweza kuwa na ufanisi muhimu katika shughuli zetu za biashara ya benki na huduma za usimamizi wa pesa. Chini ya kitengo chetu cha shirika (Corporate Bank), tuliongeza mtazamo wetu kwa baadhi ya sekta muhimu kama sekta ya umma, uwakala wa ustawi wa kimataifa na biashara kubwa kubwa za humu nchini. Tumeanza kuona matokeo mazuri kutoka mwelekeo huu wa mkakati na tutaongeza juhudi zetu katika maeneo haya huku tukisonga mbele.

Sekta ya huduma za kifedha inaendelea kuwa na ushindani kutokana na teknolojia na ubunifu kuwa wabainifu muhimu katika utoaji wa huduma. Pamoja na hayo, tunaona washindani ambao sio waliozoeleka katika soko la daraja ya pili kama kampuni za Fintech (za teknolojia ya kifedha) ambazo zinachukua sehemu kubwa ya biashara yetu.

Hatuwezi tena kufanya biashara kama tulivyokuwa tukifanya miaka mitano au kumi iliyopita na udhibiti wa sekta ya kifedha umekuwa mkali zaidi kwa benki kuliko ilivyokuwa miaka ya nyuma. Uwezo wetu wa kubuni umekuwa na utaendelea kuwa nguvu yetu huku tukidumisha kumbukumbu yetu kama Benki ambayo imekuwa tangulizi katika mambo mengi. Katika ulinganisho huo, mwaka jana tulianzisha miradi kadhaa kwa ushirikiano na jamii ya mstawi na tunashughulikia baadhi ya huduma zinazosisimua ambazo zinaweza kugeuzwa na kuwa bidhaa zenye thamani ya kibiashara.

Katika mwaka wa 2016 tulianzisha mapema ajenda yetu ya uhifadhi wa tarakimu kidijitali na utumiaji wa mitambo inayojiendesha kwa lengo la kuimarisha nafasi yetu ya ushindani kwa kumpa mteja fursa zisizopatikana kwengine. Maeneo yetu tuliyolenga yalikuwa majukwaa ya shughuli za benki kupitia simu za mkono na intaneti ambayo tumeyaimarisha kwa kuongeza utendaji ili kusaidia kikamilifu bidhaa na huduma kwa ajili ya kuongeza ushindani wetu.

Huduma za shughuli zetu za benki za kupitia intaneti sasa zinajumuisha ulipaji ushuru kwa wateja wetu wa raja reja na kampuni na unatoa huduma ya moja kwa moja kwa kuwezesha shughuli kuanzia mwanzo hadi mwisho katika kituo kimoja.

Pia tulizindua huduma ya kwanza kabisa ya malipo inayotekelezwa katika kituo cha mauzo yaani mPOS. Huduma hii inawezesha wateja kulipia bidhaa na huduma kwa kutumia kadi zao za mikopo au amana popote walipo.

Pia tulianzisha huduma ya usimamizi wa kuweka pesa benki yaani DEPOSITA kwa ajili ya wateja wetu ambao wanafanya biashara kubwa za pesa taslimu kila siku. Huduma ya DEPOSITA ni mtambo ambao unaruhusu wateja kuweka pesa benki kutoka majengo wanayohudumu na hivyo kuepuka gharama na hatari ya usafirishaji wa pesa taslimu.

Pamoja na hayo, tumekuwa benki ya kwanza ya kimataifa kuingia ubia na shirika la Posta la Kenya kuanzisha shughuli za benki za uwakala na hivyo tumefungua vituo 182 zaidi vya huduma kwa ajili ya wateja wetu.



Ujumbe wa Mkurugenzi Mkuu (kuendelea)

Mpango wetu ni kufanya kazi na wabia wengi ili kuongeza idadi hii hadi vituo visivyopungua 6,000 kufikia mwaka wa 2019.

Uwezo wetu unachangiwa na uhalisi wa kuwa sisi ni sehemu ya Kenya kijamii na kiuchumi huku tukinufaika na uhusiano wetu imara na masoko ya kanda hii na dunia. Mashirika ambayo yanaiona Kenya kama kiingilio cha kanda hii na bara la Afrika wanaweza kututegemea kufaulisha shughuli zao za kifedha kokote ambako benki ya Barclays inapatikana. Vile vile, kampuni za humu nchini ambazo zinalenga masoko ya kimataifa, tuna uzoefu wa kutosha kupitia afisi zetu za kanda na dunia kuzisaidia kutimiza malengo yazo.

Zaidi ya benki

Tunaongoza na maadili thabiti ambayo yanapatikana katika wito wetu wa kukua pamoja; wakati wateja wetu wanastawi, pia sisi tunastawi. Ni kupitia malengo haya ndiyo tunaendelea kutafuta na kufungua njia za kipekee za kuongeza thamani kwa wadau wetu.

Wafanyikazi wetu wanasalia kuwa rasilmali ya thamani kubwa na tumejitolea kuwapa mazingira mazuri ya kufanya kazi ambayo yanasaidia kukua kwao na kutimiza ndoto zao za kikazi.

Katika mwaka wa 2016, tulianzisha vikao vya wazi vya “Tuzungumze” yaani “Let’s Talk” na wafanyikazi wetu ili kupata maongezi sahihi kuhusu maswala muhimu yanayothiri benki na sekta hii kwa ujumla. Lengo letu ni kuwa na wafanyikazi ambao wako imara na wanaoweza kubadilika sambamba na mabadiliko ya mazingira ya biashara huku wakisalia kumlenga mteja katika huduma.

Kwa utumiaji wa mitambo inayojiendesha na uhifadhi wa tarakimu kidijitali, jukumu la benki linabadilika na kuwa lile la usimamizi wa uhusiano na huo ndio mwelekeo ambao tunawapa wafanyikazi wetu. Kama wapigiaji debe wa msingi wa benki yetu, wafanyikazi wetu wameweza na wanaendelea kutekeleza jukumu muhimu la kuwaelekeza wateja wetu katika msimu huu wa mabadiliko.

Kama mbia wa kuendesha ajenda tofauti za kijamii, tumeshirikiana na mashirika yenye mawazo sawa nasi katika miradi kama Barclays Kenya Open kwa ushirikiano na Kenya Open Golf Limited (KOGL), SheTradesKE kwa ushirikiano na kituo cha kimataifa cha kibiashara (International Trade Centre), Kongamano la kawi jadidifu na Ubalozi wa Uingereza ama Renewable Energy Conference with the British High Commission, na Wiki ya maonyesho ya ubunifu ya Nairobi na Chuo Kikuu cha Nairobi au Nairobi Innovation Week with the University of Nairobi.

Pia tumeshirikiana na shirika la Junior Achievement, Shining Hope for Communities (SHOFCO), International Youth Foundation, Technoserve na Care Kenya katika kutekeleza mpango wetu wa ‘tuko tayari kufanya kazi’ yaani ReadytoWork.

Kuganga yajayo

Mwaka wa 2017 unatoa mwanzo mpya kwa biashara yetu; fursa mwafaka ya kuimarisha malengo yetu msingi na ufanisi wa historia yetu ya karne moja na shirika lenye heshima na taadhima ambalo ni la kutegemewa, linaenda na wakati na la kuaminiwa na wadau wetu wote.

Totalenga kwa kimakusudi kujitofautisha kwa kutoa viwango bora zaidi vya huduma kwa wadau wetu wote. Tunawekeza sana katika ajenda yetu ya dijitali kama mkakati muhimu wa kuwa na utendaji bora ili kuwapa wadau wetu, wawe ni wenzetu, wateja au wenyekisa huduma za kisasa zaidi kila wanapotangamana nasi.

Pia tutaendelea kulenga utendaji bora katika biashara yetu kwa kuongeza njia za dijitali na mitambo inayojiendesha yenyewe. Kama biashara tutaendelea kuupanua mkakati wetu wa zaidi ya benki yaani ‘more-than-a-bank’ ili kutoa huduma kamili za kifedha kwa wateja wetu na hivyo tutapanua kapu letu la mapato.

Masharti ya kujitenga na barclays plc yamekubaliwa

Tangu Machi mosi mwaka jana, Barclays Africa kampuni yetu mama imekuwa ikifanya mazungumzo na Barclays PLC na wadhibiti katika kuandaa utengano. Barclays Africa na sisi hapa nchini tumeteua majopo ya kusimamia utengano huo.

Katika muda huo tumezingatia mambo kadhaa muhimu:

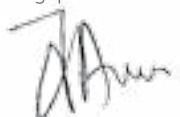
- Athari kwa usanifu, uthabiti na ushindani wa teknolojia yetu
- Mfumo wa uongozi wetu, mipango ya malipo kwa ajili ya kuwahifadhi wenye ujuzi muhimu na uajiri wa watu zaidi wa kusimamia utengano huo.
- Mipango ya huduma za mpito
- Hatari zinazotokana na uuzaji wa hisa

Tunaendelea kushughulikia taratibu zinazohitajika na tutaendelea kufanya kazi kwa karibu na Bodi yetu ili kuhakikisha kuwa utengano huo unasimamiwa katika njia inayofaa.

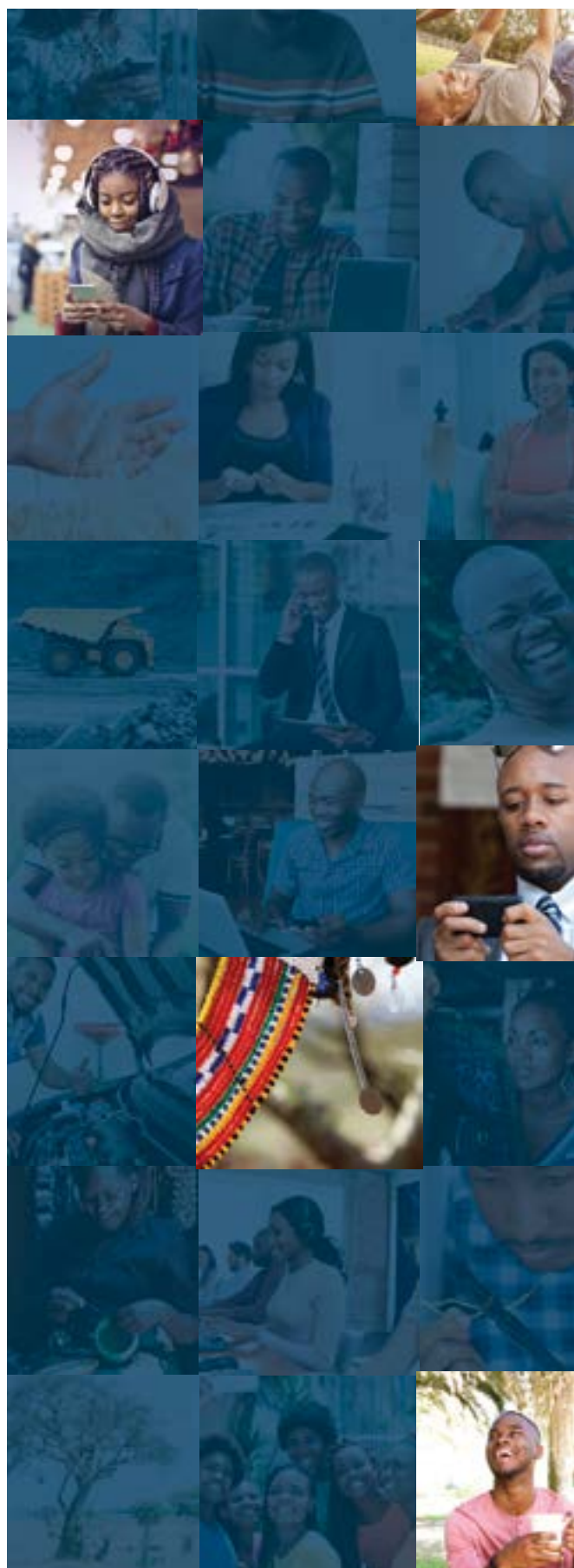
Nina furaha ya hatua iliyopigwa kufikia sasa katika kuhakikisha kuwa tuna mpito usiokuwa na kasoro.

Hitimisho na shukrani

Ningependa kuishukuru Bodi kwa utekelezaji wa mkakati muhimu na jukumu la uangalizi katika safari ya kulisimua ambayo tumeianza. Pia ningependa kuwashukuru wateja wetu, wafanyikazi na wenyekisa kwa uaminifu usiobadilika na kuendelea kutuunga mkono.



Jeremy Awori
Mkurugenzi Mkuu



Our Business

Our value creation process	20
Our value added statement 2016	21
Value Created (Shs 'million)	21
Our material issues	22
Our Stakeholders	23
Our Board of Directors	24
Board of Directors profiles	26
Country Management Committee	30
Our business model	32
Integrated planning to create sustainable value	34
Segment profiles	36

Our value creation process

Our Goals

- › To remain a leading retail and corporate bank in Kenya.
- › To be recognised as a trusted and leading retail, SME, markets (forex and risk management) solutions provider
- › To be recognised as the employer of choice
- › To be viewed by all stakeholders as a corporate partner who contributes towards the welfare of the communities within which we work

Our customers and clients are at the centre of our goal and purpose.



Our customers (at the core)	What they want	What we provide
Individual customers	Savings; Loans; Credit Cards; Current Accounts	Savings and investments, insurance, credit, loan facilities, payment services
Companies	Current Accounts; Growth Funding; Security against risk and Advice on starting, buying and selling businesses	A partner to help pay employees, process payments, insure against risks and source working capital
Leading international companies, sovereigns and institutions	Raise or deploy capital; Move money in and across jurisdictions; Advice on mergers and acquisitions	Advice on corporate finance; macro-economic research; capital markets execution; risk management

Our key differentiators

- › Strong brands; 100-year plus history
- › A strong, well-funded diversified balance sheet
- › Pan-African reach, representation and access to global expertise
- › High quality products and service and a track record of innovating for customers and clients
- › High-calibre employees

To deliver

- › High quality service to clients and customers globally
- › Challenging and meaningful careers for our people
- › Long-term sustainable returns for our investors
- › Employment opportunities and economic growth
- › Solutions to social issues and needs in partnership with government and civil society

We generate income through

- › Our net interest margin
- › Fees charged for the delivery of transaction services, advice and financial solutions
- › Commissions and spreads on transactions in our investment bank



Together our activities generate sustainable returns over the long term for our shareholders and help our wider stakeholders realise their ambitions

Our value added statement 2016

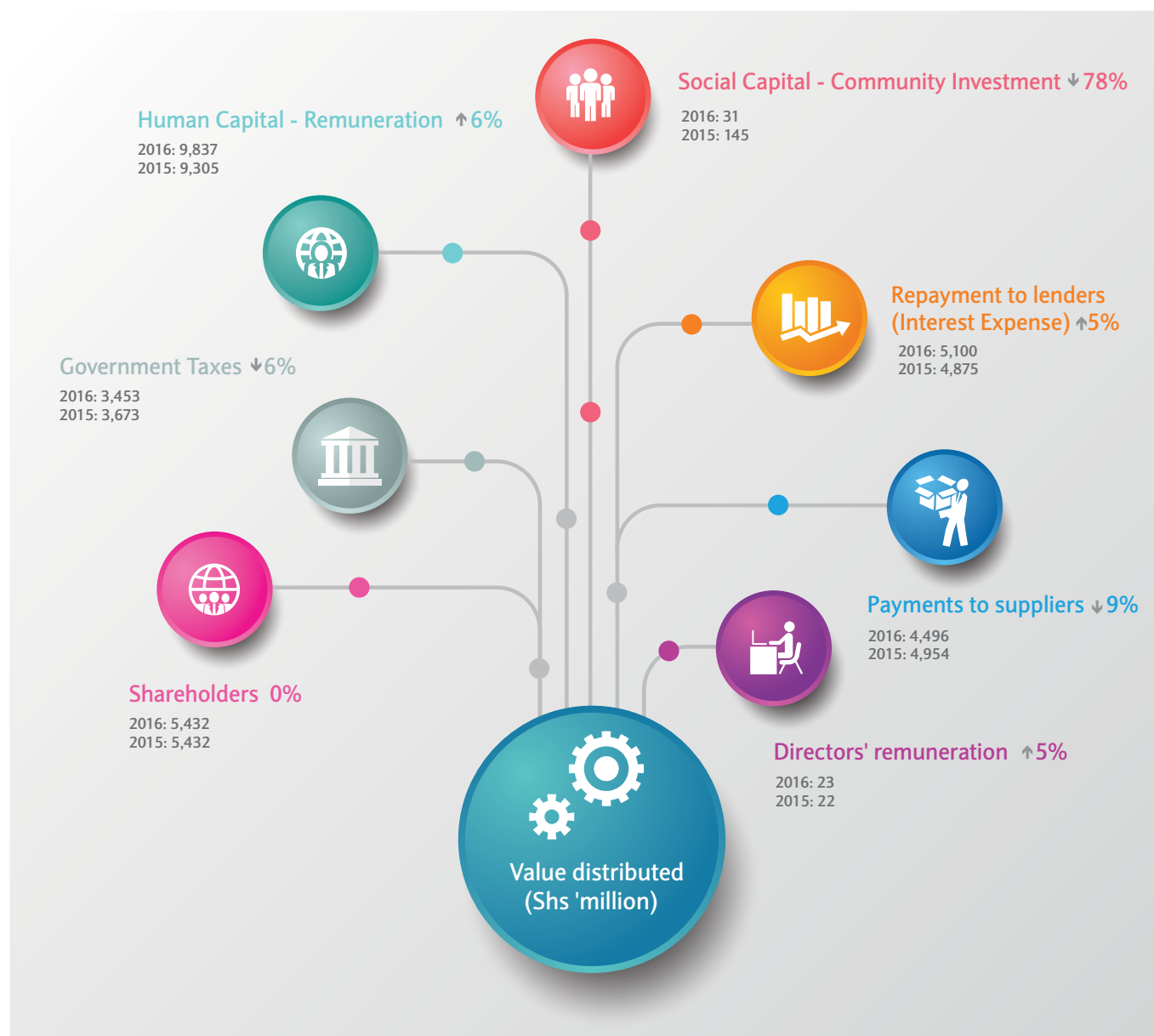
Value Created (Shs 'million)



Revenue (Excluding interest expense) ↑ 7%
2016: 36,783
2015: 34,337



Impairment ↑ 122%
2016: 3,927
2015: 1,766



	2016 Shs'millions	2015 Shs'millions	Change %
Number of employees	2 591	2 762	(6%)
Number of direct sales representatives	870	1 037	(16%)
Cash value created per employee	12 681	11 792	7.5%
Number of customers	833 268	824 111	1%
Cash value created per customer	39 430	39 523	(2.4%)

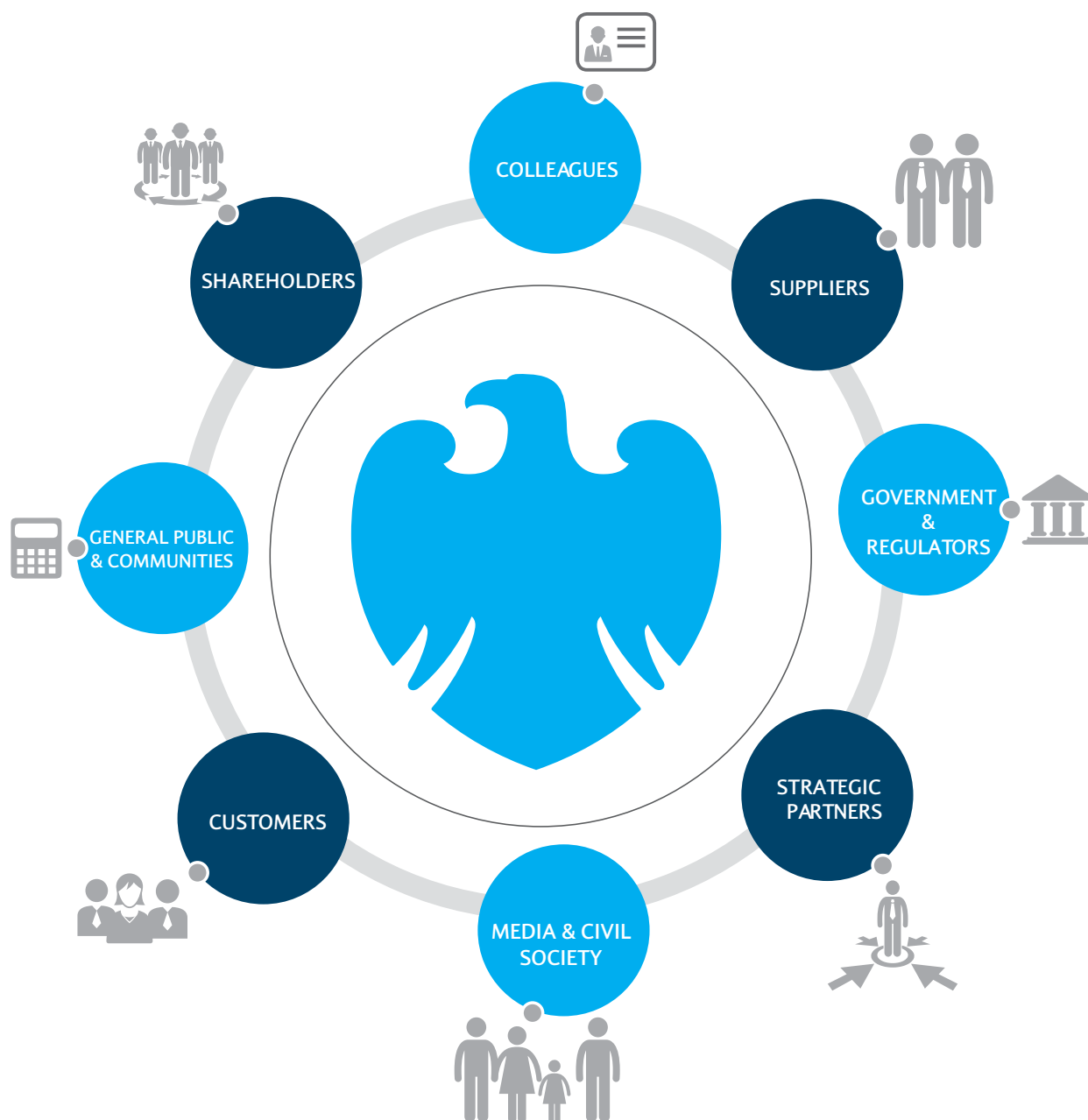
Our material issues

The material issues identified in this report are the result of a close examination of the environment we operate in, our strategy, current performance and stakeholder feedback. The measures we have taken to respond to these issues are highlighted in the strategy section of this report.

Our pillars	Material Issues	Responses
 Customer We aim to be the preferred financial services provider	- Quality of our IT infrastructure - Excellence of service - Trust and Safety - Relevance of our products - Convenience of our services	- Investing in technology to ensure availability, stability and accessibility - Leveraging technology to improve customer experience through mobile banking, multi-currency cards, flexi cube, BARX, Deposita cash management solution, Queue management System (QMS), Mobile Point of Sale (mPOS) and Barclays.Net. - Simplifying our products, services and service model to match our customers' needs - Efficient and timely complaints resolution and preventing fraud
 Colleagues We create an environment where employees can fulfil their potential	- Attracting and retaining talent - Training and developing our talent - Employee engagement - Diversity and inclusion	- Embedding our purpose and values and integrating them into recruitment, promotion and performance management - Strengthening our leadership team and continue to develop and train our leaders and talent - Driving a comprehensive diversity and inclusion plan - Listening and responding to the ideas and concerns of our employees - Women network forum that builds capacity in our women colleagues through trainings and leadership development
 Citizenship We have a positive impact on the communities in which we operate	- Financial inclusion - Youth empowerment	- Driving the shared growth agenda - Youth empowerment agenda that helps young people develop their employability and financial skills, as well as starting their own enterprises - Driving financial inclusion and roll out of programs that promote community prosperity
 Conduct We act with integrity in everything we do	- Maintaining high ethical standards - Treating customers fairly - Product life cycle management - Reputation risk - Culture and strategy	- Implementing a formal, rigorous and transparent framework to effectively identify, assess, manage and report conduct risk - Building our capacity to reduce or avoid the impacts of poor conduct on all our stakeholders - Use of predictive key indicators to proactively manage our actions/behaviour against conduct risk matrix - Escalation and discussion of conduct risk to issues at relevant governance committees - Embedding a culture where customer interests are fundamental to a strategy setting - Cascade of guiding principles and policies that protect our reputation and enhance our brand - Use of the conduct risk tools to access our products and services at every stage of product development
 Company We effectively manage risk and create sustainable returns	- Managing risk, capital and liquidity - Revenue growth - Cost control	- Setting clear financial targets - Investing in new businesses and growth initiatives such as Bancassurance, SME business, agency banking, stock broking, foreign exchange, bond trading, mortgage and asset finance centres. - Creating an efficient and highly competitive business by investing in smarter systems and better ways of doing business. - Enhancing our controls for operational efficiency

Our Stakeholders

We identify our stakeholders as those whom we impact during our operations or have an impact on our ability to operate. These include customers, shareholders, investors, regulators, government, colleagues, strategic partners, suppliers, the general public, media and civil society. We engage our stakeholders regularly and utilise the inputs from these engagements to inform our strategic intents and business practices. Barclays is keen to deliver shared value for all stakeholders.



Our Board of Directors provide sound governance and oversight





Board of Directors profiles



CHARLES MUCHENE (59)

CHAIRMAN, BOARD OF DIRECTORS, BARCLAYS BANK OF KENYA

Mr. Muchene joined the Board in August 2016 and was elected Chairman in October 2016. He is a board-level advisor on matters of governance, ethics and strategy and serves as an independent non-executive director of several other companies including East African Breweries Limited and its Kenyan subsidiaries, as well as AIG Kenya Limited. Prior to joining the Barclays board, he served as an independent non-executive director of CFC Stanbic Holdings Limited and its subsidiaries. He has also served as the Country Senior Partner and Financial Service industry leader at PricewaterhouseCoopers.

He is a fellow of the Institute of Certified Public Accountants of Kenya and a member of the Institute of Certified Public Secretaries of Kenya and holds a Bachelor of Commerce (Hons) degree from the University of Nairobi.



JEREMY AWORI (46)

EXECUTIVE DIRECTOR – MANAGING DIRECTOR

Mr. Awori joined Barclays Bank of Kenya in February 2013 as the Managing Director. In addition to his responsibilities at Barclays, Jeremy has served as the former Chairman of the Kenya Bankers Association and currently sits on their governing council. He is also a Board member of the Kenya Private Sector Alliance (KEPSA) and sits on several other executive forums in Kenya. He has held various positions in banking in the Middle East, South Asia and Africa in addition to living and working in the UK, North America and Asia.

He is a member of the Young Presidents Organization (YPO) and an Aspen Global Leadership Institute fellow. He holds a Masters in Business Administration from McGill University, Montreal Canada and a Bachelor of Science undergraduate degree in Pharmacy from Manchester University in the United Kingdom.



YUSUF OMARI (43)

EXECUTIVE DIRECTOR – CHIEF FINANCIAL OFFICER

Mr. Omari joined Barclays Bank of Kenya in 2004 from Audit Firm, KPMG (1998- 2004). He worked as the Barclays Head of Internal Audit East and West Africa cluster (2004- 2008) and then as Head of Compliance (2008-2009) before his appointment as the Chief Financial Officer in 2009.

He is a Member of the Institute of Chartered Public Accountants of Kenya (ICPAK) and Institute of Internal Auditors (IIA). Yusuf is also a Board Member for The University of Nairobi Enterprise Services and ICPAK.

He is a qualified Certified Public Accountant (CPA) as well as a Certified Internal Auditor. He holds an MBA from Strathmore Business School and a Bachelor's degree in Economics from the University of Nairobi.



DR. LAILA MACHARIA (46)

NON - EXECUTIVE DIRECTOR

Dr. Macharia joined the Board in August 2014. She is a Serial Entrepreneur and Angel Investor, currently serving on the boards of the Africa Digital Media Group and Centum Investments Limited. An attorney by training, she has wide experience in corporate law and finance, including at the New York office of Clifford Chance.

She holds a Doctorate in Law from Stanford Law School, a Masters in Law from Stanford Law School, a Masters in Law from Cornell Law School, a Bachelor of Law from Cornell Law School and a Bachelor of Arts (BA) from the University of Oregon. She is qualified to practice law in Kenya as well as in New York and Maryland (USA).



ASHOK SHAH (68)

NON - EXECUTIVE DIRECTOR

Mr. Shah joined the Board in July 2011. He is currently the Group CEO of the Apollo Investments Ltd. Aside from his current role in Barclays, he also sits in various boards among them, the CDS Corporation, Capital Markets Challenge Fund, APA Insurance Ltd., APA Life Assurance and Apollo Asset Management.

He is an Associate of the Chartered Insurance Institute, member of the Chartered Institute of Arbitrators and was previously the Chairman of Association of Kenya Insurers. He holds a Diploma in Applied Chemistry from Kingston University (UK) and is a Chartered Insurer by profession.



NORAH CHIENG' ODWESSO (49)

NON - EXECUTIVE DIRECTOR

Ms. Odwesso was appointed to the Board in August 2014. She is currently the Public Affairs & Communications Director for Coca-Cola Beverages Africa.

She is an Honorary Fellow of the Kenya Institute of Management (KIM), Chairperson, Junior Achievement Kenya, a Board member of the Gender Violence Recovery Centre and a member of the Governing Council of the Management University of Africa.

She holds an MA in Finance & Investment, University Of Exeter, (UK), a Bachelor of Commerce degree (B.Comm) (Hons), University of Nairobi and is a Certified Investor Relations professional.



WINNIE OUKO (46)

NON - EXECUTIVE DIRECTOR

Ms. Ouko joined the Board in August 2014. She is a business strategy and corporate finance advisor with over 15 years' experience in Corporate Finance, Project Finance, Financial Modelling and Analysis, Training and Strategy Facilitation. She is a Co-Founder and Director at Lattice Consulting Limited, a Kenyan corporate finance, project finance and strategy advisory firm. Prior to her current role, she was a Capital Markets Manager at First Africa Capital, an Associate Director at Standard & Poor's – USA and an Auditor at PWC-Kenya.

She holds a Masters in Business Administration from Cornell University, Bachelor of Commerce, Insurance (Hons) from University of Nairobi and is a CPA (K).



PATRICIA ITHAU (51)

NON-EXECUTIVE DIRECTOR

Patricia Ithau joined the Board on 30th March, 2016. She is the Regional Director for the Stanford Institute for Innovation in Developing Economies – Seed, focused on stimulating economic opportunities through innovation, entrepreneurship, and the growth of businesses around the region. She is a Senior Executive, with over 25 Years' experience growing some of the world's leading fast moving consumer brands across Africa and internationally. She holds a Bachelor of Commerce (Hons) degree from the University of Nairobi, MBA from the United States International University Africa, Advanced Management Certificate from IESE Business School (Barcelona) in association with Strathmore Business School and a Diploma in Executive Coaching from the Academy of Executive Coaching. She is currently a Board Member at Trade and Markets East Africa (TMEA), WPP Scangroup Ltd, Jambojet Ltd and the Kenya Private Sector Alliance (KEPSA).



PAUL NDUNGI (41)

COMPANY SECRETARY

Mr. Ndungi was appointed as the Senior Legal Counsel & Company Secretary in July 2015. He has over 14 years' experience in the banking industry. Prior to his appointment he was the Head of Legal & Company Secretary at Ecobank Kenya Limited for three and a half years and before that the Head of Legal at I&M Bank Limited for 7 years.

He holds a Bachelor of Law (LLB) from the University of Nairobi, a Diploma in Law from the Kenya School of Law and is an Advocate of the High Court of Kenya, Commissioner for Oaths, Notary Public as well as a registered Certified Public Secretary.



Country Management Committee



Country Management Committee



GENEVA MUSAU

HUMAN RESOURCES DIRECTOR

Geneva joined Barclays Kenya in 2014 from Barclays Bank Ghana where she held a similar role for close to four years. She held various senior management positions with Zain Telecommunication, Oxfam GB, KPMG and BAT, her last assignment being the Human Resource & Administration Director for Zain Telecommunications Ghana. Geneva holds a PHD in Human Resource Management from AIU USA, a Master of Arts Degree in Human Resource Management from Demontfort University Leicester (UK), a Masters in International Business Administration from USIU, a Bachelor of Commerce degree in Business Administration from Nairobi University and a Higher National Diploma in HR Management from the institute of personnel Management.



ZAHID MUSTAFA

DIRECTOR OF RETAIL AND BUSINESS BANKING

Zahid joined Barclays Bank PLC. in 2006 and is currently the Director of Retail & Business Banking for Barclays Kenya. In this role, Zahid is responsible for Islamic Banking, Bancassurance, Vehicle and Asset Finance, Agriculture and Cards Business. He also looks after the Branch Network, Alternate & Digital Channels for the Bank as Consumer Banking Director for Egypt. In 2007, he was appointed the Consumer Banking Director for Kenya before being promoted to Consumer Banking Director role for East & West Africa in 2008, looking after Barclays business in Kenya, Uganda, Tanzania & Ghana. Before joining Barclays, Zahid worked for Citigroup Global Consumer Banking for over 11 years in various roles and geographies. He holds an MBA from Lahore University of Management Sciences, Pakistan and a Bachelor of Chemical Engineering from University of Engineering and Technology, Lahore, Pakistan.



WILLIAM JUMA AROGO

CHIEF RISK OFFICER

William joined Barclays Kenya in 1993 and has held various senior positions in the Barclays Group, both in Kenya and with the Africa Regional Office in Johannesburg, South Africa. He was appointed Chief Risk Officer in 2011, having served as Corporate Credit Risk Director since 2007. He Holds a Bachelor of Commerce degree from Kenyatta University and is an Associate of the Chartered Institute of Bankers ACIB (U.K.)



ANTONY MULISA

REGIONAL TREASURER EAST AFRICA

Antony joined Barclays Kenya in 2004 and was appointed the Regional Treasurer for East Africa in January 2015. He holds over 20 years of banking experience in both large and medium size treasuries in Kenya, Uganda, Tanzania and Egypt. He is the current Chairman of the Financial Markets sub-committee of the Kenya Bankers Association (KBA) and is also a member of the Derivatives Market Board Oversight Committee of the Nairobi Securities Exchange (NSE).

Anthony is a certified dealer through the ACI-Financial Markets headquartered in Paris, an associate member of the Chartered Institute of Bankers (ACIB). He holds a BSc. Degree in Financial Services from University of Manchester and an MBA from the Manchester Business School in the UK.



LABAN OMANGI

REGIONAL HEAD OF COMPLIANCE

Laban joined Barclays Kenya in 2002 and was appointed Regional Compliance Director for Barclays East and West Africa Cluster in September 2009.

Laban is a career banker with 30 years' experience in the areas of Wholesale and Retail banking, Bank Operations and Risk Management specializing in Compliance and Operational Risk Management. He holds a 1st class Honours Bachelors of Commerce degree from the University of Nairobi and is a member of the Kenya Institute of Bankers and also the Institute of Economic Affairs.



CAROLINE NDUNGU

MARKETING AND CORPORATE RELATIONS DIRECTOR

Caroline joined Barclays Kenya in February 2014 as the Marketing and Corporate Relations Director. Prior to joining Barclays, Caroline held various senior management positions at EABL Diageo, her last assignment being the KBL Marketing Director. She has a wealth of experience having worked for over 10 years in the FMCG sector as well as in Financial Management both in Africa and in the US.

Caroline holds a Bachelor of Arts Economics degree from the University of Nairobi, an Advanced Management Program diploma from Strathmore Business School/IESE Business School Barcelona Spain and is a CPA (K) from Strathmore University.



JAMES MUCHIRI

CHIEF OPERATING OFFICER

James joined Barclays Kenya in November 2013 as the Head of Digital Channels and Strategic Initiatives in East Africa. In November 2014, he was appointed to the position of Customer Network Director to lead a shared distribution structure serving Retail and Business Banking. He is currently the Chief Operating Officer, a role in October 2016. In this role, he is responsible for the overall Operations and Technology infrastructure of the bank. Prior to this, James worked in NIC Bank and Standard Chartered Bank where he held several senior management positions, his last assignment being Managing Director of NIC Bank's subsidiary in Tanzania. James brings with him over 22 years of banking industry experience including Board experience. He has worked in several countries in Africa and Asia on transformational projects involving changes of core banking systems and other key delivery channels as well as re-engineering operational processes and procedures. James holds a Bachelor of Education degree in Science from Kenyatta University and a Post Graduate Diploma in Computer Science from the University of Nairobi.

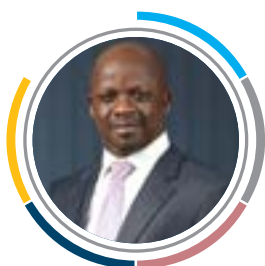


ANTHONY KIRUI

HEAD OF MARKETS

Anthony joined Barclays Kenya in 2004 and is currently the Head of Markets with responsibility for derivatives, equities, rates, fixed income and FX Sales and Trading for the bank. Anthony holds over 16 years extensive banking experience within the East African region and over 12 years within the Treasury and Markets Business. Amongst roles previously held, include Head of Trading for Barclays Kenya and more recently as Country Treasurer for Barclays Bank of Uganda where he ran both the Treasury and Markets business with oversight over the balance sheet, interest rate, capital and liquidity risk for the business. In addition, his responsibilities covered the Sales and Trading business for Barclays Uganda where as a member of the Country Management Committee (CMC) he also shared responsibility for the management of the broader business.

Anthony holds a Bsc (Econ) in Business Studies from the University of Wales, Aberystwyth.



JAMES AGIN

CORPORATE BANKING DIRECTOR

James began his banking career in Barclays Kenya in 1993 and undertook various roles in both Corporate and Treasury before moving to Barclays Uganda as Corporate Banking Director in 2004. He later joined Kenya Commercial Bank (KCB) Uganda as the Managing Director in 2008 and moved back to Kenya in 2010 with KCB, as the Chief Business Officer for the East Africa region and later the Corporate Banking Director for KCB Kenya. James has 10 years of Board experience and has served in the Boards of Barclays Uganda and the Boards of KCB subsidiaries in South Sudan, Tanzania, Uganda, Rwanda and Burundi.

He holds an Advanced Management Program from Harvard Business School, an MBA from the IESE Business School in Spain and a Bachelor of Science from the University of Nairobi.



CHRISTINE MWAI-MARANDU

AG, COUNTRY CREDIT DIRECTOR

Christine joined Barclays Bank in 1991 and is currently the acting Country Credit Director where she is responsible for day-to-day credit risk management for all borrowing clients across the 3 segments of Barclays – Retail and Business Banking, Corporate & Investment Bank and Markets (Sales and Trading). She is a seasoned banker with more than 20 years of experience working for Barclays Bank in both Retail and Corporate banking environments. Christine has strong international working experience having worked for Barclays in UK, South Africa and Tanzania in senior leadership roles.

She holds a Bachelor of Science degree in Financial Services and an MBA from Cranfield School of Management in the UK. She also holds an Associate of Certified Banking (ACIB) qualification and is a certified Executive Coach. She is an alumni of WILLS (Women in Leadership series) programme, Advanced Management Programme (2014) and Women Directors Leadership Summit (WDLS 2016) executive programmes run by Strathmore Business School.



JOSHUA NDUNG'U

REGIONAL DIRECTOR, AUDIT & CHIEF INTERNAL AUDITOR, KENYA

Joshua joined Barclays Bank of Kenya in 2016 from the US multinational conglomerate, General Electric (GE) where he was most recently the Sub-Sahara Africa Regional Finance & Operations Controller, GE Global Operations. He has over 16 years extensive experience in Finance including audit, finance operations, risk & quality management. Prior to GE, Joshua spent 11 years with PwC where he provided audit and other assurance services to large multinational and SME clients in Kenya and the UK, across financial services, industrial, consumer services and energy sectors. He also supported PwC's internal risk & quality control management in the Africa Central region. Joshua holds a Bachelor of Commerce degree (Finance major) from the University of Nairobi. He is a Member of the Institute of Chartered Public Accountants of Kenya (ICPAK) and holds a Certified Public Secretaries of Kenya, CPS (K) qualification.

Our business model

We create value for our stakeholders and deliver broader economic benefits to society.

Inputs at the start of 2016

Our operations rely on a number of key resources and relationships.

Financial capital

- › **Shs 39,716 million** available capital and adequate liquidity
- › A sound credit rating
- › Funds retained for growth **Shs 32,467 million**

Manufactured capital

- › **119 branches** and **229 ATMs**
- › Property and equipment of **Shs 3,258 million**
- › Digital portfolio (online, cell phone and other banking applications; transactional and trading platforms)
- › Call centres, data centres and premises for support functions

Human capital

- › **2,762** skilled and motivated employees
- › An experienced leadership team
- › Corporate culture based on clear ethics and Values

Natural capital

- › Energy (electricity, renewable energy, gas and diesel)
- › Paper
- › Water

Intellectual capital

- › Enterprise risk management framework
- › IT capabilities, including innovation of new technologies
- › Proprietary knowledge
- › Well-known brand (Barclays)
- › Specialised skills and expertise of employees, our Board and external advisers

Social and relationship capital

- › Collaboration with partners and service providers within agreed service level agreements
- › Stakeholder relationships

Our business activities

We operate within a global context and, in the course of conducting business, there are a number of external factors that influence our business activities and outcomes:

We **PROTECT** what is important to our stakeholders through **ROBUST RISK MANAGEMENT...**

and build **CONFIDENCE** and **TRUST** through **SOUND GOVERNANCE**

We raise **FINANCIAL CAPITAL...**

- › Shareholder funds
- › Bond holders
- › Depositors
- › Retained earnings

...and create **CUSTOMER VALUE PROPOSITIONS...**

- › Customer needs
- › Regulations
- › Employees
- › IT
- › Data insights

...to **DELIVER PRODUCTS** and **SERVICES** to our customers and clients...

- › Digital solutions
- › Branches/ATMs
- › Relationship managers/advisors
- › Strategic partners

...and manage the distribution of **FINANCIAL BENEFITS** earned...

...which is enabled through **ROBUST OPERATIONS MANAGEMENT...**

Outputs Products and services

We help **833,268** customers and clients to create, grow and protect wealth by offering an integrated set of products and services across banking and insurance.

Outcomes at the end of 2016

Operating environment
Regulations

Stakeholder concerns
Key risks

Through our integrated planning process, we allocate financial capital to:

1. Meet regulatory minimum requirements
2. Businesses focusing on opportunities and sustainable returns (within the Board-approved risk appetite)
3. Operations and capital investment projects

We create, develop and price products and services based on the needs of our customers and clients, insights gained from their behaviours, and by factoring in systems, regulatory considerations and the competitive environment.

Our multiple channels give our customers and clients the choice of when and how they want to transact using telephone, digital solutions and face-to-face engagements. We use our skills and expertise to advise our customers and clients in managing their financial needs, including their risk. This is how we deliver on our customer and client promises and build trust.

We derive income from trading, commissions, fees and interest earned on lending.

We pay interest to depositors and other funders.

Common policies and frameworks ensure consistent and integrated execution to improve service levels and gain synergy and scale benefits. Compliance and assurance review the adequacy of management's controls key to maintaining our licence to operate and our ability to create value.

- › Financial management
- › Human resources
- › Information technology
- › Facilities management
- › Procurement
- › Marketing and communications
- › Compliance monitoring and internal audit

Over time and through our business activities, we impact on the Five Capitals. We measure this impact through our Balanced Scorecard .

Financial capital

- › Profits are shared with ordinary shareholders (**Shs 5,431 million in dividends**) and retained earnings for future growth (**Shs 35,194 million**)
- › Contributed to societal growth through the goods and services bought (**Shs 4,496 million**), taxes paid (**Shs 3,453 million**) and employment (**Shs 9,837 million** in employee compensation)

Manufactured capital

- › **121 branches** and **214 ATMs**
- › Property and equipment of **Shs 3,081 million**
- › Enhanced our digital portfolio with Twitter and Facebook and mobile money solutions

Human capital

- › **2,591** employees with improved diversity and 50:50 gender ratio at board level.
- › **Shs 57 million** on direct training spend on ongoing skills and development

Intellectual capital

- › Invested in information technology, delivering greater stability, ongoing resilience, increased protection against cyber risk and delivery of new products and solutions
- › Brand impacted by various events in the year

Social and relationship capital

- › Increased customer experience score of **75%**
- › **Shs 57 million** spend on education and skills development
- › Evolved stakeholder relationships

Emissions and waste

We operate in a low-impact industry and we strive to minimise our carbon emissions, paper and water consumption and waste sent to the landfill.

Integrated planning to create sustainable value

Our integrated planning process ensures our strategy and key resource considerations are integrated into our financial and execution plans. This process reflects on choices in terms of our strategic ambition and the opportunities we will pursue. Our execution plans outline the required capabilities and the focused initiatives undertaken to achieve our ambitions.

1. Identify and assess

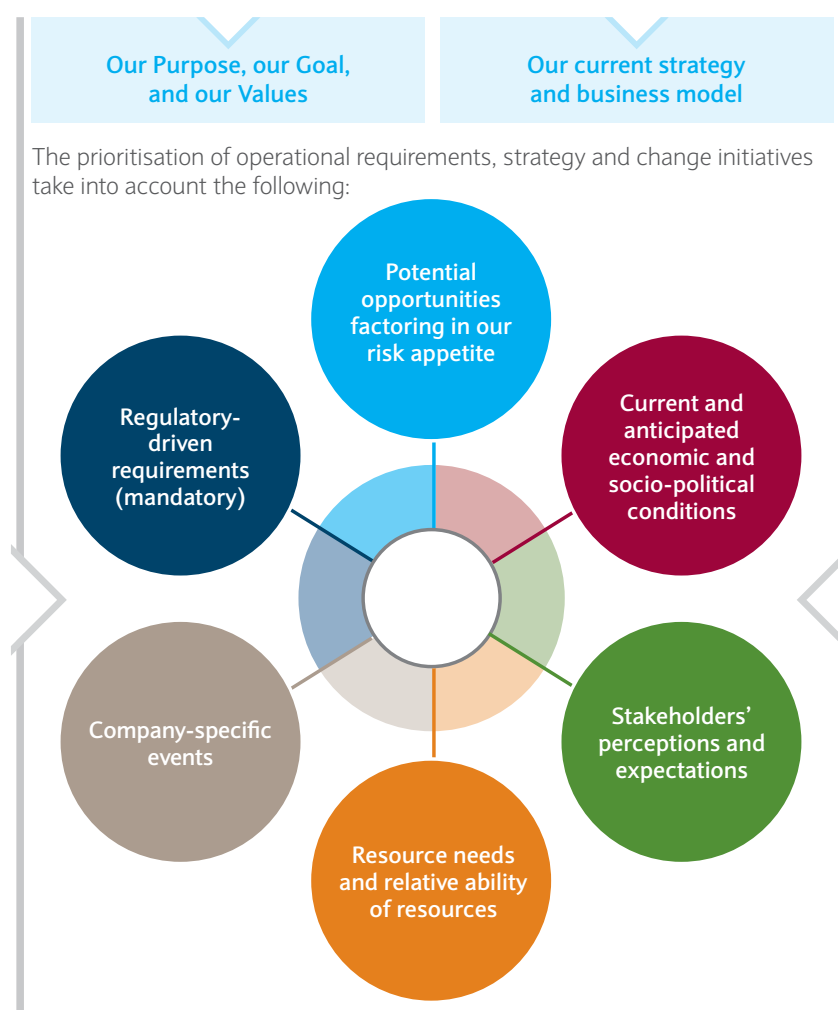
Our integrated planning takes into account who we are, our capabilities, our strategic ambitions and our operating environment. We consider our current and future resource needs and our stakeholders' legitimate needs across the Five Capitals.

Our stakeholders' expectations can be summarised into the following groupings:

- › Sustained financial returns
- › Stability of the financial services industry
- › Fair treatment of customers and clients
- › Effective and efficient management of regulatory change, balanced with customer and client service outcomes and costs
- › Access to and availability of convenient, safe and reliable financial services
- › Leveraging opportunities in IT advances, while managing the associated risks
- › An employee value proposition that includes fair reward and recognition, personal and professional development opportunities and a conducive working environment
- › Contributions towards addressing societal challenges such as education and economic development
- › Responsible management of direct and indirect environmental impacts

2. Plan and prioritise

We consider the key matters identified within the context of:



An important part of the integrated planning process is to consider the trade-offs between the possible responses, the timing and execution requirements, as well as the importance and impact in achieving our strategy.

Potential opportunities are assessed within our risk appetite framework to ensure a balanced approach between future growth and responsible risk management.

We also consider possible changes and refinement to our strategy and business model to remain relevant and competitive.

3. Respond and monitor

We aim to be the financial services of choice, providing sustainable returns and contributing to the shared growth of the communities in which we operate. We have a healthy balance sheet and strong market positions. Our distribution network and digital platforms reach a large and diverse customer and client base.

Based on resource availability and current and anticipated requirements, certain trade-offs are made, which re-prioritise change initiatives, and new projects. Specific actions are identified to ensure we respond appropriately.

We will continue to deliver on our strategy

Our strategy targets the key areas for growth, and maintains sound controls which focus on risk management – with sufficient stretch built in to deliver appropriate value for our stakeholders.

We have shaped our business for change

We revised our operating model with ‘customer’ as primary dimensions, creating a platform for increased focus and dedicated management capacity

Shared Growth is our way of doing things and it defines who we are

We have a responsibility to leave things in a better position than we found them, and our Shared Growth initiatives will accelerate over the coming years.

Our material matters have remained fundamentally the same.



Company

Delivering appropriate shareholder returns while managing the risk arising from the operating environment.



Customer & Client

Understanding customers' and clients' needs and providing relevant customer and client value propositions through a balanced distribution model.



Colleague

Maintaining a diverse workforce of capable, committed and motivated employees who are focused on, and empowered to deliver on, our strategic objectives.



Citizenship

To make a positive impact on society by developing products, services and partnerships that improve communities



Conduct

Driving ethical behaviour and delivering appropriate products and services compliant with our regulatory and social licence to operate.

Segment profiles

We have a broad range of products and services to meet the financial services needs of our customers and clients. These are delivered through our customer facing segments:

- › Retail Banking
- › Corporate & Investment Banking
- › Business Banking
- › Money Markets

	Individuals	Small and medium-size businesses	Corporates	Banks and financial institutions	Sovereigns and institutions
A safe place to save, invest and manage funds › Accepting customers’ and clients’ deposits, and raising debt › Facilitating payments and investments › Investment management products and advice › Managing shareholder funds	Current accounts and overdrafts				
	Savings, deposits and investment products				
	Mobile and digital payments				
	Stockbroking and trading		Access to international financial markets		
		Cash management, payment systems and international trade services			
Provide funds for purchases and growth Extending credit, taking into account customers’ and clients’ credit standing and our risk appetite	Residential home loans, vehicle and asset finance, personal loans and credit cards	Commercial property finance and loans			
		Asset and lease finance, trade and supplier finance and working capital solutions			
			Access to international capital markets		
			Large corporate/inter-bank lending		
Manage business and financial risks Solutions to manage risks such as interest rate and foreign exchange		Foreign exchange rate hedging			
	Fixed-rate loans				
			Inflation and interest rate hedging		
Provide financial and business support Individual and business advice, investment research and advisory on large corporate deals	Wealth and private banking including investment advice	Relationship managers and support			
		Seminars and start-up support	International investment research. Advice on large corporate deals as well as mergers and acquisitions		



Our Strategy

Laying the foundation	38
Our strategic drivers for 2016	38
Balanced scorecard review	39

Laying the foundation

Our strategy informs and is tested against our material issues and implemented through five strategic themes.



Our strategic drivers for 2016

Our strategy is underpinned by our strategic drivers for 2016 which are:

- › Accelerated growth in new revenue streams
- › Grew our core business in retail business banking, corporate and investment banking and markets
- › Enhanced customer experience and propositions
- › Enhanced technology and digitisation agenda through sustained investments
- › Increased employee engagement
- › Empowered communities around us
- › Continued building of brand appeal
- › Focused on strong controls and risk management



Balanced scorecard review



CUSTOMER

We aim to be the preferred financial services provider

We are a local bank with a network that spans the Kenyan geography and as a member of the Barclays Africa Group Limited (BAGL) enjoys strong regional and global linkages. With over 100 years of operations in Kenya, we have deep local roots, and access to invaluable insights around which we have developed distribution and product capabilities which enable us to be the preferred financial services provider that offers solutions to serve both the personal and business needs of customers. We are keen on growing our brand appeal to customers and the public to cement our position as a secure and stable bank. We are committed to doing things the right way and treating our customers fairly.

How we measure ourselves

	2016	2015	2014
Total number of banking customers	833,268	824,111	768,988
Number of branches/outlets	121	119	119
Number of ATMs	214	229	239
Customer Experience Score® (%)	75%	74%	74%

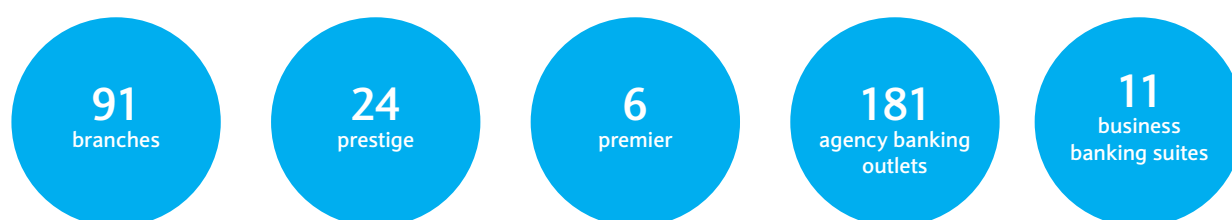
Distribution

We have more than 518 distribution points, including branches, agency outlets, ATMs and iATMs, that enable our individual customers to perform a variety of transactions such as pay bills, deposit money, send money and receive money besides making the normal cash withdrawals.

We opened up our first Premier Banking Centre in Mombasa which is in line with our commitment to make banking easier by offering a comprehensive set of solutions to address our customers' financial and lifestyle needs.

We also partnered with the Postal Corporation of Kenya (PCK) to roll out our agency banking proposition and this now affords us 181 outlets that give us a wider reach to serve our customers better and improve on our position in the market. With 289,012 customers registered on our mobile banking solution and 158,906 customers registered on our online banking platform, our digital platforms are gaining momentum and driving our agenda to shift transactional services to alternate channels. With a direct sales team of 870, we have further extended our reach and bolstered customer knowledge on our propositions and as a result, the sales and deposits generated from this team now stand at 72%. The introduction of queue management systems across our branches has reduced queue times.

Physical outlets



Providing innovative solutions

Innovation is a key item on our agenda, because we believe companies that do not embrace the digital age are likely to become extinct. Customers want banking services availed to them at their own convenience and products that speak to their specific needs. They want to be able to bank on the fly as they go about their daily activities. Our increased focus on innovation encompasses not only process efficiency but the entire spectrum of our customers' experiences while interacting with us.

The banking sector is experiencing heightened focus on service and solutions delivery through integrated virtual banking platforms coupled with an aggressive drive to move customers away from branches to digital and agency banking channels. Banks' ability to compete effectively in an era of interest rate caps will be demonstrated through their capacity and capability to differentiate themselves and replace interest income lines with new revenue lines. The market has also seen the emergence of non-traditional players such as Fintechs, also providing increased competition.

In light of this, one of our aims is to further extend the adoption and usage of our electronic payments and mobile banking for both retail and corporate customers. There is a lot of room to capitalise on our digitalization agenda by creating awareness amongst our customer base. This will also afford us the opportunity to rationalise our operating costs and generate revenue of commissions and fees as part of our non-interest income.

Balanced scorecard review *(continued)*

During the year we also achieved several milestones

- › Mobile Point of Sale (mPoS) solution, which we were the first to role out in the market that allows customers to pay for products and services using their debit or credit cards on the go.
- › Deposita Cash Management Solution that offers direct banking right at our customers' premises, avoiding the costs and risks associated with cash in transit.
- › Rolled out paperless banking across 100 of our branches.
- › Switched over to online debiting of in-house cheques.
- › 100% adoption of Barclaycard e-statements.
- › Launched several propositions under our card business which included the Multi-currency Prepaid Card and a partnership with China Union Pay Cards which are now acceptable on our ATMs and PDQs. This is in line with our mission to entrench our product leadership position in the cards space.
- › Remote account opening using iPads.
- › SMS alert for all transactions now made available to all our customers to enable easy tracking of account activity and early detection of fraud.
- › Mobile loan calculator to drive the uptake of credit facilities within our customer base
- › Implemented a new interactive voice recognition call centre system.

Enhancing customer experience

Our focus has been around the improvement of customer journeys and the increase in efficiency of our technology.

Customer journeys are about the customer's experience with us from start to end. By putting ourselves in the shoes of customers in a wide spectrum of situations, we compel ourselves to have a detailed understanding of their needs, desires and context so that we can then create better experiences for the customer. To this end, we enhanced engagement with our customers through MSAMO (My Shoes Are My Office) which in essence involves customer visits by the bank's leadership. It is a deliberate strategy to engage with our customers across the 3 core customer lifecycle stages, with the objective being to increase our share of mind.

1. **Acquisition** – proper customer on-boarding in line with our value proposition to ensure the customer has the right solutions and channels to interact with us
2. **Engagement** – keeping customers informed of their financial status, driving increased usage of our solutions and solutions
3. **Retention** – ensure the customers maintains us as their primary financial provider through product linked benefits and reward schemes that cater not only for their financial needs but are also lifestyle related.

Service levels

In 2016, our performance in delivering exceptional service improved with most of the target SLAs met.

KPI	2016 Actual	2015 Actual
First Point of Contact complaints resolution	80%	75%
Complaints resolution within 5 days	94%	93%
Complaints outstanding stock >40days	3%	3%
Complaints quality score	99%	99%

Our customers' feedback is that we need to improve complaint resolution in order to reduce turnaround times even further. Complaint resolution is an area we have put extra focus on and we achieved an improvement in customer satisfaction of 1 index score from 89% in 2015 to 90% in 2016. This was driven by:

- › Improved engagement model through close engagement within our network and amongst enablers
- › Increased training amongst our employees to drive ownership of complaint resolution and enculturate more hands on approach
- › Timely escalation and daily circulation of outstanding tracker both to complaint handlers and management for keen oversight
- › Review of our Quality Assurance policy and process to identify gaps relating to turnaround times
- › Enhancement and awareness of Interactive Voice Response (IVR) system functionalities to improve customer experience
- › Increased customer awareness of digital channels and driving activation of the same

Customer satisfaction

We conduct customer surveys to measure our service health index namely:

- › Mystery Shopping with a scope of our branch, ATMs, on-boarding process Lead Generators (LGs), digital channels, PCK Centres and customer correspondence.
- › Care calls which include awareness and feedback calls to both new and existing customers
- › My Branch My Pride with the objective of creating a seamless customer experience across branch network
- › One-off surveys on new products, processes or service channel to gauge customer experience

Customers' feedback indicates they are satisfied with our quality of service, our employees' attitude and knowledge and find them helpful. They have also given positive feedback with regard to the Banks' branch and ATMs ambience, ease of getting through to contact centre and digital channels convenience. Areas where our customers would like us to improve include waiting time and queries, handling of issues concerning accounts, cards or loans as well as relationship management.

NPS	2016 Actual	2016 Target	2015 Actual
Retail banking	30	35%	34%
Business banking	12	10%	15%

The second facet that helps us achieve improved customer satisfaction with our service is the technology efficiency through stability, reliability and availability of our systems as and when the customer needs them. We continuously seek new ways of employing technology to improve our customer experience build loyalty and retain our existing customers. We regularly conduct research in data analytics, mobile technology, social platforms and leading-edge innovations to inform the development of products for commercial use. We continued to make investments in our systems through upgrades and enhancements to ensure they are fit for purpose. During the year we maintained an average system uptime of 99.76%.

SYSTEMS ROLLED OUT OR ENHANCED IN 2016			
Project Name	Purpose	Benefits and unique features	System availability
File Gateway	Launched in October 2016 and is a host to host solution for corporate customers	- Real time receipt of transactions details - Mobile upload capability - Financial Transaction capability - Multiple debits multiple credits functionality	99%
Cash Liquidity Platform	Launched in October 2016 and is a middleware between channel system and core banking system	New product set ups and features can be managed without making changes to core banking system	99%
Stock Brokerage XTP System	Launched in September 2016 it was developed to establish a stock brokerage business in Kenya which will trade as Barclays Financial Securities Limited	- Participation in the stock market - Revenue growth	100%
Automation of Pay bill (Corporate)	Launched in November 2016 for the automation of Mpesa payments into bank accounts	Real time revenue collection for customers	97.8%
Straight through Process (STP) – International Funds Transfer (IFT)/ Domestic Funds Transfer (DFT)	Effectuated in September 2016 to correct a defect to ensure STP of international and domestic funds transfers from Barclays Internet Retail (BIR)/Barclays Mobile Banking (BMB)/ Barclays Tablet Banking (BTB)	Payments flow from Internet banking platform to SWIFT system without manual intervention	98.8%
East African Payment System(EAPS)	Launched in December 2016 and was developed to support payments in any of the East African countries currencies in real time	- Real time settlement of payments in any of the EAC currencies - Conformance with regulatory requirement	100%
Lead Management System	Launched in June 2016 and is a mobile loan calculator and lead management generation tool	Customer acquisition by having sight of customer needs and effectively attending to them whilst having sight of other product offering they might be interested in	99%
Infrastructure Transformational Programme (ITP)	- ITP Branch Network work package - ITP Extranet work package - ITP Virtualisation work package - Remediate the bank infrastructure by replacing aging equipment and introduce fit for purpose technologies to support business growth	- Reduction in complaints arising from unstable network links. Data will be transmitted optimally between the primary and secondary links thereby reducing incidences of network degradation. - Efficiency in systems usage and costs reduction in terms of less space and power consumption through Virtualised environment at the Datacentre	Improved availability due to active redundancy and prioritisation on network links.
Unsupported Infrastructure Application (UIA)	Executed in September 2016 with the Installation of new infrastructure at the Data Centre to achieve faster processing and improved stability	- Faster batch processing - Improved system availability and stability - Improved stability across ATMs, PoS and other Retail Channels. - Sustainability to the Flexcube estate allowing teams to stop "fire-fighting" and focus on new initiatives	Due to early completion of end of day, the system is available to the customers without delays

Balanced scorecard review *(continued)*

Fair dealing

Fair dealing is integral to our culture and is a Key Performance Indicator (KPI) in the Bank's balanced scorecard. All employees complete training modules on fair dealing every year. Sales employees also undergo comprehensive training on the bank's product suite and compliance guidelines. In addition, our relationship managers are compensated based on a balanced scorecard approach, which takes into account sales and non-sales performance indicators such as the quality of the advisory and sales process, the suitability of product recommendations and customer satisfaction. We continued to perform well in this aspect having achieved our target of 80% for 2016

Our fees and charges have been and continue to be regulated by the CBK. Any fee increases are reviewed and approved by the Bank's Pricing Committee prior to submission for approval by CBK. With Interest Capping Law, our interest rates on deposits and loans are now tied to the Central Bank Rate (CBR) and not KBRR. This change has been effected for all our deposit and loan products.

As per regulation we ensure disclosure of pricing for various solutions, services and channels through:

1. Our official pricing tariff guide which is available across our branches and website
2. Key Facts Documents issued and explained to each customer for the respective solution they take up at the point of customer on boarding
3. Offer Letters provided on take up of credit facilities which the customer is also taken through by our employees



COLLEAGUES

We create an environment
where employees can fulfil
their potential

At Barclays, our mission is to create a workforce that has a heart for change and excellence. To achieve this, we provide differentiated employee experiences that incorporate learning and development, rewards and recognition, and the tools needed to achieve a work-life balance.

Recruiting talented individuals is the first step towards building a high-performance organisation made up of highly engaged employees. We support this strategy by instilling in our employees a sense of purpose and the resolve to aim high.

How we measure ourselves

	2016	2015
Total permanent employees	2,403	2,513
Total non-permanent employees	188	249
Permanent employee turnover rate (%)	9%	7%
Retention of high performing employees (%)	97%	97%
Women in senior management roles	36%	34%
Training spend (shillings)	57 million	77 million

Attracting and retaining talent

Attracting and retaining talent is a business imperative for Barclays. We are committed to creating an environment that allows our employees to learn and grow while making a difference at work. We believe that by mentoring and nurturing our people, we can better engage and retain them. The first step in the process is attracting the right graduates and senior level talent to the Bank. This is underpinned by our talent development programme, which is aimed at creating a leadership pipeline from entry level to senior management. This ensures that we have a constant pool of talent and leadership that will steer the Bank into the future.

We are proud of our female talent and our gender split stood at 48% women and 52% men bringing us closer to our desired 50:50 gender split at the Bank. Our Women Network Forum (WNF) programme continues to equip women with the skills they need to succeed and excel in the workplace.

Keeping the channels of communication open

Maintaining an ongoing dialogue with our employees is important to us and our colleague engagement model – Engage, Enable, Energise – forms part of this process. With the announcement of the Barclays PLC sell-down in Barclays Africa Group Limited (BAGL) and the introduction of interest rate caps, many employees were concerned about their future at the Bank.

We introduced two programmes aimed at allaying fears and addressing concerns surrounding these issues and equipping employees with the necessary tools for enhanced change management. The first of these programmes was *'Let's Talk'*, a series of candid conversations on key matters affecting the bank and the financial industry that were spearheaded by our senior management who visited branch/outlet and engaged with all employees.

The second programme, *'iChange'*, was focused on building an agile workforce that is capable of adapting to a changing business environment while remaining customer-centric. The programme was designed to raise the capacity of employees to deal with ongoing change within our operating environment and inspire them to embody the change they would like to see – *'Be the Change'*. The programme was rolled out via a digital platform, YAMMERApp, and has reached the majority of our employees.

Balanced scorecard review *(continued)*



In addition, our *'Breakfast with HR'* initiative provides a platform for colleagues across the business to engage directly with the HR team and make complaints or give compliments in an open forum. The feedback received in this forum has informed many of the programmes we have rolled out to create a better work environment for our employees. Additional forums used to interact with employees include *'Resourcing Chats'* and the *'HR@UR service'*.

Prioritising people development

The performance, passion and pride of our people are critical components of sustainable business growth and we continue to offer them cutting-edge training programmes through our Business School. The Barclays Business School continues to be a big success with Shs 20 million saved by utilizing the facility for our training activities while still delivering 60% more learning in terms of the number of training programs rolled out and employees trained as compared to 2015

In addition to the iChange programme, we rolled out the Certified People Manager Programme (CPMP), which equips line managers with the necessary skills to manage, engage and motivate their teams. We also designed and developed a bespoke people management programme, which we rolled out to 320 line and sales managers in 2016. This will be a mandatory training requirement for new people managers going forward.

Responding to our employees' recent concerns regarding people management within the Bank, we committed ourselves to building good work relationships within the organisation. As a result, relevant training focuses on providing line managers with the skills to conduct crucial conversations with their teams, address changes within the Bank and industry as a whole, and foster open and honest feedback. The programme has been well received by BAGL HR and four countries have requested that we partner with them to roll it out within their operations. Phase II of the programme will include assessments for people managers as part of embedding their newly learnt skills and behaviours.

Our Business School also offers tailored colleague capability programmes on relationship management, credit skills, line management and customer service. In addition, we rolled out the talent development programme mentioned earlier, which is aimed at developing our pipeline and supporting our efforts to retain talent'. Notably, 2016 saw us deliver SME and agriculture lending training for the first time.

In support of our 'building pride in the brand' campaign, we introduced a Business School Kids' event for more than 120 children, aged between eight and 16 years. The day was facilitated by about 30 Barclays employees and the children attended sessions focused on the basics of banking and Barclays Values. They also took part in a talent show as well as various arts and crafts and sporting activities.





Promoting reward and recognition in the workplace

Reward and recognition play a significant role in motivating our employees as guardians of our customers and ambassadors of our brand. We are committed to opening up opportunities for our employees to excel by providing them with clear guidelines on how to place themselves in the right position to take advantage of these opportunities.

A new recognition framework was put in place to drive recognition at sub-unit level and line managers were equipped with colleague recognition tools and support. In 2016, we celebrated our employees through individual and team recognitions that touched on Values, Performance and Innovation. There is now increased awareness amongst our employees on performance based reward and recognition.

We now get to celebrate Excellence!

Mohammed Obare is the epitome of this value!

He is selfless, consistent and persistent when executing his system support role.

He will not be cooped until system stability is achieved... anytime, any day, anywhere!

This is Excellence!

His clients, the branch network says...
he is the COOLest support in IT and to them...
"Mohammed is the face of IT in branches".

Well done Mohammed!



BARCLAYS

Who is Wolfgang??

Wolfgang is fondly referred to as 'Wolffy' by his peers

The guy is a go-getter and means business

'Wolffy' is tactical in his approach to things and believes in partnering with his team leaders and peers

Wolfgang is a Dealer, Fixed Income Trading, with a YTD performance @600% above target as at June

In his own words....."We are in the game to make more money than we lose"

Wolfgang Omondi is our STAR!!!



BARCLAYS

Balanced scorecard review *(continued)*

Encouraging employee wellness

This year, our employee wellness programme was tailored to incorporate financial wellness skills, especially as we view our employees as financial advisors to the Bank's customer base and general public. The programme equips colleagues with the necessary skills to manage their finances more effectively, whatever their personal circumstances. A survey aligned to Barclays' wellness mission 'To promote a healthy lifestyle among Barclays colleagues' – with the focus being employee financial health and freedom was conducted in the year. We also rolled out a private pension fund and HR Soko to cement our commitment to employee welfare.

We continued to proactively support employees in managing their health and wellbeing with annual health checks and provide a comprehensive support programme for those dealing with illness. In another positive move, our medical scheme was revised to give employees the opportunity to enhance their cover for additional facilities at a discounted price.

This year, we implemented the flexi work plan which enables employees to achieve better work life integration and addresses high levels of stress by affording them a choice of when to start and end their work days, as well as the opportunity to work remotely.

Driving a performance culture

In 2016 we established a comprehensive performance culture that is now being adopted by BAGL. The performance management system enables a more focused approach to development plans and the implementation of learning and development activities to address specific developmental needs. Some of the benefits include enhanced strategic alignment, reduced role ambiguity, increased communication and engagement, improved performance and results, and better retention of employees.

Additionally, Barclays introduced an internal customer experience (ICE) programme in 2016 to determine the level of internal customer satisfaction across the different business sections and identify areas for improvement. By focusing on Excellence in Service as the main pillar on which our future as a business is anchored, we administered an ICE Survey to help identify key areas of improvement in the business. The survey assessed the performance of the different business functions against a set of service matrices, including responsiveness, professionalism, speed, reliability, accountability and stewardship.

Women Network Forum (WNF)



The WNF's role is to drive the development and enactment of policies that promote a better work environment for women in Barclays. Similarly, it starts with ensuring that we have sufficient qualified women available for leadership positions which they achieve through the delivery of mentorship and training programs. This is in line with the bank's commitment to promote the gender agenda right from group level. Some of the initiatives that WNF has rolled out include:

› The Female Future

Sponsored by the Federation of Kenya Employers, this program aims to strengthen gender equality in the workplace and improve women's presentation in the management of private and public sector entities. It is for the growth oriented career woman in mid-to-top level management position in the private sector, public sector and civil society, aspiring to be at the apex of corporate leadership. There are 6 senior female BBK leaders at VP & Director level currently attending the program.

› Stepping-in Mentorship Program

This program was tailored to meet the specific needs around Finding Balance in Life, Career Management, Personal Branding, Visibility and Introduction to Management. It utilises a mentorship model that coaches women from across the entire bank network

› Breast Cancer Awareness Month

In the month of October, we observed Breast Cancer Awareness. This is an annual international healthcare campaign organized to increase awareness of the disease and to raise funds for research into its cause, prevention, diagnosis, treatment and cure. We raised Shs 1 million in support the Twatukuza Trust that was started by a breast cancer survivor and they dedicatedly support underprivileged Kenyans who are living with cancer but cannot afford medical care with cancer.

› Universal Children's Day

Universal Children's Day takes place annually and was established to promote mutual exchange and understanding among children while initiating action to benefit and promote the welfare of children. One of the key success was the Kid's Day conducted at the Business School.

Employee initiatives

Our HR team were the 1st runner up for the Africa Citizenship Awards for mentorship and provision of a library for Glory Secondary School located in Korogocho Slum.

Hillary Migoya

[Glenn Shaw Everest Recipient Awards](#)

Hillary Migoya, our Leadership, Learning and Talent (LLT) Coordinator, was a winner of the Glenn Shaw Everest Award held in London on Tuesday 25th October 2016. He embodies Colleague Citizenship in many different ways.

Hillary does volunteer work with the Kenya Association for the Deaf by providing sign language services for their functions and he was notably one of the sign language interpreters during the Pope's visit in Kenya last year. This is what he was recognized for at the event in London.

The HR team was also a finalist in the earlier year in the Africa Citizenship Awards and Hillary was a strong contributor. He was a very strong contributor during the HR Micro Tyco challenge which saw the Kenya HR team raised money for Charity.



Balanced scorecard review *(continued)*



CITIZENSHIP

We have a positive impact
on the communities in
which we operate

We have repositioned ourselves as a purpose driven bank for all our stakeholders. This is achieved by leveraging our human and financial assets in innovative ways to unlock commercial solutions for societal challenges.

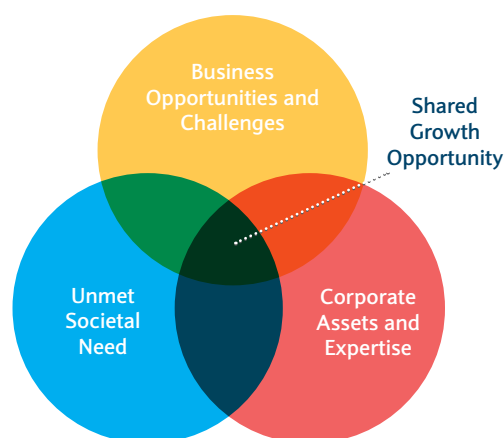
Introduction

Our outlook enables sustainable and scalable growth that is balanced and inclusive and at the same time, creates a link between our own success and society's progress. This is what we refer to as **Creating Shared Value (CSV)** which revolves around

- › Solving social problems using core business models
- › Embedding shared value in the way we do business

We believe that we can achieve shared growth by creating societal and commercial value which will in turn enhance our long-term business competitiveness.

Shared growth framework



In order to achieve Shared Growth, the opportunity must:

1. Lead to **tangible commercial return**
2. Address an **unmet societal need** in a significant way
3. Result in innovative solutions, which **differentiate our business**

Working with the youth

We recognise that the youth in Kenya continue to face challenges in accessing opportunities through which they can engage in beneficial activities that utilise and develop their skills, education and talents. At Barclays, we have committed to work with partners to foster entrepreneurship and employment skills among the youth. Our work with the youth has taken several dimensions and portrays our commitment to invest in this segment of society. Among the things that we are doing are:

ReadytoWork

Under this programme we offer a free online platform through which college students and graduates aged between 18 and 35 years build the skills they need to make a smooth transition into the job market. This is in line with our citizenship strategy which aims at providing young people access to the skills and opportunities they need to find meaningful employment or start successful business ventures. Between 2002 and today, Kenya has recorded over 40% increase in the number of public and private universities. According to a Corporate Staffing Services survey, 50,000 graduates leave Kenyan universities every year. Of these, only half get absorbed into the job market, making it highly competitive for graduates to access existing job opportunities. With the evolution of technology and automation of processes, most enterprises are rationalizing their staffing needs which has necessitated the drive to nurture entrepreneurs to absorb the ready workforce. The curriculum was developed after careful research was carried out across Africa, to identify the gaps in employment and youth-owned businesses. It offers certificate courses that revolve around growing their capacity in people, work, entrepreneurial and money skills.

Learning Skills

As you set out to find employment or create self-employment, you need skills that will help you to transition from the world of education into the world of work. ReadytoWork provides learning material that will help you develop work skills, people skills, money skills and entrepreneurial skills. You can select your own learning pathway depending on your individual needs and complete the learning online using computer, tablet or mobile platforms.



Work Skills

Set out to find your dream job with the work skills you need to prepare for job applications, look for work and start off your new job successfully. In this module, you will:

- › cover important criteria to assist you in setting out to find your dream job.
- › gain insight into the work skills and tools you will need to prepare for job applications.
- › learn how to act in an interview and how to behave in a business environment

People Skills

Get the skills you need to work well with others in the workplace, by understanding, applying and improving your people skills. In this module, you will:

- › cover important criteria to assist you in working well with others in the workplace.
- › gain insight into applying effective workplace communication skills.
- › learn how to use your emotional intelligence to manage your emotional reactions.

Money Skills

Get the financial skills you need to manage your own money, deal effectively with credit and debt and manage your financial future. In this module, you will:

- › cover important criteria to assist you in knowing how to budget your money.
- › gain insight into how to ensure your budget will enable you to achieve your goals.
- › learn important information about how using credit can work for you.

Entrepreneurial Skills

Get the skills you need to start, set up, and grow your own business. In this module, you will:

- › cover important criteria regarding what you need to consider when choosing to be self-employed.
- › gain insight into how to research key information regarding your marketplace.
- › learn how to ensure you have covered all areas required when you choose to start, set up and grow your own business.

The programme mainly targets students in tertiary institutions, but it is also appropriate for persons of all ages interested in scaling up their skills in any of the four areas. In 2016 the programme was also rolled out to the larger community to reach the youth who have not had the opportunity to gain access into tertiary education institutions. This was executed through partnerships with different organisations that work directly with the community such as CARE, Junior Achievement, Shofco, TechnoServe. In November we rolled out another facet of the programme with University of Nairobi and Strathmore University among other partners with an aim of impacting 400,000 youth.

› Africa Young Agripreneurs Program (AYAP)

Our partnership with TechnoServe was aimed at planting a seed in the youth to view agriculture as a viable means of earning a living to stem the rural-urban migration that has seen a flood into urban and peri-urban areas, further putting pressure on employment rates in urban areas while draining rural areas of a young and energetic workforce. Under a project named AYAP- Africa Youth Agripreneur, we work with young people across 6 counties by addressing the challenges faced by the youth in agribusiness by taking advantage on modern technology, farming faster maturing crops or animals and value addition. We also conducted boot camps that brought together all the stakeholder in the entire agriculture value chain from seed and equipment companies, agrochemical companies, research institutions and exporters to give guidance, technical training and support these youth throughout the entire agricultural production lifecycle.

› International Youth Foundation (IYF)

We partnered with the International Youth Foundation to roll out a project with the Mathare Youth Sports Association (MYSA) where we exposed the youth from disadvantaged backgrounds to the ReadytoWork curriculum in a classroom set up with a focus on technical based entrepreneurial skills such as masonry, plumbing, welding, carpentry, electronics. Furthermore we worked closely with other partners to link the beneficiaries of this project with local and global contractors to gain on-the-job skills and as a result, some of the beneficiaries are now under employment with the government sponsored SGR project in Kenya.

Balanced scorecard review *(continued)*

SheTradesKE

Women-owned businesses represent between one-quarter and one-third of enterprises in the world. However, they are prevalent in less productive sectors, and are largely invisible in global value chains and in corporate and government supply chains. Women-business owners especially in developing countries face significant challenges particularly in accessing finance, markets and networks. We partnered with the International Trade Centre in July 2016 with an aim of creating opportunities for women business entrepreneurs to participate in the global economy by building their capacities and delivering trainings on financial literacy and entrepreneurship. We have set aside a Shs 5 billion loan kitty to offer financial solutions to women's business enterprises with a target of 10,000 women entrepreneurs in Kenya. Under this program, they receive business support in critical areas, including financial services, to help them create or maintain links to international markets. We leverage on our expertise and global network coupled with ITC's work on business development and trade-related assistance to deliver on the program's agenda.

Sponsorship

Nairobi Innovation Week

For the second year in a row, Barclays was the title sponsor of Nairobi Innovation Week to a tune of Shs 3 million. The event which is organised by the University of Nairobi is geared at encouraging public participation in innovations by showcasing researchers, promoting skills and providing support mechanisms for innovation. This year's event was themed 'Innovating to solve pressing local and global challenges'. We as a bank realize that home-grown technological innovations will enable businesses to scale up their operations.

Barclays Kenya Open

Our total investment in the 2016 Barclays Kenya Open tournament was Shs 90 million as part of the ongoing partnership with the Kenya Open Golf Limited. The 48th edition of the tournament saw a participation of 156 golfers from across the world including 26 from Kenya saw them compete for the top prize of Shs 3.5 million (32,500 Euros), and maintained the bank's title sponsorship for the tournament for the sixth consecutive year. The sponsorship is aimed at building the profile of the tournament as a national sports tourism event with a special focus on making the fans' experience better and more interactive.



Yusuf Omari, Barclays CFO, presenting the sponsorship cheque for Nairobi Innovation Week to Prof. Mbithi, VC of University of Nairobi



Guests interact during the launch of the SheTradesKE programme which is in partnership with the International Trade Centre.



Jeremy Awori showing H.E. President Uhuru Kenyatta the ReadytoWork portal at the Barclays stand during the University of Nairobi's- Nairobi Innovation Week



Former chairman, Francis Okomo-Okello, H.E. President Uhuru Kenyatta and Jeremy Awori present the cheque to winner, Sebastian Soderberg



Our Code of Conduct sets out the principles and standards of behaviour that are expected of all employees when dealing with customers, business associates, regulators and colleagues. The principles covered in the Code of Conduct include professional integrity, confidentiality, conflicts of interests, fair dealings with customers and whistle blowing. By consistently evaluating our conduct, we enable employees to live our values of Respect, Integrity, Service, Excellence and Stewardship. We aspire to treat customers fairly (TCF) in all our engagements with them through ethical and responsible business practices.

How we measure ourselves

	2016	2015
Treating Customers Fairly (TCF)	60%	54.5%
Disciplinary as a percentage of total employee base	8.7%	5%
Grievances as a percentage of total employee base	0.15%	5%

Role of Compliance in the Business

The compliance function oversees regulatory affairs through proactive engagements with all the regulatory bodies including the Central Bank of Kenya, Capital Markets Authority, the Insurance Regulatory Authority and Retirement Benefits Authority. The financial crime team oversees matters relating to 'know your customer' (KYC), money laundering, anti-bribery, anti-corruption, and sanctions. We also have a team that oversees policy implementation both internally and externally to ensure compliance with regulations, guidelines and policy. Monitoring and Testing team carries out independent assurance of the implementation of the various policies and guidelines. We appreciate that the cost of complying is much lower than the cost of not complying and as such our compliance concerns cut across the bank for all categories of customers.

Key regulatory changes

There were a number of new regulations that came into existence in 2016. The Banking (Amendment) Act was the major one. There were some changes in the Finance Bill that tried to increase the bank capital requirement from 1 billion to 5 billion but did not go through as well as changes to = Land Laws

The Central Bank of Kenya was also very keen on enforcing existing laws with a view of prevent financial crime especially the Anti-Money Laundering Act and consequently some regulations were introduced to ensure banks report large transactions to the financial reporting center.

Any law or policy change is tracked and analysed then compared with our existing policies to see if there are any gaps and finally work with business to make sure that one, we comply with those regulations and laws and two, that if there are any gaps we work towards making sure they are closed. Some of the regulations we are tracking include

- Finance Act 2016 that amended the Banking Act to allow for the issuing of a Perpetual banking licence by the Central Bank of Kenya and introduced minimum capital requirements for insurance companies.
- Banking Amendment Act 2016 which brought about interest rate caps on the banking industry.
- CBK Banking Circular No 4 and 6 that elaborated on the necessary requirements that banks need to adapt when implementing the Banking Amendment Act 2016
- CMA Corporate Governance code of conduct for issuers which stipulates the various measures that need to be undertaken by the Boards' of listed companies to ensure effective corporate governance of listed companies.
- Bribery Act 2016 that introduced stringent measures for detecting, reporting, investigation and penalties for engaging in bribery and corruption

Conduct Risk

2016 was a turbulent year for the banking sector following the closure of 3 banks due to governance issues which resulted in a general mistrust amongst consumers thus calling for banks to be more stringent and prudent in the management of their affairs..

Managing conduct risk revolves around guaranteeing that whatever we do as a Bank does not cause any detriment to our customers and takes into account our sales culture, how we price our products, the information we give our customers as well as how we handle customer complaints and resolution of the same. The compliance function provides oversight of what the business is doing in order to secure our customers best interest.

Balanced scorecard review *(continued)*

We have rolled out a training programme for our employees to foster a culture of putting the customer's interests first. We opened up discussions on the Banking Amendment Act to ensure we are transparent to our customers and most importantly that we are not causing them any detriment.

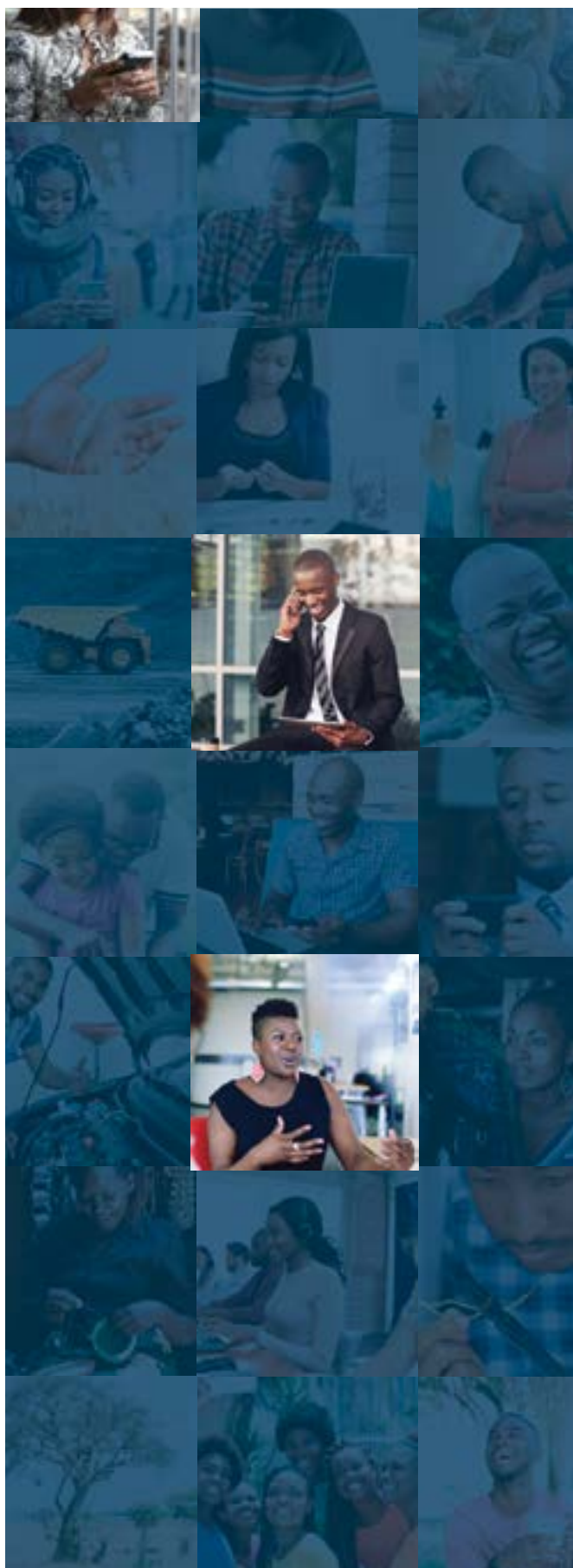
We have also developed clear policies and processes that govern how we on board customers and manage transactions that involve large amounts of money. This has been necessitated by the heightened risk of bribery and corruption and abuse of political office in Kenya.

Managing Fraud

Financial crime and corruption remain a challenge in the financial services sector. The Board has prioritized the Bank's need to be above board in regards to business conduct. Even where regulation is not available or is at par with our standards, we will seek to adhere to the highest level of business conduct appreciating that public perception can turn against you even when what you did is not illegal. Internally, our people are continuously engaged and trained to ensure that they are fully aware of the need to do the right things, in the right way and ensure that it is beneficial to the customer. The Board and management are also fully committed to ensure that the business is not used as a conduit for crime in any way.

Amount: Shs	FRAUD PERFORMANCE	
Fraud Metrics (in Shs millions)	FY 2016	Cases
Gross Loss (in Shs millions)	145.9	318
Recoveries (in Shs millions)	86.7	196
Net Loss (in Shs millions)	59.2	122
Fraud Appetite (in Shs millions) Performance	59.0	-
Frustrated Fraud (in Shs millions)	221.6	257
Reported to BFID*	Shs 116 million	30 cases

*BFID – Bank Fraud Investigations Department



Our Performance

Operating Environment Review	54
Chief Financial Officer's Report on Financial Performance	56
Risk Management Overview	58
Segment reviews	62
Retail and Business Banking	63
Corporate Banking	65
Markets	66

Operating Environment Review

Executive Summary

- **Kenya Macro Economic** : The Kenyan economy expected to record between 5.7% - 6.0% growth, on account of a stable macro-economic environment, despite decreasing private sector credit growth;
- **Interest Rates**: Yields on government securities remained relatively stable during the year on the back of improved liquidity position in the money market and the government's grip on its domestic borrowing programme;
- **Business Environment**: Bank failures and changes in regulatory framework created a challenging operating environment.
- **Regional Markets** : Sub-Saharan Africa region continued to register slow growth with the IMF forecasting the region's economic growth to drop to its lowest level in over 2 decades to 1.4% in 2016 from 3.5% in 2015;
- **Global Markets**: Global economic growth remained moderate in 2016 as Central Banks' accommodative policies supported growth. China's economy remained stable, contributing up to 1.2% of the expected 3.1% global GDP growth.

Kenya Macro Economic Update

The Kenyan economy is projected to have grown between 5.7% - 6.0% in 2016, up from 5.6% in 2015, underpinned by (i) low oil prices since Kenya is a net importer of oil, (ii) stable agricultural performance as a result of stable weather conditions, (iii) a supportive monetary policy, (iv) ongoing infrastructure projects being undertaken by the government, and (v) recovery of the tourism sector.

The economy is however expected to face the following headwinds as we move into 2017;

- i. Relatively lower earnings expected from the banking sector following the signing of the Banking Amendment Act 2015, which suppressed earnings especially in the fourth quarter of the year and will stifle revenue collection by the Kenya Revenue Authority,
- ii. Diminishing Private Sector Credit Growth, further weakened by the signing of the Banking Amendment Act 2015, which slowed for the 17th consecutive month in December to close at 4.3%, the slowest pace since June 2008, a key variable that influenced the National Treasury to revising GDP growth forecast for 2016 downwards.
- iii. Slowdown in Agriculture performance due to drought.
- iv. The upcoming Kenya general elections, scheduled for August 2017, are expected to slowdown activity as investors adopt a wait and see approach.

The Kenya shilling remained resilient, depreciating slightly by 0.1% against the USD, having appreciated by 1.2% against the dollar during the first half of the year. This was mainly influenced by (i) the high levels of foreign exchange reserves which averaged USD 7.5 billion, equivalent to 4.9 months (ii) improved diaspora remittances, with cumulative 12 month' inflows to June 2016 increasing by 11.0% to USD 1.7 billion from USD 1.5 billion in the year to June 2015. However, towards the end of the year, the shilling depreciated driven by global dollar strength driven as a result of the Fed raising rates.

Inflation rate remained relatively stable over the year with the annual average at 6.3%. Inflation hit a low of 5.0% in May, following a steady decline from the 7.8% recorded in January, owing to low food and fuel prices in the first quarter of the year. In 2017 we anticipate additional inflationary pressure but with active policy intervention to contain the core inflation within the government target range of 2.5% - 7.5%. The key risks to high inflation include (i) the possible upward pressure from the food component of the Consumer Price Index(CPI) basket (ii) increasing oil prices following the Organization of Petroleum Producing Countries' (OPEC's) decision to reduce crude oil production by 1.2 million barrels/day, and (iii) the low base effect for 2016.

Interest Rate

During the first half of the year, yields on Treasury bills were on a downward trend with the 91, 182 and 364-day papers declining by 330 bps, 130 bps, and 170 bps, respectively. The decline in yields was as a result of high liquidity in the money markets, especially in the second quarter, highlighted by the overnight interbank rate declining to 2.2% in early June, from 7.5% at the beginning of the year. Yields on government securities remained low and appeared to have bottomed out through the second half, mainly attributed to (i) high preference for risk free government securities especially after the capping of the lending rates also as indicated by the reduced lending to the private sector, and (ii) to reduced pressure from government borrowing. This was evidenced by (a) the decline in average Overnight interbank rate from 8.7% in H1'2015 to 4.4% in H1'2016, and (b) the oversubscription in government securities.

Industry Update and Regulatory Changes

During the first half of the year, a Tier II bank was put under statutory management throwing the industry into a confidence crisis. The money markets were characterized by (i) high liquidity, which was skewed towards the larger banks as a result of flight to safety following the closure of the Bank, and (ii) Central Bank of Kenya (CBK) actively participating in the money market through reverse repos in a bid to distribute liquidity to the lower tier banks.

The year saw the enactment of a number of legislations and other developments that affected the banking sector, equities market and investor sentiment, namely:

- i. **The Banking Act (Amendment) 2015:** The amendment put (i) a cap on lending rates at 4.0% above the Central Bank Rate (CBR) and (ii) a floor on the deposit rates at 70% of the CBR.
- ii. **Oversight of Collective Investment Scheme (CIS) funds:** The Capital Markets Authority now requires CIS's to disclose their distribution of fixed deposits across Tier 1, 2 and 3 banks, in a bid to protect investor funds. This follows the collapse of 3 local banks.
- iii. **Insurance Amendment Act of 2016:** This seeks to implement a risk based capital adequacy system, with insurers covering high risk businesses being forced to raise capital levels.
- iv. **Amendment of the Kenya Deposit Insurance Corporation Act (KDIC):** Treasury wishes to amend the Kenya Deposit Insurance Corporation Act, to be involved before a bank is placed under receivership was approved by parliament
- v. **Internal Capital Adequacy Assessment Process (ICAAP):** All banks and mortgage finance institutions are required to formulate their own ICAAP to ensure overall internal capital levels that are adequate and consistent with their strategies, business plans, risk profiles and operating environments

Regional Markets Update

Sub-Saharan Africa (SSA) continued to register slow GDP growth with IMF forecasting economic growth to drop to its lowest level in over 2 decades to 1.4% in 2016 from 3.5% in 2015. This decline was mainly attributed to; (i) declining oil prices which affected key commodity exporting economies, such as Nigeria, (ii) terrorism and humanitarian crimes, and (iii) critical drought particularly in Lesotho, Malawi and Zambia. These factors coupled with global flight to safety following challenging macroeconomic environment in this region contributed to the slowdown in foreign direct investments into the region.

The above factors point to the need for economic diversity given (i) homogeneous economies such as Nigeria, Angola and South Africa who according to IMF report were expected to collectively register negative growth while (ii) heterogeneous economies such as Kenya, Ethiopia and Ivory Coast showed a good level of resilience.

The Sub-Saharan African currencies lost against all the major global currencies during the year as a result of (i) strengthening of the dollar globally, (ii) increased outflow from the commodity dependent markets, and (iii) foreign investors shifting their investment portfolios to cheaper and less risky markets. The Nigerian Naira was the worst hit currency during the year shedding 58.1% against the dollar as the country continued to experience a recessionary economic environment and reduced investor confidence prompting the Central Bank of Nigeria (CBN) to devalue the Naira.

Global Markets Update

The year 2016 was characterized by uneven global economic growth, with the US and China economies proving resilient with growth coming in at 2.2% and 6.9%, respectively in the year while the United Kingdom and the Eurozone recorded reduced economic growth at 1.6% and 2.1% for the year, respectively. The sluggish start of the year coupled with the Brexit vote led to increased uncertainty over global growth which prompted the International Monetary Fund (IMF) to revise the world projected growth in their October issue by 0.1% to 3.1% from an earlier projection of 3.2% at the start of the year. Economic growth was largely supported by accommodative Central Bank policies in the advanced economies save for the US Federal Reserve Bank that changed its monetary policy and raised the benchmark rate by 25 basis points for the first time in a decade.

The US stock market performance improved on account of (i) an improvement in corporate earnings that rose 4.3% in Q3'2016 from Q3'2015, and (ii) the conclusion of the US elections where Republican candidate Donald J. Trump won, and he is expected to implement pro-growth policies during his term.

The stock markets in the Eurozone have been on a downward trend, with EuroStoxx 600 declining by 4.9%, while the FTSE 100 lost 5.6%, owing to the anticipated slowdown in economic growth in the United Kingdom following Brexit.

Chief Financial Officer's Report on Financial Performance



YUSUF OMARI
EXECUTIVE DIRECTOR – CHIEF FINANCIAL OFFICER

2016 has been a challenging year for the Kenya's banking industry having started the year with a high interest regime that flowed from the last quarter of 2015. The key highlights of the challenges include; the placement of one more bank under statutory management, an increasingly dynamic and complex regulatory environment and the signing into law of The Banking Amendment Act, 2015 on interest rate capping. The new law set the lending ceiling at 4% above the Central Bank Rate (CBR) and put a minimum floor rate on interest earning deposits at 70% of CBR. Additionally and specific to Barclays Kenya, was the announcement by Barclays PLC UK in March 2016 of its divestiture from the Bank's holding company, Barclays Africa Group Limited. Despite these challenges, we have still recorded satisfactory performance on our top line numbers as further highlighted below.

Key highlights of our 2016 performance include:

16%	9%	8%	8%	8%
Loans and advances	Net Interest Income	Deposits	Total Income	Total Assets

Return on Equity
17.5%

Dividend per share
Shs 1.00

Net interest margin
9.95%

Cost-to-income ratio
53.00%

Profit before tax
Shs' 10,852 mn

Earnings per share
1.36

Return on risk weighted assets
3.10%

Net asset value per ordinary share
7.80

Overall performance

Our profit before tax (PBT) declined by 10% year on year mainly on account of a 122% rise in impairment due to a turbulent macro-economic environment which led to increased interest rates and job losses resulting in high default rates that majorly impacted personal unsecured loans. The interest rate capping impact of 3.5 months also affected our performance due to repricing of our stock book in addition to the new bookings. Despite this, customer lending grew by 16% further driving a 9% growth in Net interest income.

Income

Net interest income increased by 9% to Shs 22 billion, up from Shs 20 billion in 2015. This is the highest recorded growth on NII in the last four years. This was driven by the growth in interest earning assets despite the pressure of declining net interest margins through regulation of interest rates. Non Funded Income grew by 3%, with a contribution to total earnings of 30%. This was largely supported by Bancassurance, foreign exchange income and an impressive performance of the trading book.

Loans and advances

The lending book grew from Shs 145 billion to Shs 169 billion, an overall growth of 16%. The cumulative average growth rate over the last four years is 13%. From a business perspective, we registered significant growth in lending in both the Corporate and SME segment by 33% and 25% respectively. This is in line with our strategy to de-risk our loan book through diversification and improve the balance between Corporate and Retail customers.

Customers Deposits

Customer deposits grew by 8% to Shs 178 billion with significant contribution coming from savings and transactional accounts which make up 80% of our deposits (79% in 2015). Business Banking and Corporate segments recorded double digit deposits growth during the year. This is a departure from past trends and confirms that our strategy to grow the SME sector is bearing fruit.

Costs

Costs went up by 8% from Shs 16 billion to Shs 17 billion Year on Year. The increase is attributable to inflationary cost increments especially for employees and property costs. Other operational costs have been well contained with the notable increases coming mainly from investments in technology and new channels such as agency banking. These investments will bear fruit in 2017 as we give our customers a wide array of alternative channels to do business with us. The cost to income ratio has been maintained at 53%, similar to what we reported a year ago.

Impairment

Credit impairment charges increased by 122% from Shs 1.8 billion to Shs 3.9 billion due to the adoption of more prudent impairment models. These impairment models have already incorporated some elements of the new International Financial Reporting Standards (IFRS) 9. The effective date for this new standard is 1 January, 2018.

Also contributing to the increase in impairment is the difficult macroeconomic environment that has led to job losses. However, the asset book remains strong with Non-Performing Loans (NPL) ratio of 7.3%, below the industry average of 8.4%. This reflects the strong risk management practices and adherence to sound lending practices that the bank has consistently applied over the years. The average loss rate stood at 2.33% with the NPL Coverage Ratio at 79% portraying a healthy level of provisions.

Capital & Liquidity

Our capital and liquidity ratios are strong with sufficient headroom above the regulatory requirements. We are well positioned to support future growth as per our strategy in the medium term and beyond.

	2015	2016	Minimum Required	Buffer
Liquidity ratio	34.10%	28.27%	20.00%	8.27%
Core capital / total risk weighted assets	15.70%	15.70%	10.50%	5.20%
Total capital / total risk weighted assets	18.40%	17.90%	14.50%	3.40%

Dividends

Subject to the approval of the shareholders, the Board has recommended a final dividend of Shs 0.80 per share having paid an interim Dividend of Shs 0.20 per share in the year 2016. This brings the total dividend for the year to Shs 1.00 per share.

Looking ahead

Our strategy remains intact as we continue to tap into new growth opportunities. We will continually engage our resources towards identifying, testing and introducing new innovations that will enhance efficiency, lower costs and delight customers. We will also identify more ways of managing costs particularly through technology and also harness the cost benefits of our current investments. We are focused on making sustainable improvements in productivity, efficiency and our ability to generate better returns.

Risk Management Overview



WILLIAM JUMA AROGO
CHIEF RISK OFFICER

Enterprise Risk Management Framework (ERMF)

Effective risk management and control are essential for sustainable and profitable growth

The role of risk management is to evaluate, respond to, and monitor risks in the execution of our strategy. It is essential that business growth plans are supported by an effective Enterprise Risk Management Framework (ERMF). The risk culture is therefore closely aligned to that of the business.

The Risk Function retains independence in analysis and decision-making. The approach to managing risk is outlined in the ERMF, which creates the context for setting policies and standards, and establishing the right practices throughout the Bank. The ERMF defines the risk management process and sets out the activities, tools, techniques and organisational arrangements to ensure that material risks can be optimally identified and managed. It also ensures that appropriate responses are in place to protect the Bank and prevent detriment to its stakeholders.

The ERMF includes those risks taken by the Bank that are foreseeable, and material enough to merit establishing specific bank-wide control frameworks. These are known as Key Risks and are grouped into Five Principal Risks: Credit; Market; Funding; Operational; and Conduct Risk.

The Three Lines of Defence operating model, which has been defined in the ERMF, enables the appropriate assignment of risk management activities between those parties that:

- a) Own and take risk, and implement controls (First Line of Defence);
- b) Oversee and challenge the first line, providing independent risk management activity and support controls (Second Line of Defence); and
- c) Provide independent assurance that risk processes are fit for purpose, and that they are being carried out as intended (Third Line of Defence).

The ERMF enables the Bank's businesses and functions to be organised along the Three Lines of Defence by formalising independence and challenge, whilst promoting collaboration and the flow of information between all areas.

Risk Review of 2016

Overall risk management performance continued to be sound with all risk measures remaining within the Board-approved risk appetite. Key highlights included:

- Macro-economic conditions remained challenging, key highlights being: the interest capping bill which was implemented in September 2016, the gradual weakening of the Kenya Shilling against the US Dollar on the back of a looser US monetary policy and expectations of higher oil prices; inflationary pressure caused by increased food prices due to unfavourable weather and drought and the collapse of a local bank which impacted confidence within the banking industry.
- Loans and advances to customers increased by 16%, mainly driven by growth in Corporate and Business Banking: Consumer Banking (5% growth); Business Banking (20% growth) and Corporate & Investment Banking (34% growth).
- The impairment Loan Loss Rate (LLR) increased to 2.24% (2015: 1.2%) and impairment charges increased to Shs 3.9 billion (2015: Shs.1.7 billion). Impairment performance in 2016 is reflective of the challenging operating and macro environment as evidenced by job losses which adversely impacted the retail lending book which is largely unsecured.
- Overall coverage on non-performing loans increased to 79% (2015: 73%)
- Mark to Market gains achieved on fixed income trading of Shs 885m due to a general drop in yield curve. (2015: Shs.453m loss)
- Total operational risk and fraud losses were well within appetite.

Risk Management Overview *(continued)*

Future Risk Priorities:

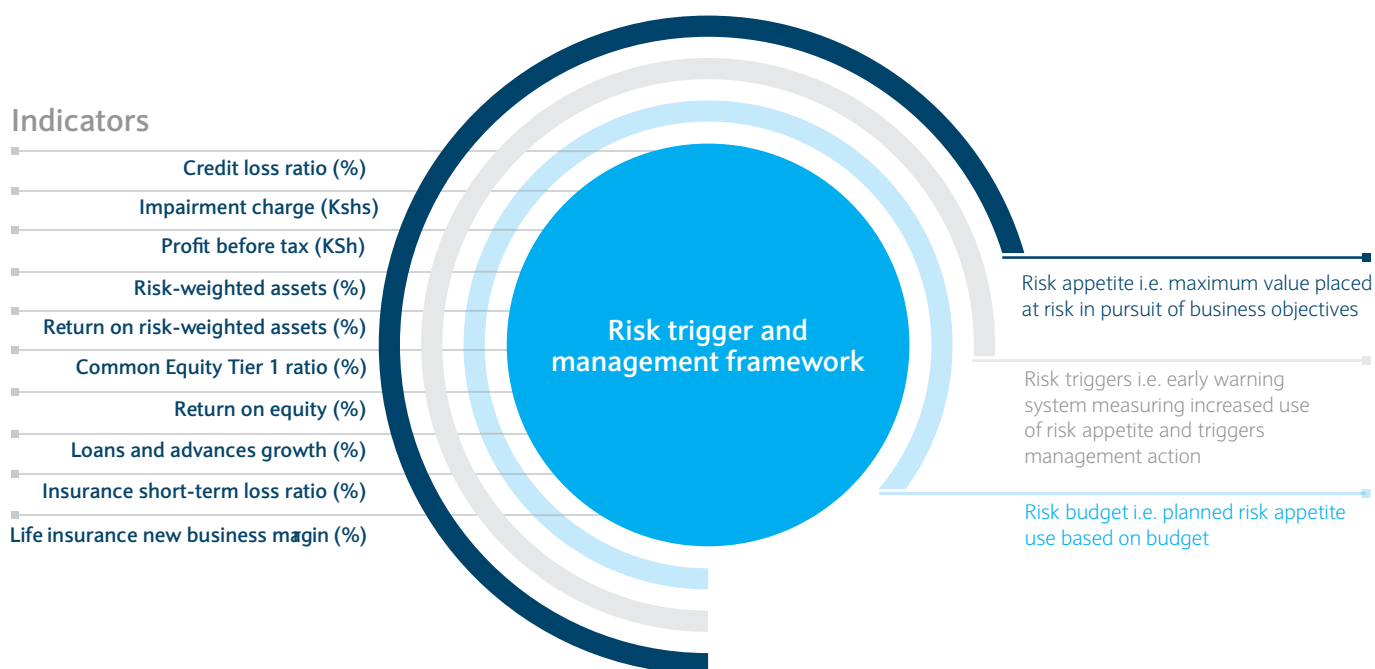
- Review and right-size risk appetite to take account of global and local macro-economic challenges, whilst at the same time supporting profitable and sustainable business growth
- Increase focus on new and robust risk models to support sustainable business growth, e.g. mobile phone lending
- Continue to strengthen Operational Risk controls and infrastructure, specifically in the areas of IT, Financial Crime, and Cybercrime.
- Enhance Conduct Risk management controls, tools and reporting.
- Increase focus upon data initiatives, including those arising from regulation (e.g. BCBS 239, and IFRS 9).

Risk appetite

Risk Appetite and Stress Testing are key components of the Bank's management of risk and are embedded as part of the strategic planning process. The risk appetite statement describes and measures the amount and types of risk that the Bank is prepared to take in executing its strategy. The Bank's risk appetite framework combines a top-down view of capacity to take risk with a bottom-up view of the risk profile associated with each business area's plans.

Risk Appetite Key Indicators and Triggers

The Bank manages its risk profile in a forward-looking manner through a trigger and management action framework. Key indicators and triggers have been developed to serve as an early warning system in the event of deteriorating circumstances. The indicators include, inter alia, economic indices directly correlated with risk measures and key financial indicators. The indicators and triggers have been implemented at country and product levels, and are routinely monitored by management and reported to the Board Audit & Risk Committee on a quarterly basis.



Stress Testing

Stress testing is a key element of the Bank's integrated planning process. Through the use of stress testing and scenario analysis, the Bank is able to assess the performance of the various portfolios in the expected economic environment and also evaluate the impact of adverse economic conditions.

Performance Overview of the 5 Principal Risks

1 Credit Risk

The risk of financial loss should the Bank's customers, clients or market counterparties fail to fulfil their contractual obligations.

Key Trends 2016 vs 2015:

- › Loan & advances to customers increased by 16% driven mainly by growth in corporate lending
- › NPL's as a percentage of gross loans and advances worsened from 3.6% to 6.5%
- › Overall NPL coverage increased to 79% (73% - 2015)
- › Impairment charges increased to Shs 3.9 billion (Shs 1.7 billion - 2015). The increase in impairment is reflective of the challenging operating environment as evidenced by job losses which impacted the unsecured retail lending book.

Future Credit Risk Priorities:

- › Conduct regular portfolio reviews to identify early warning risk trends and take proactive action given the challenging macroeconomic environment.
- › Continue to right size risk appetite to achieve alignment with business strategy.
- › Implement agreed management actions in response to changing economic conditions.
- › Strengthen collection & recovery programmes to ensure appropriate management of customers in financial difficulty.
- › Enhance on models/analytics capability to improve the Bank's risk profile, measurement and risk-adjusted returns.
- › Implement IFRS 9 and BCBS 239 which are critical regulatory projects.

2 Market Risk

The risk that the Bank's earnings, capital or business objectives will be adversely impacted by changes in the level or volatility of market rates or prices.

Traded market risk: the risk of the Bank being impacted by changes in the level or volatility of positions in the trading book.

Non-traded market risk: the risk of the Bank's earnings or capital being reduced due to the market risk exposure from banking book positions which may arise net of hedging activities.

Pension risk: the risk that arises when an adverse movement between pension assets and liabilities results in a pension deficit.

Key Trends 2016 vs. 2015:

There was a general drop in yield curve that saw the fixed income trading line record Shs 885 m in Mark to Market gains compared to mark-to-market losses in the trading book of Shs 453 m in 2015 due to interest rate volatilities.

Future Priorities for Market Risk:

- › Continue investments in systems, infrastructure and talent
- › Continue to reduce margin volatility through on-going structural hedge programmes
- › Develop pension risk appetite

3 Funding Risk:

The risk that the Bank is unable to achieve its business plans as a result of capital and liquidity risk.

Capital risk: the risk that the Bank is unable to maintain adequate levels of capital. This could lead to an inability to support business activity, a failure to meet regulatory requirements, and/or changes to credit ratings, which could also result in increased costs or reduced capacity to raise funding.

The capital management process includes:

- › Meeting capital ratios required by Central Bank of Kenya (CBK) and the target ranges approved by the Board.
- › Maintaining an adequate level of capital resources prudently in excess of regulatory and economic capital requirements.
- › Maintaining a sustainable dividend policy to maximise shareholder value.

Trend 2016 vs.2015: Healthy capital ratios were maintained, well above the minimum regulatory limits. Core Capital Ratio was flat at 15.7% (2015: 15.7%), well above the regulatory minimum of 10.5%. Total Capital Ratio was at 17.9% (2015: 18.4%), well above the minimum regulatory requirement of 14.5%.

Risk Management Overview (*continued*)

Future priorities for Capital Risk:

- › Ensure the Bank remains adequately capitalised relative to minimum regulatory requirements and within Board-approved target capital ranges.
- › Further improve the approach to capital management:
 - › continue focus on RWA (Risk Weighted Assets) precision;
 - › enhance the economic capital framework;
 - › continue embedding performance metrics such as positive net generation of equity and return on equity;
 - › maintain an optimal capital supply mix; right balance between Tier1 and Tier2 capital
 - › allocate capital appropriately, to ensure optimal returns on capital employed

Liquidity risk: the risk that the Bank is unable to meet its obligations as they fall due.

The liquidity risk management process includes:

- › Management of the overall funding position, including development of the funding plan.
- › Liquidity risk monitoring.
- › Intra-day liquidity risk management.
- › Contingency liquidity planning.
- › Regulatory compliance.

Trend 2016 vs. 2015: Liquidity Ratio was 28.3% (2015:34%), well above the minimum statutory requirement of 20%. The year-on-year trend is as a result of the continued growth of the customer lending book.

Future priorities for Liquidity Risk:

- › Manage the funding and high quality liquid asset position in line with the Board-approved liquidity risk appetite framework and regulatory liquidity requirements.
- › Continue to grow and diversify the funding base to support asset growth and other strategic initiatives.
- › Embed Board-approved Recovery and Resolution planning

4 Operational Risk

Operational risk arises when there is potential for direct and indirect loss resulting from human factors, inadequate or failed internal processes, systems or external events.

- › **Technology risk:** The failure to develop and deploy secure, stable and reliable technology solutions. Investments have been made in upgrading infrastructure and disaster recovery capabilities resulting in improved system stability and resilience.
- › **Fraud risk:** The loss or the risk of loss where an internal or external party acts dishonestly with the intent to expose the Bank / Customers / Clients to a risk of loss. Investment in Fraud Management Systems has minimized losses arising from plastic cards by introducing Chip and Pin technology in addition to close monitoring of fraud perpetrated through other transaction channels.
- › **Information risk:** Inadequate protection of Bank's information in accordance with its value and sensitivity. Investments, Management Controls and Oversight have protected bank's secret and confidential data.
- › **Financial crime risk:** The breach of economic and financial sanctions, the facilitation of money laundering or terrorist financing or bribery and corruption. Appropriate processes have been automated and systems revamped to effectively manage customer identification and verification during on-boarding, maintenance and continuous monitoring of suspicious transactions.

Key Trends 2016 vs. 2015

Operational losses were within appetite in 2016 and 2015 arising from the increased investments in systems and infrastructure that enhanced efficiency through automation, digitization and fraud management tools.

Future priorities for Operational Risk:

- › **Technology risk:** Continue to invest in Technology and Infrastructure Transformation Program to drive efficiency, digitization and business resilience; in addition to management of the emerging cyber threats.
- › **Financial crime risk:** Continue to monitor Financial Crime and enhance compliance by ensuring sustained improvements in the customer on-boarding and maintenance process and oversight.
- › **Fraud risk:** Enhanced Fraud Management and Oversight in addition to continued automation of processes to drive more efficiency in operations, prevention and monitoring.

Segment reviews

Key Risks/ Challenges	Impact	Mitigation Steps Taken	Expectation in 2017
Barclays PLC Announcement on reduced shareholding in Africa	- Customer Attrition - Deposits attrition - Reduced sales momentum	"Let's Talk" Sessions and regular engagements with colleagues, customers, regulators, media and analysts to address individual concerns and provide reassurance. - Communication with consistent messaging across major channels including newspapers, radio and digital platforms. - Barclays 100 years marketing campaign	- Further announcements on this sell-down are expected and we will continue with communication plans to manage this with all our key stakeholders. - We will amplify our innovation agenda to underpin our commitment to this market
Enactment of the Interest Rate Capping Law	30% reduction in business revenues	- Review of product offering e.g. removal of credit interest rates offered on current accounts - Product innovation – design of new products whose construct is profitable in this new operating environment (ongoing)	- Innovation around improved customer experience and new banking solutions - Aggressive drive to reduce costs structure through shift of banking transactions to digital platforms
Challenging business environment	- A number of companies are executing cost reduction plans including employee retrenchments which have impacted our loans portfolio performance - Strain on performance of SMEs	- Enlisting front-line employees to support in reaching out to customers and educating them on alternative options - Salary Retrenchment Cover on our retail loans and key current accounts - Review of lending arrangements for various companies/employees	We expect to see continued strain in the market especially with this being an election year and we will continued with our heightened monitoring of our portfolio to mitigate expected impact.
Deteriorating lending book performance seen in the banking industry	High impairment performance for Retail and Business Banking	- Heightened focus on controls as a key component/delivery of the RBB Products unit - Review of performance scorecards for front-line employees to include this as a key measure - Selective growth of our lending book: Scheme, Mortgage, Premier, Commercial Property Finance, Business Expansion Loans - Drive collection effort through front-line employees for improved impairment performance	- Expected continued strain in the market and therefore on the lending portfolio - With the mitigation steps in place, we are better placed to control performance in 2017

Mechanisms are in place to continuously monitor external environment changes and their impact on the business including the bank's Assets and Liabilities Committee coupled with discussions with renowned economists both within and external to the bank in a bid to ensure that our business assumptions and ambitions are realistic to market dynamics. Being part of an international bank also gives us the added leverage of having experience, strength and capabilities to support our business agenda.

Retail and Business Banking

Our performance

Retail	2016	2015	Growth
Shs Million			
Net Interest Income	18 065	16 868	7%
Impairment	3 834	1 437	167%
Customer Loans	103 418	97 111	6%
Customer Deposits	150 795	140 367	7%
Impairment Loss rate (bps)	371	148	

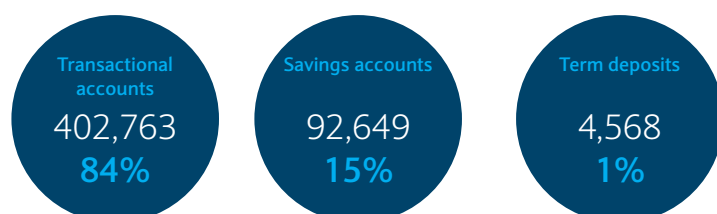
Commentary

We purpose ourselves to make banking easier for our customers with a comprehensive set of solutions addressing their financial and lifestyle needs. We take great interest in having our customers understand the components of our value proposition. We are working to ensure they get full understanding across the product spectrum and particularly our transactional banking capabilities including the digital banking platform, Bancassurance and lifestyle benefits e.g. our award winning Worldmiles reward program on our Platinum Credit Card

The set-up of a Customer Segments unit in 2016 has helped us focus on understanding our customers and delivering the right propositions to service their needs. This includes increased attention to and spend on customer research to understand customer needs as part of the proposition and product development process. It also revolves around actively collecting customer feedback across all of our touch points

We are continually reviewing our existing propositions and solutions to directly address our customers' needs and at the same time developing new and innovative solutions to match these needs.

Product categories and contribution to revenue



The most frequently used products are transactional products which include the Premier current account, Prestige bouquet, Ultimate account, Pepea and SME Bouquet Plus account. Under the savings category we have our ever popular Zidisha Bonus account.

We are a market leader in providing segment pricing to our customers through different pricing points for different customer groups on both transactional and lending services. As the pioneer of scheme and payroll loans in Kenya, we continue to drive differentiated pricing for different companies as part of our acquisition strategy.

In 2016 we launched Prepaid Cards with two key products namely; Corporate Payroll and Multi-currency Prepaid Cards. Our credit and debit cards base is segmented in line with our customer segmentation as follows:

Customer Segment	Credit Cards	Debit Cards
Premier	Platinum Credit Card	Platinum Debit Card
Prestige	Gold Credit Card	Platinum Debit Card
Personal	Classic Credit Card	Classic Debit Card
Business	Corporate Credit Card	Business Debit Card
Total in issue	104,000	312,000
Active usage	65%	45%

We also made great progress in growing non-funded income by increasing our negotiation fees in lending activities, annual fees from credit cards and commissions earned from Bancassurance, foreign exchange, transactional banking, trade and cash management.

We sustained our SME focus by offering a full spectrum of solutions to our customers that includes local and foreign currency current accounts, savings accounts, term deposits both local and foreign currency, secured loans, unsecured loans, trade and cash management. To support capability development for our SMEs we partnered with Strathmore Business School and International Trade Centre (ITC) in the SheTradesKE Initiative that promotes women in business. In addition to this, we rolled out the SME Wezesha "Open Doors" Campaign which was used to reposition the banks engagement with the SME segment by offering free financial literacy training to over 10,000 SMS customers in 11 major towns in the country. It was also used to drive the uptake of SME loans by offering the lowest rate for secured lending at the time. Fostered by a team consisting of 72 employees that supports SMEs, our SME NPS score closed the year at 12% which was a 33.9% increase from 2015. By leveraging iATMs and agency banking we have also made it more convenient for SME customer to make cash deposits outside banking hours.

We continue to improve on process efficiency and during the year we rolled out the Barclays Operating Client (BOC and iBOC) platforms to enable real-time account opening at the front-end or from any location including customer locations. We also embarked on process reviews with the aim of reducing the processing time for our credit facilities.

Barclays Business Club

The Business Club offers value addition opportunities to its members, including international business trips, organising trade fairs, networking events and quarterly seminars on relevant topics. In 2016, topics covered in trainings included financial reporting, franchising, conveyancing, emerging opportunities in various counties and how to prosper with Barclays. The club currently has 9,296 members.



Susan Situma, Head of SME Banking, engaging a customer at the launch of Wezesha Biashara na Barclays roadshows in Eldoret

Wezesha Biashara

As part of our mission to establish Barclays as a formidable partner for SMEs, we set aside a Shs 30 billion loan kitty to boost the financial capacity of Kenya's Small and Medium Enterprises (SMEs), thus enabling them to expand and make a bigger contribution to the country's fast-growing economy. Towards this, we launched the 'Wezesha Biashara na Barclays' roadshows and business seminars that were held in 11 towns across the country to drive awareness and on the same day, offer letters on secured loans for qualifying SME customers. The initiative, with a Shs 3 billion loan kitty, has impacted over 6000 SME business owners through financial literacy seminars and networking opportunities.

Looking forward

We recognise that today's customers are heavy users of digital and social media. In addition lifestyle is a critical component of their day-to-day behaviour and engagement. We are therefore building a digital proposition encompassing three components: Digital Banking, Social Banking and Lifestyle Banking.

We will continue to exploit new market channels such as Virtual Banking and Agency Banking and increase our momentum on fee income streams with growth potential that include Bancassurance, foreign exchange, transactional banking, trade and cash management.

For our card business, our focus will be to increase adoption and usage while introducing new pricing points and product under our card proposal. The penetration and usage of our POS offering is also part and parcel of our strategy to further grow the card business.

We shall seek to grow in the SME segment through controlled lending focused on secured facilities, equity release and working capital facilities. By building our digital capability and refining our strategy we will be able to serve the lower-end SME segment which we shall support through continuous development of our people's capability and product enhancement.

Corporate Banking

Our performance

Corporate (including Sales and Trading)	2016	2015	Growth
Shs Million			
Net Interest Income	4 269	3 543	20%
Impairment	93	329	(72%)
Customer Loans	65 092	48 727	34%
Customer Deposits	27 385	24 716	11%
Impairment Loss rate (bps)	14	68	

Commentary

In 2016 we rolled out our strategy to diversify into alternate sectors beyond our traditional base of large multi-national corporates. We gained even more momentum as we targeted certain key sectors including the public sector, other international corporates, international development agencies and local large businesses. This strategic direction has been a success and has buoyed the performance of the corporate banking unit in a tough operating year for banks in the country. We continued to grow our non-funded income through a deeper dive into transactional banking and cash management as a response to the interest rate caps being introduced into the market.

The public sector strategy was a key highlight for the unit in 2016 and we worked consistently to enter into that space which is really competitive and has its own unique dynamics. We witnessed great growth in public sector business which is encouraging and has informed the need to exploit that sector even further due to its stability. In addition, we focused on joining the public tender system used in the importation of oil in Kenya with oil being by far the biggest import into the country. This decision was informed by the fact that we cannot claim to be a leading banker if we are not engaged in that process given its importance to our economy. During the year, we were able to complete the process and engage in a number of meaningful contracts in this regard. We anticipate that our role in this process will grow in the coming years as we position ourselves to be a leading financier in both the public and private sectors.

Another approach we have executed is exploring the ecosystems of our key corporate clients with the aim of banking the different parties that they interact with be it their suppliers, distributors, employees, partners or subsidiaries. Banking the ecosystem enables our customers to operate efficiently and with ease through seamless transactions and interactions. Our ecosystem approach is not about locking in customers. We are committed to bringing shared value beyond traditional financial products and services. This includes value adding offerings such as capacity building on entrepreneurship, global exposure and trade linkages, and financial literacy while at the same time offering competitive interest rates based on better knowledge of the relationships within the ecosystem. We want to be relevant to our customers beyond traditional banking by recognizing that they have other needs and operate within unique circumstances that have an impact on their profitability. We are investing in their businesses in a mutually beneficial manner so that we create shared value.

With the introduction of interest caps, the differentiator will be service delivery and to this end we continue to invest in our workforce to ensure that they deliver the best service possible.

Going forward we will work at consolidating the gains that we are seeing in terms of our diversification strategy. Thus we will continue our emphasis on the public sector, international development agencies, large local companies and international corporates to drive both funded and non-funded income.

Renewable Energy Conference

Kenya's energy sector has experienced strong growth over the past decade with the country bringing online 576MW of new baseload capacity since 2013. Increased energy production has been complemented by higher grid connectivity improving Kenya's grid electricity access rate from 27% in 2012 to 55% in 2016. The combined effect of these two trends has been, lower electricity tariffs and improved reliability which significantly and positively impacts Kenya's development trajectory. By partnering with the British High Commission to host the United Kingdom-Kenya Renewable Energy Conference (REC 100) our aim was to spur investment in Kenya's renewable energy sector by connecting key players in the UK and Kenyan renewable energy space, to build a strong pipeline of investable deals. As a bank, our expertise in investment financing and knowledge of the energy sector and its technologies position us to take advantage of falling renewable energy costs by partnering with the right investors to help Kenya achieve the government's 5000MW plan by 2017.



Deputy British High Commissioner, Dr. John Murton, PS State Department of Energy, Dr. Eng. Njoroge and Jeremy Awori at the launch of the Renewable Energy Conference

Markets

Introduction

The markets business covers all sales and trading activity in foreign exchange, fixed income and equities in Barclays Kenya. This involves all customer transactions across all our customer sectors from Retail, Business Banking to Corporate as well as transactions with other Financial and Non-Banking Financial Institutions. Our business model revolves around building a broad financial markets business which captures fixed income and foreign exchange as well as equities with the future objective of adding Exchange Traded Funds, Futures and Derivatives onto our offering. By leaning on our broad customer base and regional presence, we are able to tap a wide variety of skills and expertise that enables us to meet a wide variety of customer needs, remain competitive and engage and support regulators proactively on key sector reforms and developments.

Our performance

In 2016, our key concern was the interest rate outlook and its impact on our fixed income trading book that is affected by the rate trend which is in turn influenced by both fiscal and monetary policy. To manage the uncertainty around interest rates we made it our priority to remain agile throughout the year by ensuring that we did not miss out on the trading opportunities available to us while prudently managing our exposure. The Markets or Global Markets space is intensively competitive with a large number of banks and players in the industry. The ability to provide ease of doing business and speed of execution is a key differentiator and hence our investment in electronic platforms such as BARX that gives company-specific and real-time streaming of exchange rate information and enables customers to make treasury deposits online. The growing sophistication of our customers also demands tailor made solutions for their businesses that take into account the unique financial risks they are exposed to. In this regard, our large regional balance sheet and huge product range differentiates us for many of our customers especially when coupled with our broad local customer base be it Retail, Corporate or Government. We also deploy our colleagues to other markets within the BAGL network for training and development through secondments and attachments to create a multi skilled and globally exposed team that is able to bring home and pass on best practice.

In the year under review, we launched our stock brokerage subsidiary the Barclays Financial Services Limited (BFSL) which will offer cash equity trading services, fixed income, bond trading, derivatives and exchange traded funds. We continued to witness robust growth in our trading business which encompasses our customer foreign exchange flow business and our fixed income trading business; both of which represent key focus areas for driving the Bank's Markets Business performance. We also put a lot of emphasis on deepening our customer engagement through a more focused customer support model that is aligned to customer relationship management through segmentation and more efficient targeting. Coupled with our broader product offering, this has propelled the growth in both customer numbers and the volume of business we do with our customers. By sustaining our focus on customer interactions while capitalizing on our strengths we grew our customer base by 13% and turnover by 8% in 2016.

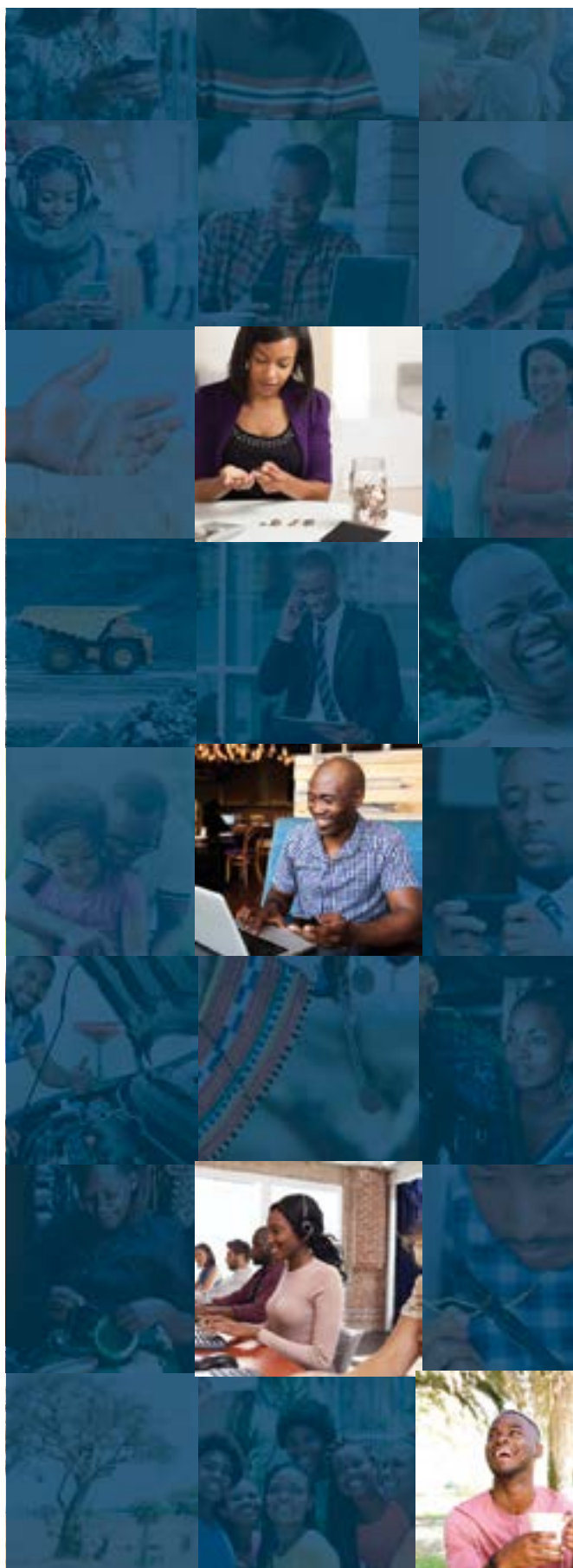
Another area we are keen on is proactive engagement in key forums that are driving financial sector reform. This is not only important to us as a business, but equally so, we view it as our responsibility as espoused in our shared growth agenda to share expertise and skills that we are able to draw on from other markets in which the Barclays brand operates. Through BFSL we remain committed to further deepen and increase sophistication of our Markets Business by leveraging our regional expertise and consequently, contribute to the growth of our local financial markets in line with our shared growth agenda.

Future outlook

The nature of our business demands that we constantly adapt to market uncertainty. A number of risks remain on the horizon which could impact fiscal and monetary policy, directly or indirectly through government or regulatory actions as well as the political risk which key events such as the election may or may not present. The impact of the continued slowdown in credit growth prior to and even more so after the interest rate caps, remains of concern to us because the consumers who are impacted are our customers and the effects will trickle down through the financial and economic ecosystem. Some risks and opportunities remain long term in nature and the impact may not be seen within the next year but over time. These include the changing global environment and impacts of domestic and foreign policy in the US and continental Europe which are difficult to gauge but represent major risk to be monitored and managed.

The financial markets, both locally and globally, will become increasingly sophisticated and so will our customers as well as their needs. The deepening of financial markets is gradually coming into play through financial sector reform backed by legislation and policy changes. Customers, both local and international, will be looking for partners who are ready for this new environment. Banks like ourselves who have the expertise within this business and can draw on seasoned experience will be at a distinct advantage.

Our role is to help our customers cope and prosper in these uncertain times and introduce predictability to the financial risks they face. To this end, our focus will be on customer relationship management so as to continuously gain an understanding of our customer's needs in order to identify and provide appropriate solutions. We understand that as a business we only prosper when our customers prosper and this guides our value proposition and the solutions we offer to our customers. Our actions, proposals and solutions will be guided by our desire to remain a relevant and trusted partner to the success and growth, of our customers.



Corporate Governance Statement

Chairman's Report on Corporate Governance	68
Report from the Chairperson of the Board Audit & Risk Committee	74
Report from the Chairperson of the Board Credit Committee	76
Report from the Chairperson of the Board Corporate Governance and Nominations Committee	77

Chairman's Report on Corporate Governance



CHARLES MUCHENE
CHAIRMAN, BOARD OF DIRECTORS, BARCLAYS BANK OF KENYA

The year 2016 commenced with our centennial celebrations and a lot of optimism for the year. We continued to focus on growing our key business lines with a heavy emphasis on growing our non-funded income lines to counter the effects of compressed interest margins. We continued with our product diversification programme, whose key highlights featured the re-launch of our fully owned subsidiary, Barclays Financial Services Limited (which is licenced to engage in investment banking and stock brokerage). We ramped up our SME offering and reinforced our thought leadership position on the gender front by signing a 5 year partnership with the International Trade Centre to provide 10,000 women business owners in the SME sector with a skills upgrade and international trade opportunities. Furthermore, in a year that saw the governance credentials of the banking sector come under intense scrutiny, we won a record breaking 6 awards at the 2016 FiRe Award. These awards highlighted the Bank's commitment to financial reporting excellence as one of our key pillars of sound corporate governance practices.

The year had many challenges, including the announcement by Barclays PLC in March of its intended divestiture from the Bank's holding company, Barclays Africa Group Limited, as well as the enactment of The Banking (Amendment) Act in September 2016 which capped interest rate chargeable on credit facilities at 4% above the base rate published by the CBK and introduced a minimum rate on deposits held in interest earning accounts at a minimum of 70% of the said base rate. These events tested the resilience of the Bank's strategy and the mettle of the Bank's leadership and the wider Barclays family, to whom these events now form what, has become our new normal.

2016 marked significant changes to the Bank's Board, which include the departure of the Bank's long serving former Board Chairman, Francis Okomo-Okello who in line with the established corporate governance practices at the Bank exited the Board in October after serving his full term. Francis' able stewardship over the years is one of the key factors that have helped the Bank to remain one of Kenya's most respected financial institutions and provides us with a solid foundation from which to continue to build a stronger Bank as we navigate through the dynamic operating business environment we find ourselves in.

Statement of Compliance

2016 also witnessed the introduction by the Capital Markets Authority (CMA) of the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, which Code set another milestone in the country's continuing journey of enhancing corporate governance. As part of our ongoing commitment to live by the highest standards of corporate governance as well as transparency with our stakeholders, we have uploaded on our website, www.barclays.co.ke, a tracker evidencing the status of compliance with the Code and the timelines towards implementing the few remaining steps required to achieve and maintain full compliance. In compliance with the Code we have also uploaded on our website various governance documents, including the Bank's Whistleblowing Policy, Environmental Policy and Remuneration Policy. The Board and Management of the Bank also continue to comply with the Corporate Governance Guidelines and Codes of Conduct prescribed by the Central Bank of Kenya as its primary Regulator, the Continuing Listing Obligations of the CMA as required by the Nairobi Securities Exchange as well as the Board's stringent standards of corporate governance as set out in its Board Charter in line with Barclays Group standards.

Board Composition

During the year, the Board bade farewell to Phillip Kinisu who resigned in February 2016 following a Presidential appointment.

The Board also bade farewell to our former Chairman, Francis Okomo-Okello in October 2016 following his 12 year tenure on the Board, 10 of which he served as Board Chairman. Francis had in depth and enviable knowledge of the banking industry and the Barclays family. As an industry icon, Francis made immense contribution to the development of the Bank and is leaving an indelible footprint in Barclays. We are happy to note that despite his exit from the Bank's Board, Francis will continue to be associated with the Barclays family through his membership on the Barclays Africa Group Limited Board where he has been serving as an Independent Non- Executive Director since October 2014.

The Board welcomed Patricia Ithau as an Independent Non-Executive Director in February 2016. Patricia has 25 years' experience of growing some of the world's leading and fast moving consumer brands across a variety of different and challenging markets. She has further extensive experience in general management in multi-national businesses in the East African region, including creating new business ventures in new geographies and spearheading mergers and acquisition. She brings a unique perspective and skill set that has and will continue to add great value to the Board.

Chairman's Report on Corporate Governance *(continued)*

I was humbled and honoured to be appointed as an Independent Non-Executive Director in August 2016 and soon thereafter to be elected as Board Chair in October 2016. I am confident that under my chairmanship, the Board will continue to build on the strong foundation Francis laid and continue to grow the Bank's legacy and tradition of breaking new grounds and expanding its spheres of influence to make an even bigger impact in the communities where we operate.

As at December 31, 2016 the Board comprised of eight (8) Directors, six (6) of whom were Independent Non-Executive Directors. The broad mix of skills and industry experience of Board members was as follows:

Name	Industry Experience
Charles Muchene*	Financial Services, Accountant and Corporate Governance
Ashok Shah*	Financial Services, Capital Markets and Auto
Jeremy Awori**	Financial Services
Yusuf Omari**	Financial Services
Laila N. Macharia*	Legal, Public Sector and Investment Management
Winnie Ouko*	Accountant, Financial Consulting and Strategy Advisory.
Norah Chieng' Odwesso*	Corporate Relations and Strategy Management
Patricia Ithau*	Consumer Brands and Retail/Manufacturing

*Independent Non-Executive Directors

**Executive Directors

Board Independence and Conflicts of Interest

The Central Bank of Kenya Prudential Guidelines prescribe the minimum ratio of independent to executive directors for licensed banks as three-fifths and also prescribe the regulatory criteria for independence. The Bank is in compliance with these requirements.

The independence criteria for directors set out by the Board in its Charter is that he or she:-

- (a) Provides objective challenge to Management;
- (b) Is prepared to challenge others' assumptions, beliefs or viewpoints as necessary for the good of the organisation;
- (c) Questions intelligently, debates constructively, challenges rigorously and decides dispassionately;
- (d) Is willing to stand up to defend their own beliefs and viewpoints in order to support the ultimate good of the organisation; and
- (e) Has a good understanding of the Bank's businesses and affairs to enable them properly evaluate information and responses provided by Management.

The Board, Management and all employees are required to comply with the Bank's Conflict of Interest Policy as well as its code of conduct known as 'The Barclays Way'. 'The Barclays Way' builds on our values of Respect, Integrity, Service, Excellence and Stewardship and provides guidance on how the values should be put into practice in our everyday work.

The Non-Executive directors are required to disclose their areas of conflict of interest, real or perceived, at least once a quarter when the Register of Directors' Interests is tabled before the Board at each ordinary Main Board meeting. Independence is also considered during the Board's annual performance review. Directors are required to refrain from contributing to or voting on matters on which they have such conflict. On an on-going basis directors are required to notify the Company Secretary in advance of any potential conflicts through other directorships or shareholdings or conflicts arising from specific transactions. External appointments for Executive Directors are only allowable in respect of non-profit organisations such as academic or charitable institutions.

Board Leadership

The Board is responsible for providing strategic leadership for the Bank. According to the Bank's corporate governance guidelines, the Board is responsible to shareholders for creating and delivering sustainable shareholder value. In so doing the Board is required to have regard to the likely consequences of any decision in the long term, the interests of its employees, the need to foster the Bank's business relationships with suppliers and customers, the impact of the Bank's operations on the community and the environment and the desirability of the Bank maintaining a reputation for high standards of business conduct. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships. You can read more on the Bank's risk management philosophy and framework in the financial statements under Note number 39.

In carrying out its responsibilities, the Board is empowered to obtain independent professional advice and where necessary invite professionals with relevant experience to attend Board and Board Committee meetings or to carry out such work as deemed necessary. The Directors owe both fiduciary duties and general duties of reasonable care, skill and diligence to the Bank and its shareholders and other stakeholders.

Specific powers reserved to the Board include the following:

Strategy

- › Approval of the Bank's strategy.
- › Monitoring the Bank's performance against clearly defined measures agreed between the Board and Management.
- › Approval of major acquisitions or disposals.
- › Approval of major capital projects.

Lending, Capital and Liquidity Management

- › Approval of changes in structure.
- › Approval of lending policies and risk appetite.
- › Monitoring capital and liquidity measures to ensure regulatory compliance.

Financial Results and Dividends

- › Approval of interim and final financial statements.
- › Approval of dividends and other corporate actions.
- › Approving information disseminated to shareholders.

Board Administration and Governance

- › Approving Board appointments.
- › Developing and reviewing succession planning for the Board.
- › Approving Board remuneration.
- › Delegating authority to Board Committees and Management.
- › Setting terms of reference for Board Committees and determining Board Committee membership.
- › Conducting Board and Board Committee evaluations.
- › Determination of independence of non-executive directors.
- › Approving the remuneration of auditors and recommending their appointment or removal.

Each director including myself is provided with a role profile and a charter of expectations on appointment and these clearly set out the behaviours and competencies expected from them including the anticipated time commitment. On average the time commitment for Non- Executive Directors is set at a minimum of 25-35 days per year. My own time commitment is at least 65 days a year. High performance indicators are prescribed in the role profiles to guide the Directors and it is against these indicators that their individual performance is evaluated each year.

My role as Chairman is to provide overall leadership to the Board, ensuring that it satisfies its legal and regulatory responsibilities. One of my key responsibilities as Chairman is to ensure that there is a clear division of responsibility between the Executive and Non-Executive Directors of the Board. The Executive Directors are Jeremy Awori, Managing Director and Yusuf Omari, Chief Financial Officer. They, together with the Country Management Committee are responsible for the day to day management of the Bank. The Board is fortunate to continue to enjoy a strong partnership between the Executive Directors and Non-Executive Directors without detracting from the governance principles of accountability and independence that must exist to ensure the Bank's sustainable performance.

Chairman's Report on Corporate Governance *(continued)*

Further details on the respective responsibilities of Executive and Non-Executive Directors are provided below:

Executive Directors	Non-executive Directors
- Effectively lead Barclays towards the achievement of its strategic objectives and implement the strategic decisions taken by the Board. - Ensure that the Board receives relevant, accurate, clear and timely information necessary for it to fulfil its duties. - Report regularly to the Board on the performance of the Bank. - Use their technical knowledge and experience in the Bank and banking industry to assist the Board in the consideration of strategic issues and to ensure that decisions taken are in the Bank's best interests. - Put the interests of the Bank before those of their specific area of responsibility and manage any conflicts of interest that may arise.	- Provide constructive challenges to the Executive Directors and senior management of the Bank. - Help develop proposals on strategy and then fully empower and support the Executive Directors to implement the strategy. - Scrutinise the performance of Management in meeting agreed goals and objectives and monitor the reporting of performance, ensuring that individual business decisions conform to agreed strategies and policies. - Apply their judgement to the business of the Board, based on their knowledge of the business and bringing to bear a different range of knowledge, experience and insight from other industries. - Satisfy themselves on the integrity of financial information and that financial controls and systems of risk management are robust and defensible.

Company Secretary

The Company Secretary plays the critical role of coordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance. The Company Secretary is also responsible for assisting me in the formulation and delivery of a comprehensive induction programme for new directors and liaising with Management and third parties for the delivery of suitable ongoing training programmes for all Non-Executive Directors.

Continuous Professional Development

In pursuit of continuous professional development during 2016, the Directors received training in the following areas:

- › The International Financial Reporting Standards (IFRS) 9
- › Liquidity Risk Management and Capital Risk Management
- › Corporate Governance & the Companies Act, 2015
- › Board productivity, leadership and interactions with management
- › Role of the Board Audit & Risk Committee in Strategy as well as IT Risks and Cybermetrics
- › Role of the Risk committee in Risk oversight and Regulatory requirements
- › Board evaluation
- › Current trends in Boards.
- › Professionally linked continuous professional development programmes;

Board Attendance

During the year, the Board convened and held four (4) ordinary meetings and six (6) special meetings. All the meetings convened had sufficient quorum. The attendance of individual Directors at Board meetings during 2016 is tabulated below:-

Director	Ordinary Meetings				Special Meetings					
	22.2.16	24.5.16	10.8.16	31.10.16 & 1.11.16	4.3.16	26.8.16	1.9.16	24.9.16	7.10.16	15.11.16
Francis Okomo-Okello	✓	✓	✓	N/A	✓	✓	✓	✓	✓	N/A
Charles Muchene	N/A	N/A	N/A	✓	N/A	x	✓	✓	✓	✓
Jeremy Awori	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Yusuf Omari	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Ashok Shah	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
Laila Macharia	✓	✓	✓	x	✓	✓	✓	✓	x	x
Winnie Ouko	✓	✓	✓	x	✓	✓	✓	✓	✓	✓
Norah Odwesso	✓	x	x	✓	✓	✓	✓	✓	✓	X
Patricia Ithau	✓	✓	✓	✓	✓	x	x	x	✓	✓
Philip Kinisu	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

N/A- Represents Directors who had either not been appointed or had retired at the time of the meetings meaning they were not eligible to attend the meetings.

Where a Director misses a Board meeting an acceptable apology with a valid reason is sent to me as Chairman in advance of the meeting.

During the meetings, we regularly received reports from Management on the Bank's financial performance and the status of execution of the Bank's strategic plans by the key functions namely Corporate Banking including the performance of Treasury, Consumer Banking, Operations and Human Resources.

Board Activities in 2016

During the year, the key activities of the Board included:

- Reviewing the Bank's strategic plans for the year in light of the macro-economic environment and in particular reviewing key strategies aimed at growing top line income.
- Approving the Board's work plan which sets out the Board's objectives for the year against which performance is measured.
- Receiving updates from each of the key management functions on their progress against the agreed strategy.
- Reviewing regular reports on the economic and regulatory environment prevailing in the country and impacting the banking industry.
- Reviewing the Bank's business continuity preparedness.
- Reviewing and approving new business propositions including an enhanced and focussed business banking proposition, investment banking, insurance agency and securities exchange trading participant.

Chairman's Report on Corporate Governance *(continued)*

Board Evaluation

The Board has established the practice of carrying annual effectiveness reviews at Board and Board Committee levels as well as performance reviews of the individual Directors. Having addressed the key issues arising from the performance review conducted in the year 2015, the Board then conducted an internal performance review for the year 2016, including a review of the Chairperson, the Chief Executive Officer, the individual Directors as well as the company secretary.

Board Committees

The Board has three Board Committees (Audit & Risk, Credit and Corporate Governance & Nominations) with delegated authority to assist the Board effectively carry out its obligations. The Audit & Risk Committee and the Credit Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority listing obligations. The Corporate Governance and Nominations Committee was set up in 2013 with delegated Board authority for oversight of, among other matters, the Board composition and Board succession planning. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval. The Committee chairpersons will provide you with more details on their deliberations and key achievements in the year 2016 below.

Report from the Chairperson of the Board Audit & Risk Committee



WINNIE OUKO
CHAIRPERSON OF THE BOARD AUDIT & RISK COMMITTEE

The role of the Audit & Risk Committee

The Audit & Risk Committee has the Board's delegated authority to review the contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgements within them. The Committee monitors the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. The Committee determines the scope and adequacy of audit assignments carried out by the external and internal auditors. The Committee monitors the level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks. The Committee pays particular attention to the risks identified in the Bank, challenges management on the appropriateness of mitigating actions and monitors their implementation. The Committee also reviews reports from Management on changes in the regulatory environment and expected impact of the changes on the Bank's operations. The Committee has direct access to the External Auditors, Barclays Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors.

Committee Members

As at December 31, 2016 the Committee's membership comprised of 4 independent Non-Executive Directors namely, Winnie Ouko (Chairperson), Ashok Shah, Norah Odwesso and Laila Macharia. The Managing Director, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer, Chief Risk Officer, Head of Compliance and Audit Partner from our External Auditors are regular invitees to Audit & Risk Committee meetings.

Chairperson's responsibilities

As Chairperson, it is my responsibility to ensure that the Committee is able to provide appropriate assurance to the Board on issues within its terms of reference. In line with this, I ensure that at every Board meeting I provide a report to the Board on the work of the Committee including matters of concern and identification of solutions to the issues and concerns identified by the Committee. It is also my obligation to ensure that members of the Committee are kept up to date with international financial and accounting best practice developments. I do this with the assistance of the external auditors.

I meet regularly with the Audit Partner of the External Auditors to discuss their audit work and any issues of concern. I also meet regularly with the Chief Internal Auditor to receive briefings on internal audit work and to provide support where necessary to ensure that the independence and integrity of the internal audit function is beyond reproach. Outside formal Committee meetings, I convene private sessions between the Committee members in the absence of Management and private sessions between Committee Members and the External Auditors and the Internal Auditors. The private sessions give the members and auditors the opportunity to raise any issues of concern warranting discussions in the absence of the Members of the Executive Management and to follow up on any actions requiring the Committee's intervention.

Report from the Chairperson of the Board Audit & Risk Committee (*continued*)

Attendance of Committee Meetings

We held four (4) ordinary meetings and four (4) special meetings. The attendance of our meetings was follows:

Director	Ordinary Meetings				Special Meetings			
	22.3.16	8.6.16	14.9.16	15.11.16	11.02.16	5.5.16	1.8.16	19.10.16
Winnie Ouko	√	√	√	√	√	√	√	√
Ashok Shah	×	√	×	√	√	×	√	√
Philip Kinisu	N/A	N/A	N/A	N/A	×	N/A	N/A	N/A
Norah Odwesso	√	√	×	×	×	√	√	√
Laila Macharia	N/A	√	√	×	N/A	√	√	√

N/A Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

In accordance with the Committee's forward agenda for each meeting, the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle blowing incidences from employees and external persons, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the Committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Achievements in 2016

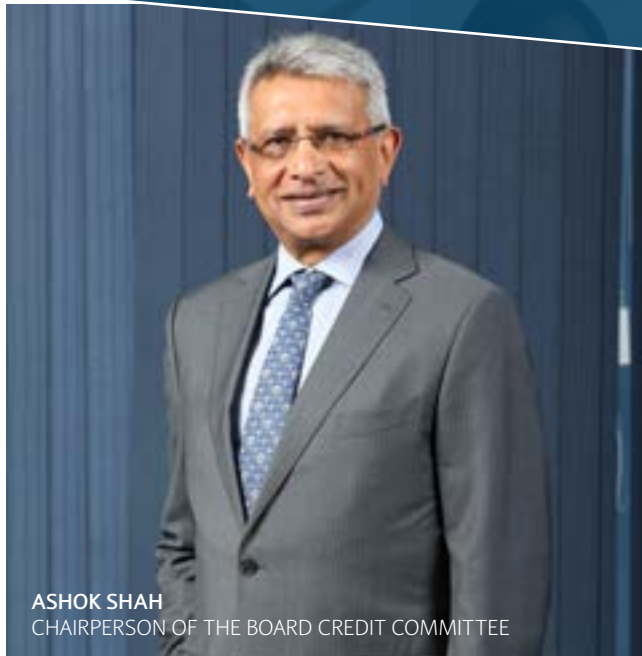
Our key achievements during the year were as follows:-

- Reviewed the integrity of the Bank's financial statements before recommending them to the Board for approval.
- Approved the external audit plan for the year-end audit.
- Approved the revised Audit Charter which guides the internal audit function of the bank.
- Reviewed and approved the internal audit plan for the year.
- Received and reviewed reports on the implementation of the Enterprise Risk Management Framework and noted an improved trend in the control environment as well as a reduction in the losses arising from operational risk.
- Reviewed and approved various policies, including the local transfer pricing policy.
- Initiated a deep dive into the Bank's 2016 Impairment charges to identify areas of strategic importance to the bank in relation to effective management of the same.
- Reviewed the status of various compliance requirements and recommended appropriate actions to ensure continued full compliance in a dynamic environment.
- Reviewed reports on the management of various risks that the business faces on an ongoing basis, including operational risk, capital, liquidity, market risk and conduct/reputational risk and approved various recommendations by management intended to enhance the management of these risks.
- Reviewed key changes in the legal and regulatory environment and the Bank's readiness to comply with the requirements of the changes. We also reviewed the results of the regulator's inspection and approved the appropriate actions to deal with the issues raised in the inspection report.
- Carried out an evaluation to assess the Committee's performance against its Terms of Reference.
- Assessed the performance of the internal and external auditors to ensure that they are effective in carrying out their responsibilities.



Winnie Ouko
Chairperson

Report from the Chairperson of the Board Credit Committee



The role of the Credit Committee

The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book.

Committee members

The Committee's membership currently comprises of 3 Non-Executive Directors namely Ashok Shah (Chairperson), Laila Macharia and Winnie Ouko. From Management, the Committee's membership comprises the Managing Director, Head of Corporate & Investment Banking, Head of Retail & Business Banking, Head of Business Banking, the Country Credit Director, Heads of Corporate Credit Risk and Consumer Credit Risk or their respective authorised representatives and Head of Business Support & Recoveries.

Attendance of Committee Meetings

During the year the Credit Committee convened four (4) ordinary meetings. Attendance was as follows:

Member	Ordinary Meetings			
	25.1.16	27.4.16	20.7.16	19.10.16
Ashok Shah	✓	✓	✓	✓
Francis Okomo-Okello	×	✓	✓	N/A
Laila Macharia	✓	✓	✓	✓
Winnie Ouko	✓	✓	✓	✓
Jeremy Awori	✓	✓	✓	✓

N/A- Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

Achievements in 2016

Our key achievements during the year included the following:-

- Reviewed the Bank's retail lending policy and policy initiatives aimed at ensuring continued growth in the retail lending book taking cognisance of and mitigating relevant risks.
- Continued to monitor the status of the top 20 exposures on the Bank's balance sheet.
- Assessed the Bank's risk appetite for significant new business deals.
- Regularly reviewed the Bank's concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
- Advised and supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.

Ashok Shah
Chairman

Report from the Chairperson of the Board Corporate Governance and Nominations Committee



The Role of the Corporate Governance and Nominations Committee

The Committee is responsible for considering matters relating to the composition of the Board, including the appointment of new Directors and making appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board. The Committee's responsibilities also include corporate governance issues such as overseeing the annual Board effectiveness reviews, reviewing the Board's remuneration, the Board Charter, Conflicts of Interest Register and ensuring appropriate on-going training for the Board. The Committee is further responsible for monitoring effective strategic implementation of key aspects of Human Resource management in the Bank.

Committee members

As at December 31, 2016 the Committee's membership comprised of 5 independent Non-Executive Directors namely; Charles Muchene (Chairperson), Ashok Shah, Laila Macharia, Norah Odwesso as well as the Managing Director.

Attendance of Committee Meetings

During the year the Committee convened and held four (4) ordinary meetings and one (1) special meeting. Attendance of the meetings was as follows:

Member	Ordinary Meetings				Special Meetings
	11.2.16	22.4.16	1.8.16	24.10.16	22.2.16
Francis Okomo-Okello	√	√	√	N/A	√
Charles Muchene	N/A	N/A	N/A	√	N/A
Ashok Shah	√	√	√	√	√
Jeremy Awori	√	×	√	√	√
Laila Macharia	×	√	N/A	N/A	√
Norah Odwesso	×	×	√	√	√
Patricia Ithau	N/A	N/A	√	√	N/A
Philip Kinisu	×	N/A	N/A	N/A	N/A

N/A- Represents Directors who had not been appointed at the time of the meetings and were only appointed later in the year meaning they were not eligible to attend the meetings.

Achievements in 2016

Our key achievements during the year included:

- › Continued to implement plans for effective succession planning as well as oversight of senior management and we believe that the Bank is in capable hands to lead it successfully into the future.
- › Successfully concluded the search for an additional Non-Executive Director, Patricia Ithau as well as a new Board Chair.
- › Reviewing the impact and implementation of the Companies Act 2015 as well as the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015.
- › Concluded an internal Board evaluation exercise. The recommendations arising out of this exercise are being implemented to further improve the Board's performance and effectiveness.

Management Committees

The Board and its Committees are supported by six key Management Committees (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee and Operating Committee). Final authority and responsibility for the direction of the Bank however rests with the Board.

The role and responsibilities of the various Management Committees are set out below.

Country Management Committee (CMC)

CMC meets at least twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the financial performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policy for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning. CMC is chaired by the Managing Director and its membership comprises his direct reports with function head responsibility.

Assets & Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets once a quarter and periodically reports to the Board Audit & Risk Committee highlighting key risk and control issues and Management's actions to address them. RCC is chaired by the Managing Director and its membership includes all function heads designated as key risk owners. The Head of Internal Audit and External Auditors are invitees to RCC meetings.

Remuneration and Promotions Committee (RPC)

The primary objective of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of ensuring good governance in the appointment of senior executives and managers and developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every month and its membership comprises the Managing Director as Chair, the Chief Financial Officer, Head of Human Resources, Chief Risk Officer and Head of Compliance.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements, OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee is required to meet monthly and its membership comprises all function heads with direct reporting lines to the Chief Operating Officer who chairs the Committee.

Report from the Chairperson of the Board Corporate Governance and Nominations Committee *(continued)*

Directors' Emoluments, Shareholding and Conflicts of Interest

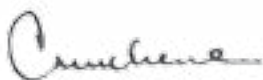
The aggregate amount of emoluments and fees paid to directors during the year are disclosed in Note number 43 of the financial statements. The basic rates of fees paid to Non-Executive Directors was increased by 10% in Quarter 2 of 2016. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors personal shareholding in the company as at December 31, 2016 is shown below.

Name of Director	Shareholding in BBK
Charles Muchene	Nil
Patricia Ithau	Nil
Ashok Shah	544,380
Jeremy Awori	57,300
Yusuf Omari	100,000
Laila N. Macharia	Nil
Winnie Ouko	Nil
Norah Chieng' Odwesso	Nil

Relationship with Stakeholders

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any other areas of concern that they may have. This is achieved through the publication of the annual report, holding of the Annual General Meeting (AGM) where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key institutional investors and analysts on the Bank's half-year and full year financial results. The Company's financial results are published in the local media every quarter in compliance with regulatory requirements. On a day to day basis, all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

We now prefer to communicate with our shareholders electronically and accordingly we published our Annual Report on the Bank's website www.barclays.co.ke. Most Directors were able to attend the last AGM which was held on May 27, 2016 and were available to answer questions from shareholders. This year's AGM will be held on Friday, April 28, 2017 at the Barclays Sports Club, Ruaraka, Nairobi and the Board looks forward to interacting with as many shareholders as possible on that day. A Notice of the AGM is included in the Annual Report.



Charles Muchene
Chairman



Financial Review

Directors' Responsibilities and Approval	81
Directors' Report	82
Statement of Directors' Responsibilities	84
Independent Auditor's report	85
Consolidated Statement of Comprehensive Income	89
Bank Statement of Comprehensive Income	90
Consolidated Statement of Financial Position	91
Bank Statement of Financial Position	92
Consolidated Statement of Changes in Equity	93
Bank Statement of Changes in Equity	94
Consolidated Statement of Cash Flows	95
Bank Statement of Cash Flows	96
Summary of Accounting Policies	97
Notes to the consolidated annual financial statements	108

Directors' Responsibilities and Approval

for the year ended 31 December 2016

The directors are responsible for overseeing the preparation, integrity and objectivity of the annual financial statements that fairly present the state of the affairs of Barclays Bank of Kenya Limited (the "Bank"/the "Company") at the end of the financial year and the net income and cash flows for the reporting period, and other information contained in this report.

To enable the directors to meet these responsibilities:

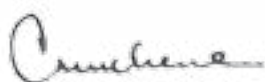
- All directors and employees endeavour to maintain the highest ethical standards in ensuring the Bank's business is conducted in a manner that in all reasonable circumstances is above reproach;
- The Board sets standards and management implements systems of internal control and accounting and information systems aimed at providing reasonable assurance that both on and off statement of financial position assets are safeguarded and the risk of error, fraud or loss is reduced in a cost-effective manner. These controls, contained in established policies and procedures, include the proper delegation of responsibilities and authorities within a clearly defined framework, effective accounting procedures and adequate segregation of duties;
- The Board and management identify all key areas of risk across the Bank and endeavour to mitigate or minimise these risks by ensuring that appropriate infrastructure, controls, systems and discipline are applied and managed within predetermined procedures and constraints;
- The internal audit function outsourced from Barclays Africa Group Limited Internal Audit, which operates unimpeded and independently from operational management, appraises, evaluates and, when necessary, recommends improvements to the systems of internal control and accounting practices, based on audit plans that take cognisance of the relative degrees of risk of each function or aspect of the business; and
- The internal auditors play an integral role in matters relating to financial and internal controls, accounting policies, reporting and disclosure.

To the best of their knowledge and belief, based on the above, the directors are satisfied that no material breakdown in the operation of the systems of internal control and procedures has occurred during the year under review.

The Bank consistently adopts appropriate and recognised accounting policies and these are supported by reasonable and prudent judgements and estimates on a consistent basis. The financial statements of the Bank have been prepared in accordance with the provisions of the Kenyan Companies Act 2015 and comply with International Financial Reporting Standards (IFRS) and all applicable legislation.

The directors have no reason to believe that the Company will not be a going concern in the reporting period ahead, based on forecasts and available cash resources. These financial statements have accordingly been prepared on this basis.

The directors' report on pages 82 to 83 and the financial statements of the Company on pages 89 to 157 were approved by the Board of directors on 22 February 2017 and are signed on its behalf by:



Charles Muchene
Chairman



Jeremy Awori
Managing Director

Directors' Report

for the year ended 31 December 2016

The directors submit their report together with the audited financial statements for the year ended 31 December 2016 in accordance with Section 22 of the Banking Act and Section 650(1) of the Kenyan Companies Act 2015 which discloses the state of affairs of Barclays Bank of Kenya (the "Company"/"Bank") and its subsidiaries (together the "Group").

Company registration number	C.18208
Country of incorporation and domicile	Kenya
Nature of business and principle activities	The Company is registered as a Bank under the Banking Act. The Group is engaged in the business of banking and the provision of related services.
Directors	The directors who served during the year and to the date of this report are CK Muchene Chairman Appointed on 22 August 2016 F Okomo-Okello (Immediate-former Chairman) Retired on 07 October 2016 J Awori* (Managing Director) YK Omari* (Chief Financial Officer) AKM Shah WA Ouko LN Macharia NC Odwesso PE Ithau Appointed on 23 February 2016 PBK Kinisu Retired on 17 February 2016 *Executive Directors
Registered office	The West End Building Waiyaki Way PO Box 30120-00100 Nairobi
Parent company	Barclays Africa Group Limited
Ultimate parent company	Barclays Bank PLC
Independent auditor	PricewaterhouseCoopers
Company secretary	Paul Ndungi
Results and dividend	The financial results of the Bank are set out in the attached financial statements. An interim dividend of Shs 0.20 (2015: Shs 0.20) was paid during the year amounting to Shs 1 086 million (2015: Shs 1 086 million). The directors recommend the approval of a final dividend for the year ended 31 December 2016 of Shs 0.80 (2015: Shs 0.80) for every ordinary share amounting to Shs 4 345 million (2015: Shs 4 345 million) to be paid on or about 28 April 2017.

Directors' Report (continued)

for the year ended 31 December 2016

Summary results	GROUP		BANK	
	2016 Shs'millions	2015 Shs'millions	2016 Shs'millions	2015 Shs'millions
Profit for the year	7 399	8 401	7 111	8 401
Total comprehensive income	8 041	7 826	7 753	7 826
Taxation	(3 453)	(3 673)	(3 328)	(3 673)
Dividends declared and paid				
- Interim declared and paid	(1 086)	(1 086)	(1 086)	(1 086)
- Final proposed	(4 345)	(4 345)	(4 345)	(4 345)
Net assets	42 388	39 716	42 095	39 711

Authorised and issued share capital

There were no changes to the authorised or issued share capital for the year under review. The share capital is disclosed in Note 33.

Events after the reporting date

No event, material to the understanding of these financial statements, has occurred in the period between the financial year end and the date of this report.

Independent auditor

Pricewaterhouse Coopers shall retire as auditor of the Company at the annual general meeting and the directors will recommend the appointment of KPMG as the Company auditor for the year ending 31 December 2017 at the same meeting.

Approval of financial statements

The financial statements were approved by the Board of Directors on 22 February 2017.



Paul Ndungi
Company Secretary

Statement of Directors' Responsibilities

for the year ended 31 December 2016

The Kenyan Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Bank at the end of the financial year and its financial performance for the year then ended. The directors are responsible for ensuring that the Bank keeps proper accounting records that are sufficient to show and explain the transactions of the Bank; disclose with reasonable accuracy at any time the financial position of the Bank; and that enables them to prepare financial statements of the Bank that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act 2015. They are also responsible for safeguarding the assets of the Bank and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

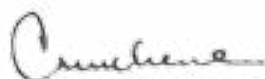
The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

- i. designing, implementing and maintaining internal controls as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- ii. selecting suitable accounting policies and then applying them consistently; and
- iii. making judgements and accounting estimates that are reasonable in the circumstances

In preparing the financial statements, the directors have assessed the Bank's ability to continue as a going concern and disclosed, as applicable, matters relating to the use of going concern basis of preparation of the financial statements. Nothing has come to the attention of the directors to indicate that the Bank will not remain a going concern for at least the next twelve months from the date of this statement.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of directors on 22 February 2017 and signed on its behalf by:



Charles: Muchene
Chairman



Yusuf Omari
Chief Financial Officer



Independent Auditor's report

to the shareholders of Barclays Bank of Kenya Limited

Report on the audit of the consolidated financial statements

Our opinion

We have audited the accompanying consolidated financial statements of Barclays Bank Kenya Limited (the 'Bank'/'Company') and its subsidiaries (together, the 'Group') set out on pages 89 to 157, which comprise the consolidated statement of financial position at 31 December 2016 and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, together with the separate statement of financial position of the Bank at 31 December 2016 and the statements of comprehensive income, changes in equity and cash flows of the Bank for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2016 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the Key audit matter
<i>Credit risk and impairment of loans and advances to customers and other banks</i> As explained in Notes 2.13 and 39.2 to the financial statements, the directors make complex and subjective judgements over both the timing of recognition, and the estimation of the magnitude of impairment of loans and advances to customers and other banks. The material portion of impairment for loans and advances to corporate and business banking customers is individually calculated as the difference between the carrying amount and the present value of estimated future cash flows discounted at the original effective interest rate of the loan. Where no objective evidence of impairment exists for an individually assessed financial asset, the asset is included in a group of financial assets with similar credit risk characteristics and collectively assessed for impairment using an unidentified corporate impairment model whose key inputs are the estimated emergence period and probability of default based on qualitative and quantitative assessment of the portfolio.	We assessed and tested the design and operating effectiveness of the controls over impairment data and calculations. These controls included those over the identification of loans and advances that were impaired and the calculation of the impairment provisions. We examined a sample of loans and advances which had not been identified by management as potentially impaired and formed our own judgement as to whether that was appropriate including using external evidence in respect of the relevant counterparties. Where impairment was individually calculated, we tested a sample of loans and advances to ascertain whether the loss event (that is the point at which impairment is recognised) had been identified in a timely manner including, where relevant, how forbearance had been considered. Where impairment had been identified, we examined the forecast of future cash flows prepared by management to support the calculation of the impairment, challenging the assumptions and comparing estimates to external evidence where available.

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Partners: A Eriksson E Kerich B Kimacia K Muchiru M Mugasa A Murage F Muriu P Ngahu S N Ochieng R Njoroge B Okundi K Saiti R Shah



Independent Auditor's report (continued)

to the shareholders of Barclays Bank of Kenya Limited (continued)

Key audit matters (continued)

Key audit matter	How our audit addressed the Key audit matter
<i>Credit risk and impairment of loans and advances to customers and other banks (continued)</i> For retail and Barclaycard credit facilities, impairment is calculated using models whose key inputs are the estimated probability of default for portfolios of loans and advances based on the historical loss experience, and the estimated eventual loss (the Loss Given Default) taking into account the estimated post write-off recoveries. We focused our audit on the following areas relating to the determination of the provision for impairment at year-end: › The completeness and accuracy of classification of the customers' accounts that are included in the impairment calculation; › The principal assumptions underlying the calculation of impairment for portfolios of loans and advances, the operation of the models to make those calculations and the application of adjustments to the results produced by those models; › How impairment events that have not yet resulted in a payment default are identified and measured; and › The possible effects of developments in the economic environment on the creditworthiness of relevant counterparties.	Where impairment was calculated using a model, we tested the basis and operation of those models and the data and assumptions used. Our audit procedures included the following: › Comparison of the principal assumptions made with our own knowledge of other practices and actual experience. › Testing the operation of the models used to calculate the impairment including, in some cases, rebuilding those models by building our own models independently and comparing results. › Considering the potential effect of events which were not captured by management's models and evaluating how management has responded to these events by making further adjustments to the models where appropriate.
<i>Information technology (IT) systems and controls over financial reporting</i> The Bank's financial accounting and reporting systems are heavily dependent on complex information systems and applications. Specifically, the calculation, recording and financial reporting of transactions and balances related to revenue, interest costs, fees and commissions, loans and advances, investments in securities and customers deposits are significantly dependent on IT automated systems and processes. There is a risk that automated accounting procedures and related IT dependent manual controls are not designed and operating effectively. Our audit focused on the following aspects of the information systems and application relevant to accounting and financial reporting controls: › Logical access and security including segregation of duties; › Controls over changes to programs and system developments; › Automated application controls relating to accounting calculation and financial reporting.	We assessed and tested the design and operating effectiveness of the controls over the continued integrity of the IT systems that are relevant to financial accounting and reporting. We examined the framework of governance over the Group's IT organisation and the controls over program development and changes, access to programs and data and IT operations, including compensating controls where required. We also carried out direct tests of certain aspects of the security of the Group's IT systems including logical access management and segregation of duties. The combination of these tests of the controls and the direct tests that we carried out gave us sufficient evidence to enable us to rely on the continued and proper operation of the Group's IT systems for the purpose of the audit of the financial statements.



Independent Auditor's report (continued)

to the shareholders of Barclays Bank of Kenya Limited

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the consolidated financial statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.



Independent Auditor's report (continued)

to the shareholders of Barclays Bank of Kenya Limited (continued)

Auditor's responsibilities for the audit of the consolidated financial statements (continued)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act 2015 we report to you, based on our audit, that:

- › we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- › in our opinion proper books of account have been kept by the Company, so far as appears from our examination of those books; and
- › the Company's statement of financial position is in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Michael Mugasa – P/No. 1478.

A handwritten signature in black ink, appearing to read 'Michael Mugasa', followed by a period.

Certified Public Accountants
Nairobi

22 February 2017

Consolidated Statement of Comprehensive Income

for the year ended 31 December 2016

	Notes	2016 Shs'millions	2015 Shs'millions
Interest income	4	27 434	25 286
Interest expense	5	(5 100)	(4 875)
Net interest income		22 334	20 411
Fee and commission income	6	6 430	7 609
Fee and commission expense	6	(660)	(959)
Net fee and commission income		5 770	6 650
Net foreign exchange income	7	2 620	2 487
Net income / (loss) from financial instruments at fair value through profit or loss	8	885	(453)
Other operating income	9	74	367
Total income		31 683	29 462
Provision for impairment of loans and advances to customers	10	(3 927)	(1 766)
Net operating income		27 756	27 696
Employee benefits	11	(9 837)	(9 305)
Infrastructure costs	12	(1 794)	(1 617)
Administration and general expenses	13	(4 081)	(3 646)
Depreciation of property and equipment	24	(665)	(487)
Amortisation of intangible assets	25	(527)	(567)
Operating expenses		(16 904)	(15 622)
Profit before income tax		10 852	12 074
Income tax expense	14	(3 453)	(3 673)
Profit for the year		7 399	8 401
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurements of defined benefit	32	(229)	79
Deferred income tax	31	61	-
Re-measurement of post-employment benefit obligation		(168)	79
Items that may be reclassified subsequently to profit or loss:			
Available-for-sale financial assets			
Fair value gain / (loss)	19	1 066	(935)
Deferred income tax	31	(256)	281
		810	(654)
Total other comprehensive income/(loss) for the year, net of tax		642	(575)
Total comprehensive income for the year, net of tax		8 041	7 826
Earnings per share			
Basic and diluted (Shillings per share)	15	1.36	1.55

Bank Statement of Comprehensive Income

for the year ended 31 December 2016

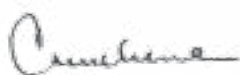
	Notes	2016 Shs'millions	2015 Shs'millions
Interest income	4	27 434	25 286
Interest expense	5	(5 100)	(4 875)
Net interest income		22 334	20 411
Fee and commission income	6	5 938	7 609
Fee and commission expense	6	(660)	(959)
Net fee and commission income		5 278	6 650
Net foreign exchange income	7	2 620	2 487
Net income / (loss) from financial instruments at fair value through profit or loss	8	885	(453)
Other operating income	9	74	367
Total income		31 191	29 462
Provision for impairment of loans and advances	10	(3 927)	(1 766)
Net operating income		27 264	27 696
Employee benefits	11	(9 770)	(9 305)
Infrastructure costs	12	(1 786)	(1 617)
Administration and general expenses	13	(4 078)	(3 646)
Depreciation of property and equipment	24	(665)	(487)
Amortisation of intangible assets	25	(526)	(567)
Operating expenses		(16 825)	(15 622)
Profit before income tax		10 439	12 074
Income tax expense	14	(3 328)	(3 673)
Profit for the year		7 111	8 401
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurements of defined benefit	32	(229)	79
Deferred income tax	31	61	-
		(168)	79
Items that will not be reclassified subsequently to profit or loss:			
Available-for-sale financial assets			
Fair value gain / (loss)	19	1 066	(935)
Deferred income tax	31	(256)	281
Other comprehensive gain/ (loss) for the year, net of tax		810	(654)
Total other comprehensive income/(loss) for the year, net of tax		642	(575)
Total comprehensive income for the year, net of tax		7 753	7 826
Earnings per share			
Basic and diluted (Shillings per share)	15	1.31	1.55

Consolidated Statement of Financial Position

at 31 December 2016

	Notes	2016 Shs'millions	2015 Shs'millions
Assets			
Cash and balances with Central Bank of Kenya	16	13 378	18 180
Financial assets at fair value through profit or loss	17	7 345	2 161
Derivative financial assets	18	26	84
Financial assets available-for-sale	19	48 699	45 347
Deposits and balances due from banking institutions	20	219	253
Due from group companies	43	5 971	13 951
Loans and advances to customers	21	168 510	145 838
Other assets and prepaid expenses	22	10 134	8 830
Current income tax		24	134
Deferred income tax	31	619	475
Property and equipment	24	3 081	3 258
Intangible assets	25	1 592	2 054
Prepaid operating lease rentals	26	55	56
Retirement benefit asset	32	65	256
Total assets		259 718	240 877
Equity and liabilities			
Derivative financial liabilities	18	69	42
Deposits and balances due to banking institutions	27	3 264	187
Due to group companies	43	19 736	22 684
Customer deposits	28	178 180	165 083
Borrowings	29	5 159	5 133
Other liabilities and accrued expenses	30	10 418	8 032
Current income tax		504	-
Total liabilities		217 330	201 161
Equity			
Share capital	33	2 716	2 716
Available-for-sale reserve	34	(152)	(962)
Share-based payment reserve	34	285	223
Regulatory reserve	34	-	927
Retained earnings		35 194	32 467
Proposed dividend	45	4 345	4 345
Total equity		42 388	39 716
Total equity and liabilities		259 718	240 877

The financial statements on pages 89 to 157 were approved for issue by the Board of Directors on 22 February 2017 and signed on its behalf by:



Charles Muchene
Chairman



Jeremy Awori
Managing Director



Yusuf Omari
Chief Financial Officer



Paul Ndungi
Company Secretary

Bank Statement of Financial Position

at 31 December 2016

	Notes	2016 Shs'millions	2015 Shs'millions
Assets			
Cash and balances with Central Bank of Kenya	16	13 378	18 180
Financial assets at fair value through profit or loss	17	7 345	2 161
Derivative financial assets	18	26	84
Financial assets available for sale	19	48 699	45 347
Deposits and balances due from banking institutions	20	219	253
Due from group companies	43	5 568	13 951
Loans and advances to customers	21	168 510	145 838
Other assets and prepaid expenses	22	10 134	8 830
Investment in subsidiaries	23	263	275
Current income tax		-	134
Deferred income tax	31	614	475
Property and equipment	24	3 081	3 258
Intangible assets	25	1 568	2 054
Prepaid operating lease rentals	26	55	56
Retirement benefit asset	32	65	256
Total assets		259 525	241 152
Equity and liabilities			
Derivative financial liabilities	18	69	42
Deposits and balances due to banking institutions	27	3 264	187
Due to group companies	43	19 736	22 689
Customer deposits	28	178 448	165 358
Borrowings	29	5 159	5 133
Other liabilities and accrued expenses	30	10 379	8 032
Current income tax		375	-
Total liabilities		217 430	201 441
Equity			
Share capital	33	2 716	2 716
Available-for-sale reserve	34	(152)	(962)
Share-based payment reserve	34	285	223
Regulatory reserve	34	-	927
Retained earnings		34 901	32 462
Proposed dividend	45	4 345	4 345
Total equity		42 095	39 711
Total equity and liabilities		259 525	241 152

The financial statements on pages 89 to 157 were approved for issue by the Board of Directors on 22 February 2017 and signed on its behalf by:



Charles Muchene
Chairman



Yusuf Omari
Chief Financial Officer



Jeremy Awori
Managing Director



Paul Ndungi
Company Secretary

Consolidated Statement of Changes in Equity

for the year ended 31 December 2016

	Notes	Share capital Shs'millions	Available- for-sale reserve Shs'millions	Share-based payment reserve Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed dividend Shs'millions	Total equity Shs'millions
Year ended 31 December 2015								
At start of year		2 716	(308)	170	432	29 913	5 432	38 355
Profit for the year		-	-	-	-	8 401	-	8 401
Other comprehensive loss for the year		-	(654)	-	-	79	-	(575)
Total comprehensive income for the year		-	(654)	-	-	8 480	-	7 826
Transfer from retained earnings		-	-	-	495	(495)	-	-
Transactions with owners:								
Movement in share-based payment plans		-	-	53	-	-	-	53
Final dividend for 2014 paid		-	-	-	-	-	(5 432)	(5 432)
Interim dividend for 2015 paid	45	-	-	-	-	(1 086)	-	(1 086)
Proposed final for 2015	45	-	-	-	-	(4 345)	4 345	-
At end of year		2 716	(962)	223	927	32 467	4 345	39 716

Year ended 31 December 2016

At start of year		2 716	(962)	223	927	32 467	4 345	39 716
Profit for the year		-	-	-	-	7 399	-	7 399
Other comprehensive income for the year		-	810	-	-	(168)	-	642
Total comprehensive income for the year		-	810	-	-	7 231	-	8 041
Transfer to retained earnings		-	-	-	(927)	927	-	-
Transactions with owners:								
Movement in share-based payment plans		-	-	62	-	-	-	62
Final dividend for 2015 paid		-	-	-	-	-	(4 345)	(4 345)
Interim dividend for 2016 paid	45	-	-	-	-	(1 086)	-	(1 086)
Proposed final for 2016	45	-	-	-	-	(4 345)	4 345	-
At end of year		2 716	(152)	285	-	35 194	4 345	42 388

Bank Statement of Changes in Equity

for the year ended 31 December 2016

	Notes	Share capital Shs'millions	Available-for-sale reserve Shs'millions	Share-based payment reserve Shs'millions	Regulatory reserve Shs'millions	Retained earnings Shs'millions	Proposed dividend Shs'millions	Total equity Shs'millions
Year ended 31 December 2015								
At start of year		2 716	(308)	170	432	29 908	5 432	38 350
Profit for the year		-	-	-	-	8 401	-	8 401
Other comprehensive loss for the year		-	(654)	-	-	79	-	(575)
Total comprehensive income for the year		-	(654)	-	-	8 480	-	7 826
Transfer from retained earnings		-	-	-	495	(495)	-	-
Transactions with owners:								
Movement in share-based payment plans		-	-	53	-	-	-	53
Final dividend for 2014 paid		-	-	-	-	-	(5 432)	(5 432)
Interim dividend for 2015 paid	45	-	-	-	-	(1 086)	-	(1 086)
Proposed final for 2015	45	-	-	-	-	(4 345)	4 345	-
At end of year		2 716	(962)	223	927	32 462	4 345	39 711

Year ended 31 December 2016

At start of year		2 716	(962)	223	927	32 462	4 345	39 711
Profit for the year		-	-	-	-	7 111	-	7 111
Other comprehensive income for the year		-	810	-	-	(168)	-	642
Total comprehensive income for the year		-	810	-	-	6 943	-	7 753
Transfer to retained earnings		-	-	-	(927)	927	-	-
Transactions with owners:								
Movement in share-based payment plans		-	-	62	-	-	-	62
Final dividend for 2015 paid		-	-	-	-	-	(4 345)	(4 345)
Interim dividend for 2016 paid	45	-	-	-	-	(1 086)	-	(1 086)
Proposed final for 2016	45	-	-	-	-	(4 345)	4 345	-
At end of year		2 716	(152)	285	-	34 901	4 345	42 095

Consolidated Statement of Cash Flows

for the year ended 31 December 2016

	Notes	2016 Shs'millions	2015 Shs'millions
Cash flows from operating activities			
Cash used in operations	35	(29 122)	(19 539)
Interest received		24 586	23 452
Interest paid		(3 205)	(4 215)
Income taxes paid	36	(3 178)	(3 351)
Net cash used in operating activities		(10 919)	(3 653)
Cash flows from investing activities			
Purchase of property and equipment	24	(541)	(1 012)
Proceeds from disposal of property and equipment	24	2	-
Purchase of intangible assets	25	(52)	(17)
Net cash used in investing activities		(591)	(1 029)
Cash flows from financing activities			
Proceeds from borrowings	29	-	5 133
Repayment of borrowings		-	(2 117)
Dividends paid	37	(5 431)	(6 518)
Net cash used in financing activities		(5 431)	(3 502)
Net decrease in cash and cash equivalents		(16 941)	(8 184)
Cash and cash equivalents at start of the year		8 012	16 196
Cash and cash equivalents at end of the year	38	(8 929)	8 012

Bank Statement of Cash Flows

for the year ended 31 December 2016

	Notes	2016 Shs'millions	2015 Shs'millions
Cash flows from operating activities			
Cash used in operations	35	(29 541)	(19 539)
Interest received		24 586	23 452
Interest paid		(3 205)	(4 215)
Income taxes paid	36	(3 178)	(3 351)
Net cash used in operating activities		(11 338)	(3 653)
Cash flows from investing activities			
Purchase of property and equipment	24	(541)	(1 012)
Proceeds from disposal of property and equipment	24	2	-
Purchase of intangible assets	25	(52)	(17)
Net cash used in investing activities		(591)	(1 029)
Cash flows from financing activities			
Proceeds from borrowings	29	-	5 133
Repayment of borrowings		-	(2 117)
Dividends paid	37	(5 431)	(6 518)
Net cash used in financing activities		(5 431)	(3 502)
Net decrease in cash and cash equivalents		(17 360)	(8 184)
Cash and cash equivalents at start of the year		8 012	16 196
Cash and cash equivalents at end of the year	38	(9 348)	8 012

Summary of Accounting Policies

for the year ended 31 December 2016

1. General information and statement of compliance

Barclays Bank of Kenya Limited (the "Bank") is a public limited company, incorporated and domiciled in Kenya. Its shares are listed on the Nairobi Securities Exchange. The address of its registered office is:

The West End Building
Waiyaki Way
PO Box 30120 00100
Nairobi

The annual financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and the interpretations issued by the International Financial Reporting Interpretations Committee of the IASB (IFRIC) and the requirements of the Kenyan Companies Act, as amended.

For the Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit and loss account by the statement of comprehensive income in these financial statements.

On initial recognition, all transactions are recorded in the Functional Currency (the currency of the primary economic environment in which the Group operates) which is the Kenya Shilling.

The consolidated financial statements are presented in millions of Kenya Shillings (Shs'millions), the presentation currency of the Group.

2. Significant accounting policies

The significant accounting policies applied in the preparation of these annual financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Adoption of new and revised accounting standards

During the current year, the Bank has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2016. The adoption of these new and revised standards and interpretations has not resulted in material changes to the Bank's accounting policies. For details of the new and revised accounting policies refer to Note 46.

2.2 Basis of preparation

Apart from certain items that are carried at revalued and fair valued amounts, as explained in the accounting policies below, the consolidated financial statements have been prepared on the historical cost basis. The principal accounting policies are set out below.

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern.

2.3 Basis of consolidation

The financial statements incorporate the financial statements of the Bank and its subsidiaries (together the "Group"). Control is achieved when the Bank is exposed, or has rights to, variable returns from its involvement with an entity and it has the ability to effect those returns through the power it exercises over the entity. The Bank will only consider potential voting rights that are substantive when assessing whether it controls another entity. In order for the right to be substantive, the holder must have the practical ability to exercise that right.

Subsidiaries (including controlled structured entities) are fully consolidated from the date on which control is transferred to the Bank. They are deconsolidated from the date that control ceases.

Income and expenses of subsidiaries acquired or disposed of during the year are included in the statement of profit or loss from the effective date of acquisition and up to the effective date of disposal, as appropriate. Total comprehensive income of subsidiaries is attributed to the owners of the Bank and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other members of the Group.

All intra-group transactions, balances, income and expenses are eliminated in full on consolidation.

2.4 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable.

2.4.1 Net fee and commission income

Fees and commissions charged for services provided or received by the Group are recognised as the services are provided, for example on completion of an underlying transaction.

Loan commitment fees for loans that are likely to be drawn down are deferred (together with related direct costs) and recognised as an adjustment to the effective interest rate on the loan.

Bancassurance fee income are recognised as the services are provided.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.4 Revenue recognition (continued)

2.4.2 Net trading income

Trading positions are held at fair value and the resulting gains and losses are included in profit or loss, together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

Income arises from both the sale and purchase of trading positions, margins which are achieved through market-making and customer business and from changes in fair value caused by movements in interest and exchange rates, equity prices and other market variables.

Gains or losses on assets or liabilities reported in the trading portfolio are included in profit or loss under net trading income together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

2.4.3 Net interest income

Interest income on loans and advances at amortised cost, available-for-sale debt investments, and interest expense on financial liabilities held at amortised cost, are calculated using the effective interest method which allocates interest, and direct and incremental fees and costs, over the expected lives of the financial assets and liabilities.

The effective interest method requires the Bank to estimate future cash flows, in some cases based on its experience of customers' behaviour, considering all contractual terms of the financial instrument, as well as the expected lives of the assets and liabilities. Due to the large number of products and types (both assets and liabilities), there are no individual estimates that are material to the results or financial position.

2.5 Foreign currencies

In preparing the financial statements of the Bank, transactions in currencies other than the Bank's Functional Currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the closing rates as at the reporting date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Income and expense items are translated at the average exchange rates for the period, unless exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used.

2.6 Employee benefits

Staff costs

Short-term employee benefits, including salaries, accrued performance costs, salary deductions and taxes are recognised over the reporting period in which the employees provide the services to which the payments relate.

Defined benefit scheme

The Group recognises its obligation (determined using the projected unit credit method) to members of the scheme at the reporting date, less the fair value of the scheme assets. Scheme assets are stated at fair value as at the reporting date. Costs arising from regular pension cost, interest on net defined benefit liability or asset, past service cost settlements or contributions to the plan are recognised in profit or loss.

All actuarial gains and losses are recognised immediately through OCI in order for the net defined benefit scheme asset or liability recognised in the statement of financial position to reflect the full value of the plan surplus or deficit, taking into account the asset ceiling.

Remeasurements comprise experience adjustments (differences between previous actuarial assumptions and what has actually occurred) and the effects of changes in actuarial assumptions.

Interest is calculated by applying the discount rate to the opening net defined liability or asset, taking into account any changes in the net defined liability or asset during the period as a result of contribution and benefit payments.

Gains and losses on curtailments are recognised when the curtailment occurs, which may be when a demonstrable commitment to a reduction in benefits, or reduction in eligible employees, occurs. The gain or loss comprises any change in the present value of the obligation and the fair value of the assets. Where a scheme's assets exceed its obligation, an asset is recognised to the extent that it does not exceed the present value of future contribution holidays or refunds of contributions.

Defined contribution scheme

The Group recognises contributions due in respect of the reporting period in profit or loss. Any contributions unpaid at the reporting date are included as a liability.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.7 Share-based payments

The Bank operates equity-settled and cash-settled share-based payment plans.

Employee services settled in equity instruments

The cost of the employee services received in respect of the shares or share options granted is recognised in profit or loss over the period that employees provide services, generally the period in which the award is granted or notified and the vesting date of the shares or options. The overall cost of the award is calculated using the number of shares and options expected to vest and the fair value of the shares or options at the date of grant.

The number of shares and options expected to vest takes into account the likelihood that performance and service conditions included in the terms of the awards will be met. Failure to meet non-vesting condition is treated as a cancellation, resulting in an acceleration of recognition of the cost of the employee services.

The fair value of shares is the market price ruling on the grant date, in some cases adjusted to reflect restrictions on transferability. The fair value of options granted is determined using option pricing models to estimate the numbers of shares likely to vest. These take into account the exercise price of the option, the current share price, the risk-free interest rate, the expected volatility of the share price over the life of the option and other relevant factors. Market conditions that must be met in order for the award to vest are also reflected in the fair value of the award, as are any other non-vesting conditions.

Employee services settled in cash

The fair value of the amount payable to employees in terms of a cash-settled share-based payment is recognised as an expense, with a corresponding increase in liabilities, over the vesting period. The liability is remeasured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as staff costs in profit or loss. No amount is recognised for services received if the awards granted do not vest because of a failure to satisfy a vesting condition.

2.8 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

2.8.1 Current income tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the consolidated statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible.

Income tax payable on taxable profits is recognised as an expense for the year in which the profits arise.

Income tax recoverable on tax allowable losses is recognised as a current tax asset only to the extent that it is regarded as recoverable and offset against taxable profits arising in the current or future reporting period.

2.8.2 Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred income tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred income tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Deferred income tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred income tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred income tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.8 Taxation (continued)

Current and deferred income tax

Current and deferred income tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred income tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred income tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

2.9 Property and equipment

Property and equipment is stated at cost, which includes direct and incremental acquisition costs less accumulated depreciation and provisions for impairment, if required. Subsequent costs are capitalised if these result in an enhancement to the asset.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Estimated useful lives are set out in Note 3 (Judgements and estimates). Land and buildings comprise mainly of branches and offices. Freehold land is not depreciated.

2.10 Intangible assets

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

2.10 Impairment of tangible and intangible assets (excluding goodwill)

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

2.11 Provisions, contingent liabilities and undrawn commitments

Provisions

Provisions for legal claims or restructuring are recognised when: the Bank has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

Contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events, and present obligations where the transfer of economic resources is uncertain or cannot be reliably measured. Contingent liabilities are not recognised on the statement of financial position but are disclosed unless the outflow of economic resources is remote.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.11 Provisions, contingent liabilities and undrawn commitments (continued)

Undrawn commitments

Provision is made for undrawn loan commitments if it is probable that the facility will be drawn and therefore results in the recognition of an asset at an amount less than the amount advanced.

2.12 Financial instruments

Financial assets and financial liabilities are recognised when the company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are capitalised to the initial carrying amount of the financial asset/liability, as appropriate on initial recognition.

Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

On initial recognition, it is presumed that the transaction price is the fair value unless there is observable information available in an active market to the contrary. The best evidence of an instrument's fair value on initial recognition is typically the transaction price. However, if fair value can be evidenced by comparison with other observable current market transactions in the same instrument, or is based on a valuation technique whose inputs include only data from observable markets then the instrument should be recognised at the fair value derived from such observable market data.

2.12.1 Financial assets and financial liabilities

Financial assets are classified depending on the nature and purpose of the financial assets. This is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

Financial instruments at fair value through profit or loss ("FVTPL")

Financial assets are measured as at FVTPL when they are either held for trading or designated as at FVTPL.

A financial instrument is classified as held for trading if:

- it is a financial asset that has been acquired principally for the purpose of selling it in the near term, or it is a financial liability that has been acquired principally for the purpose of repurchasing it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument.

A financial instrument other than one that is held for trading may be designated as at FVTPL upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- the financial instrument forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a contract containing one or more embedded derivatives, and IAS 39

Financial Instruments: Recognition and Measurement permits the entire combined contract (asset or liability) to be designated as at FVTPL.

Financial instruments at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in profit or loss. The net gain or loss recognised in profit or loss incorporates any dividend or interest earned on the financial asset.

Available-for-sale (AFS) financial assets

AFS financial assets are non-derivatives that are either designated as AFS or are not classified as loans and receivables or financial assets at fair value through profit or loss.

AFS financial assets include both debt and equity instruments and are stated at fair value at the end of each reporting period.

Subsequent changes in the carrying amount of AFS monetary financial assets relating to changes in foreign currency rates, interest income calculated using the effective interest method and dividends on AFS equity investments are recognised in profit or loss. Other changes in the carrying amount of AFS financial assets are recognised in other comprehensive income and accumulated under the heading of Available –for– sale reserve. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the Available –for– sale reserve is reclassified to profit or loss.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.12 Financial instruments (continued)

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment.

Interest income is recognised by applying the effective interest rate, except for short-term receivables when the recognition of interest would be immaterial.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

Financial liabilities

Most financial liabilities are held at amortised cost. That is, the initial fair value (which is normally the amount borrowed) is adjusted for premiums, discounts, repayments and the amortisation of coupon, fees and expenses to represent the effective interest rate of the liability.

Category (as defined by IAS 39)		Class (as determined by the Group)		Subclasses
Financial assets	Financial assets at fair value through profit or loss	Financial assets held for trading	Debt securities	-
			Derivative assets	-
	Loans and receivables	Loans and advances to banks		
		Due from group companies		
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts
				Credit cards
				Term loans
				Mortgages
			Loans to corporate entities	Large corporate customers
				SMEs
	Others			
	Items in course of collection			
Cash and balances with Central Bank of Kenya				
Available- for- sale investments	Debt securities			
Financial liabilities	Financial liabilities at amortised cost	Deposits from banks		
		Deposits from customers	Retail customers	-
			Large corporate customers	-
			SMEs	-
		Items in course of collection		
		Borrowings		
		Due to group companies		
		Other liabilities		
	Financial assets at fair value through profit or loss			
Off-balance sheet financial instruments	Loan commitments			
	Guarantees, acceptances and other financial liabilities			

2. Significant accounting policies (continued)

2.13 Impairment of financial assets

Amortised cost instruments

Impairment on financial assets measured at amortised cost is recognised in accordance with IAS 39, the Bank assesses at each reporting date whether there is objective evidence that financial assets at amortised cost will not be recovered in full and, wherever necessary, recognises an impairment loss in profit or loss. An impairment loss is recognised if there is objective evidence of impairment as a result of events that have occurred and these have adversely impacted the estimated future cash flows from the assets.

Objective evidence of impairment could include:

- significant financial difficulty of the issuer or counterparty; or
- breach of contract, such as a default or delinquency in interest or principal payments; or
- it becoming probable that the borrower will enter bankruptcy or financial re-organisation; or
- the disappearance of an active market for that financial asset because of financial difficulties.

For financial assets carried at amortised cost, the amount of the impairment loss recognised is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the financial asset's original effective interest rate.

For financial assets carried at amortised cost, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment loss will not be reversed in subsequent periods.

For financial assets measured at amortised cost, if, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed through profit or loss to the extent that the carrying amount of the investment at the date the impairment is reversed does not exceed what the amortised cost would have been had the impairment not been recognised.

Following impairment, interest income continues to be recognised at the original effective interest rate on the restated carrying amount, representing the unwind of the discount of the expected cash flows, including the principal due on non-accrual loans.

Uncollectable loans are written off against the related allowance for loan impairment on completion of the Bank's internal processes and all recoverable amounts have been collected. Subsequent recoveries of amounts previously written off are credited to profit or loss.

Identified impairment

Impairment allowances are calculated on an individual basis and all relevant considerations that have a bearing on the expected future cash flows of that instrument being assessed are taken into account, for example, the business prospects for the customer, the fair value of collateral, the Bank's position relative to other claimants, the reliability of customer information and the likely cost and duration of the workout process. Subjective judgements are made in this process by management.

Furthermore, judgements change with time as new information becomes available or as workout strategies evolve, resulting in revisions to the impairment allowance as individual decisions are taken case by case. Once a financial asset or a group of similar financial assets have been written down as a result of an impairment loss, interest income is thereafter recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised, are not included in a collective assessment of impairment.

Unidentified impairment

An impairment allowance is recognised when observable data indicates there is a measurable decrease in the estimated future cash flows from a group of financial assets since the original recognition of those assets, even though the decrease cannot yet be identified for the individual assets in the group. The purpose of collective assessment of impairment is to test for latent losses on a portfolio of loans that have not been individually evidenced.

In cases where the collective impairment of a portfolio cannot be individually evidenced, the Bank sets out to prove that a risk condition has taken place that will result in an impairment of assets (based on historic experience), but the losses will only be identifiable at an individual borrower level at a future date.

The emergence period concept is applied to ensure that only impairments that exist at the reporting date are captured. The emergence period is defined as the time lapse between the occurrence of a trigger event and the impairment being identified at an individual account level. The probability of default for each exposure class is based on historical default experience, scaled for the emergence period relevant to the exposure class. This probability of default is then applied to the total population for which specific impairments have not been recognised. The resulting figure represents an estimation of the impairment that occurred during the emergence period and therefore has not specifically been identified by the Bank at the reporting date.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.13 Impairment of financial assets (continued)

The impairment allowance also takes into account the expected severity of loss at default, or the loss-given default (LGD), which is the amount outstanding when default occurs that is not subsequently recovered. Recovery varies by product and depends, for example, on the level of security held in relation to each loan, and the Bank's position relative to other claimants. The LGD estimates are based on historical default experience.

Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that do not affect the period on which historical loss experience is based and to remove the effects of conditions in the historical period that do not currently exist.

Available-for-sale debt instruments

Debt instruments are assessed for impairment in the same way as loans. If impairment is deemed to have occurred, the cumulative decline in the fair value of the instrument that has previously been recognised in other comprehensive income is removed from other comprehensive income and recognised in profit or loss. This may be reversed through the profit or loss, if there is evidence that the circumstances of the issuer have improved.

2.14 Derecognition of financial assets

Derecognition of financial assets

Full derecognition only occurs when the rights to receive cash flows from the asset have been discharged, cancelled or have expired, or the Bank transfers both its contractual right to receive cash flows from the financial assets (or retains the contractual rights to receive the cash flows, but assumes a contractual obligation to pay the cash flows to another party without material delay or reinvestment) and substantially all the risks and rewards of ownership, including credit risk, prepayment risk and interest rate risk. When an asset is transferred, in some circumstances, the Bank may retain an interest in it (continuing involvement) requiring the Bank to repurchase it in certain circumstances for other than its fair value on that date.

Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified (taking into account both quantitative and qualitative factors), such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss. Where the terms of an existing liability are not substantially modified, the liability is not derecognised. Costs incurred on such transactions are treated as an adjustment to the carrying amount of the liability and are amortised over the remaining term of the modified liability.

Loan commitments

The Bank enters into commitments to lend to its customers subject to certain conditions. Such loan commitments are made either for a fixed period, or are cancellable by the Bank subject to notice conditions. Provision is made for undrawn loan commitments to be provided at below-market interest rates and for similar facilities, if it is probable that the facility will be drawn and result in recognition of an asset at an amount less than the amount advanced.

2.15 Ordinary share capital

Proceeds are included in equity, net of transaction costs. Dividends and other returns to equity holders are recognised when paid or declared by the Board.

2.16 Derivative financial instruments

The Bank enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks, including foreign exchange forward contracts, interest rate swaps and cross currency swaps.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

Derivatives embedded in non-derivative host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL.

2.17 Offsetting

In accordance with IAS 32 Financial Instruments: Presentation, the Group reports financial assets and financial liabilities on a net basis on the statement of financial position only if there is a current legally enforceable right to set off the recognised amounts and there is intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.18 Cash and cash equivalents

For the purposes of the statement of cash flows, cash comprises cash on hand and demand deposits, and cash equivalents comprise highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less.

2.19 Earnings per share

The calculation of basic earnings per share is based on the profit attributable to ordinary equity holders of the Bank and the number of basic weighted average number of ordinary shares excluding treasury shares held in employee benefit trusts or held for trading. When calculating the diluted earnings per share, the weighted average number of shares in issue is adjusted for the effects of all dilutive potential ordinary shares held.

2.20 Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country Management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance. In accordance with IFRS 8, the Bank has the following business segments: Consumer banking and Corporate banking.

2.21 Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with Kenya Companies' Act.

2.22 Leases

Leases are divided into finance leases and operating leases.

(a) The Bank is the lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

The total payments made under operating leases are charged to infrastructure costs on a straight-line basis over the period of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(ii) Finance lease

Lease of assets where the Bank has substantially all the risks and rewards of ownership are classified as finance leases. These are capitalised at lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

The corresponding rental obligations, net of finance charges, are included in deposits from banks or deposits from customers depending on the counter party. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The leases entered into by the Bank are primarily operating leases.

(b) The Bank is the lessor

When assets are held subject to a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

(c) Fees paid in connection with arranging leases

The Bank makes payments to agents for services in connection with negotiating lease contracts with the Bank's lessees. For operating leases, the letting fees are capitalised within the carrying amount of the related asset and depreciated over the life of the lease.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

2. Significant accounting policies (continued)

2.23 Reporting changes overview

The financial reporting changes that have had an impact on the Group's results for the comparative reporting periods ended 31 December 2016 include:

2.23.1 Reclassification changes

In terms of the Group's policy, non-derivative financial assets that are not designated as AFS neither acquired principally for the purpose of selling it in the near term should be reported as "loans and receivables". It was established that the corporate bond previously included in AFS was held for fixed determinable payments and was measured at amortised cost using the effective interest method, less impairment. These items are now being reported as "loans and receivables".

2.23.2 Impact of reporting changes on the Group's results

The impact of these changes on the statement of financial position is as follows:

Consolidated statement of financial position as at 31 December 2015

	Shs'millions As previously reported	Shs'millions Reclassification changes	Shs'millions Restated
Financial assets available-for-sale	45 806	(459)	45 347
Loans and advances to customers	145 379	459	145 838

3. Judgements and estimates

In the preparation of the annual financial statements, management is required to make judgements, estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates, which may be material to the financial statements within the next financial period.

Judgements made by management that could have a significant effect on the amounts recognised in the financial statements include:

Impairment losses on loans and advances

The Bank reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Bank makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a bank, or national or local economic conditions that correlate with defaults on assets in the Bank.

The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

Fair value of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates. Changes in assumptions about these factors could affect the reported fair value of financial instruments. The fair value hierarchy for these financial instruments is shown in Note 40.

Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in Note 44.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

Summary of Accounting Policies (continued)

for the year ended 31 December 2016

3. Judgements and estimates (continued)

Post-retirement benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in Note 32. The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of government bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability. Through its defined benefit pension plans, the Group is exposed to a number of risks, the most significant of which are detailed below:

(i) Asset volatility and changes in bond yields

The plan liabilities are calculated using a discount rate set with reference to government bond yields; if plan assets underperform this yield, this will create a deficit.

As the plan matures, the Group intends to reduce the level of investment risk by investing more in assets that better match the liabilities.

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plan's bond holdings

(ii) Inflation risk

The majority of the plan's benefit obligations are linked to inflation, and higher inflation will lead to higher liabilities. The majority of the plan's assets are either unaffected by (fixed interest bonds) or loosely correlated with (equities) inflation, meaning that an increase in inflation will also increase the deficit.

(iii) Life expectancy

The majority of the plan's obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans' liabilities.

Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 32 of these financial statements.

(iv) Investment risk

The actuarial funding valuations make assumptions about the returns that may be available on invested assets. If the return on pension plan assets is below this rate, it may lead to a strain on the fund, which over time, may result in a pension plan deficit. Typically the funds have a relatively balanced investment in equity securities, debt securities and real estate to mitigate any concentration risk. Due to the long-term nature of the pension plan liabilities, the boards of the pension funds consider it appropriate that a reasonable portion of the plan assets should be invested in equity securities and in real estate to improve the return generated by the fund. This may in turn result in improved discretionary benefits to members or reduced costs for the sponsoring entity.

Useful lives of property and equipment

Useful lives Years

Property and equipment

Buildings;	50
Leases over 50 years	Over the remaining life
Leases under 50 years	6
Rented premises	50
Freehold buildings	Over the remaining lease period
Leasehold improvements	5
Fixtures, fittings and equipment	5
Motor vehicles	

Intangible assets

Flexcube (Core banking application)	10
Other	5

Notes to the consolidated annual financial statements

for the year ended 31 December 2016

4. Interest income

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Financial assets available-for-sale	5 587	5 141
Deposits and balances due from banking institutions and group companies	151	103
Loans and advances to customers	21 696	20 042
	27 434	25 286

5. Interest expense

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Deposits and balances due to banking institutions and group companies	(215)	(555)
Customer deposits	(4 511)	(4 202)
Borrowings	(374)	(118)
	(5 100)	(4 875)

6. Net fee and commission income

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Fee and commission income				
Service fees	4 979	5 828	4 979	5 828
Credit related fee and commissions	959	1 564	959	1 564
Insurance agency commissions	492	217	-	217
Fee and commission income	6 430	7 609	5 938	7 609
Fee and commission expense				
Fee and commission expense	(660)	(959)	(660)	(959)
Net fee and commission income	5 770	6 650	5 278	6 650

Fees and commission expense relates to card interchange fees.

7. Net foreign exchange income

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Net foreign exchange income	2 620	2 487

8. Net income/(loss) from financial instruments carried at fair value through profit or loss – Held for trading

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Debt: Government treasury bills and bonds	885	(453)
	885	(453)

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

9. Other operating income

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Gain on disposal of property and equipment	2	-
Rental income	4	7
Sundry income	68	360
Total Other income	74	367

The sundry income relates to insurance recoveries in the year. For 2015, sundry income related to one off income receivable from Barclays Africa Group Limited.

10. Impairment losses on loans and advances

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Identified impairment (Note 21)	(3 557)	(2 050)
Unidentified impairment (Note 21)	(669)	(56)
Net increase in impairment provision	(4 226)	(2 106)
Recoveries of loans and advances previously written off	297	340
Bad debt written off	2	-
Statement of comprehensive income charge	(3 927)	(1 766)

11. Employee benefits

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Salaries and allowances	(7 966)	(7 895)	(7 907)	(7 895)
Training costs	(57)	(77)	(56)	(77)
Staff medical costs	(462)	(419)	(459)	(419)
Post-employment benefits:				
Defined contribution benefits scheme	(748)	(407)	(745)	(407)
Defined benefit plan (Note 32)	(28)	(29)	(28)	(29)
Social security cost	(9)	(12)	(9)	(12)
Other	(567)	(466)	(566)	(466)
Total staff cost	(9 837)	(9 305)	(9 770)	(9 305)

Other includes temporary staff salaries and fringe benefit tax.

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Average number of employees during the year	2 591	2 762	2 591	2 762
Average number of direct sales during the year	1 291	1 037	1 291	1 037

11.1 Share-based payments

	2016	2015
	Shs'millions	Shs'millions
The statement of comprehensive income charge for share-based payments comprises the following		
Equity-settled arrangements: (refer to Note 34)	62	53
Cash-settled arrangements:	1	-
Deferred cash		
Barclays Africa Group Limited Cash Value Plan ("CVP")	20	8
Total deferred cash and share-based payments	83	61

Cash-settled share-based payment schemes are measured with reference to the statement of financial position date and the Barclays Africa Group Limited share price.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

12. Infrastructure costs

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Property cost	(431)	(428)	(430)	(428)
Equipment costs	(485)	(415)	(479)	(415)
Operating lease rentals	(878)	(774)	(877)	(774)
	(1 794)	(1 617)	(1 786)	(1 617)

13. Administrative and general expenses

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Auditors' remuneration:				
Audit related services	(20)	(20)	(20)	(20)
Consultancy, legal and professional fees	(108)	(105)	(108)	(105)
Subscription, publications, stationary and communications	(783)	(1 135)	(783)	(1 135)
Marketing, advertising and sponsorship	(378)	(397)	(378)	(397)
Travel and accommodation	(139)	(161)	(139)	(161)
	(1 408)	(1 798)	(1 408)	(1 798)
Other administrative and general expense:	(2 653)	(1 828)	(2 650)	(1 828)
Total administrative and general expense	(4 081)	(3 646)	(4 078)	(3 646)

Other administrative and general expense mainly consists of group recharges, security costs, professional, cash in transit expenses, insurance costs and motor vehicle expenses.

14. Income tax expense

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Current income tax	(3 792)	(3 613)	(3 662)	(3 613)
Deferred income tax (Note 31)				
Current year credit / (charge)	339	(60)	334	(60)
Total income tax expense for the year	(3 453)	(3 673)	(3 328)	(3 673)

The effective tax rate for the year ended 31 December 2016 is 31.8% (2015: 30.4%).

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Profit before income tax	10 852	12 074	10 439	12 074
Income tax expense calculated at 30% (2015: 30%)	3 256	3 622	3 131	3 622
Effect of income that is exempt from taxation	(82)	(114)	(82)	(114)
Effect of expenses that are not deductible in determining taxable profit	279	165	279	165
Income tax expense recognised in profit or loss	3 453	3 673	3 328	3 673

Deferred income tax on fair value gains or losses on available-for-sale financial assets has been recorded in other comprehensive income.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

15. Earnings per share

	GROUP		BANK	
	2016 Shs'millions	2015 Shs'millions	2016 Shs'millions	2015 Shs'millions
Net profit attributable to shareholders (Shs Millions)	7 399	8 401	7 111	8 401
Number of ordinary shares in issue (Shs Millions)	5 432	5 432	5 432	5 432
Basic earnings per share	1.36	1.55	1.31	1.55

There were no potentially dilutive shares outstanding at 31 December 2016 or 2015. Diluted earnings per share are therefore the same as basic earnings per share.

16. Cash and balances with Central Bank of Kenya

	GROUP and BANK	
	2016 Shs'millions	2015 Shs'millions
Cash in hand	5 033	6 126
Balances with Central Bank of Kenya	8 345	12 054
	13 378	18 180

17. Financial assets at fair value through profit or loss

	GROUP and BANK	
	2016 Shs'millions	2015 Shs'millions
Debt securities : Government treasury bills and bonds	7 345	2 161
	7 345	2 161

All financial assets at fair value through profit or loss are current

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

18. Derivative financial instruments

Derivative financial instruments are entered into in the normal course of business to manage various financial risks. The derivative instrument contract value is derived from one or more underlying financial instruments or indices defined in the contract. They include swaps and forward rate agreements.

All derivative financial instruments have been measured at fair value at fair value through profit and loss. At the reporting date, the Bank did not have any compound financial instruments with multiple embedded derivatives in issue. The Bank only trades the following derivative instrument:

Foreign exchange derivatives

The Bank's principal exchange rate-related contracts are forward foreign exchange contracts and currency swaps. Forward foreign exchange contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate. A currency swap generally involves the exchange, or notional exchange, of equivalent amounts of two currencies and a commitment to exchange interest periodically until the principal amounts are re-exchanged on a future date. As compensation for assuming the option risk, the option writer generally receives a premium at the start of the option period.

The Bank trades foreign exchange forwards and swaps (forward contracts). These are binding contracts locking in the exchange rate for the purchase or sale of a currency on a future date. The Bank's forward book is marked to market on daily basis.

GROUP and BANK	Notional Contract Amount Shs'millions	Assets Shs'millions	Liabilities Shs'millions
2016			-
Foreign exchange derivatives			-
Forwards	(11)	12	39
Currency swaps	(50)	14	30
	(61)	26	69
2015			-
Foreign exchange derivatives			-
Forwards	(13)	42	39
Currency swap	(47)	42	3
	(60)	84	42
2016			
Current		26	69
Non-current		-	-
		26	69
2015			
Current		84	42
Non-current		-	-
		84	42

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

19. Financial assets available-for-sale

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Debt: Government treasury bills and bonds		
Maturing within 90 days	4 877	8 368
Maturing after 90 days	43 822	36 979
	48 699	45 347

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as either available-for-sale or at fair value through profit or loss. The weighted average effective interest rate on the Government securities at 31 December 2016 was 10% (2015: 9.4%).

A fair value profit of Shs 810 million (Gross: Shs 1,066 million less deferred income tax saving of Shs 320 million) has been recognised in other comprehensive income. In 2015, a fair value loss of Shs 654 million (Gross: Shs 935 million less deferred income tax of Shs 281 million) was recognised in other comprehensive income.

20. Deposits and balances due from banking institutions

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Deposits and balances with banking institutions abroad	219	253
	219	253

The weighted average effective interest rate on deposits and balances due from banking institutions at 31 December 2016 was 18.6% (2015: 16.2%).

Deposits and balances due from banking institutions are current.

21. Loans and advances to customers

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Commercial loans	131 539	112 152
Bills discounted	25 097	23 043
Instalment credit agreements	9 158	8 097
Unearned finance charges	(102)	(45)
Gross Instalment credit agreements	9 260	8 142
Overdrafts	9 882	7 001
Gross loans and advances to customers	175 676	150 293
Less: allowance for impairment		
Identified impairment	(5 968)	(3 926)
Unidentified impairment	(1 198)	(529)
Allowance for impairment	(7 166)	(4 455)
Net loans and advances to customers	168 510	145 838

21.1 Instalment credit agreements

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Less than one year	1 022	864
Between one and five years	6 263	6 998
More than five years	1 873	235
	9 158	8 097

The Group enters into instalment credit agreements in respect of motor vehicles and equipment. Under the terms of the lease agreements, no contingent rentals are payable.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

21. Loans and advances to customers (continued)

21.2 Instalment credit agreements

	GROUP and BANK		
	Identified impairment Shs'millions	Unidentified impairment Shs'millions	Total Shs'millions
2016			
At start of year	3 926	529	4 455
New impairment provision	3 593	669	4 262
Increase in impairment provisions	203	-	203
Recoveries and impairment provisions no longer required	(239)	-	(239)
Increase in impairment provision	3 557	669	4 226
Amounts written off during the year as uncollectible	(1 515)	-	(1 515)
At end of the year	5 968	1 198	7 166
Net increase in impairment provision	3 557	669	4 226
Accounts recovered previously written off	(297)	-	(297)
Bad debt written off	(2)	-	(2)
Net impairment charge (Note 10)	3 258	669	3 927
	Identified impairment Shs'millions	Unidentified impairment Shs'millions	Total Shs'millions
2015			
At start of year	3 095	473	3 568
New impairment provision	1 933	56	1 989
Increase in impairment provisions	(1 219)	-	366
Recoveries and impairment provisions no longer required	(249)	-	(249)
Increase in impairment provision	2 050	56	2 106
Amounts written off during the year as uncollectible	(1 219)	-	(1 219)
At end of the year	3 926	529	4 455
Net increase in impairment provision	2 050	56	2 106
Accounts recovered previously written off	(340)	-	(340)
Net impairment charge (Note 10)	1 710	56	1 766

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Shs 1,600 million (2015: Shs 781 million). All such loans have been written down to the present value of their recoverable amount.

The weighted average effective interest rate on loans and advances at 31 December 2016 was 12.7% (2015: 14.5%).

Impaired loans and advances to customers

	2016 Shs'millions	2015 Shs'millions
Loans and advances individually assessed as impaired	7 568	4 707
Provision for impairment	(5 968)	(3 926)
Net loans and advances to customers individually impaired	1 600	781
Unidentified impairment	1 198	529

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

21. Loans and advances to customers (continued)

	2016 Shs'millions	2016 (%)	2015 Shs'millions	2015 (%)
Economic sector risk concentrations:				
Manufacturing	20 613	12	20 977	14
Wholesale and retail trade	28 240	16	16 482	11
Transportation and communications	9 888	6	7 492	5
Agricultural	8 975	5	2 997	2
Private individuals	76 780	44	85 405	57
Other	31 180	17	16 940	11
	175 676	100	150 293	100

22. Other assets and prepaid expenses

	GROUP and BANK	
	2016 Shs'millions	2015 Shs'millions
Other receivables		
Prepaid expenses	3 190	2 747
Items in course of collection from banks	792	791
Other	6 152	5 292
	10 134	8 830

Other assets mainly consist of prepayments, suspense accounts as well as settlement fees receivable

All other assets are current

23. Investment in subsidiaries

Name of subsidiary	Proportion of ownership interest and voting power held		Carrying amount	
	2016	2015	2016 Shs'millions	2015 Shs'millions
Subsidiaries				
Barclays Financial Services Limited	100%	100%	263	275
Barclays (Kenya) Nominees Limited	100%	100%	-	-
Barclays Deposit Taking Microfinance Limited	100%	100%	-	-
Barclays Bank Insurance Agency Limited	100%	100%	-	-
Barclays Pension Services Limited	100%	100%	-	-
			263	275

Barclays (Kenya) Nominees Limited, Barclays Pension Services Limited and Barclays Deposit Taking Microfinance Limited are dormant companies. Barclays Financial Services Limited and Barclays Bank Insurance Agency Limited have started operating in the business of broker services and insurance agency respectively.

The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the Bank.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

24. Property and equipment

	Freehold buildings Shs'millions	Leasehold improvements Shs'millions	Fixtures fittings & equipment Shs'millions	Motor vehicles Shs'millions	WIP Shs'millions	Total Shs'millions
GROUP and BANK						
Year ended 31 December 2016						
At start of year	129	3 953	7 208	81	584	11 955
Additions	1	57	281	-	202	541
Transfers	-	87	616	-	(766)	(63)
Reclassification from intangible asset	-	-	-	-	12	12
Disposals	-	(2)	-	-	-	(2)
At end of year	130	4 095	8 105	81	32	12 443
Accumulated depreciation						
At start of year	(40)	(2 589)	(6 020)	(48)	-	(8 697)
Depreciation	(2)	(158)	(496)	(9)	-	(665)
At end of year	(42)	(2 747)	(6 516)	(57)	-	(9 362)
Net book value at end of year	88	1 348	1 589	24	32	3 081
Year ended 31 December 2015						
At start of year	129	3 858	6 644	68	358	11 057
Additions	-	24	388	13	587	1 012
Reclassification to intangible asset	-	-	-	-	(114)	(114)
Transfers	-	71	176	-	(247)	-
At end of year	129	3 953	7 208	81	584	11 955
Accumulated depreciation						
At start of year	(40)	(2 449)	(5 680)	(41)	-	(8 210)
Depreciation	-	(140)	(340)	(7)	-	(487)
At end of year	(40)	(2 589)	(6 020)	(48)	-	(8 697)
Net book value at end of year	89	1 364	1 188	33	584	3 258

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

25. Intangible assets

	Computer software Shs'millions	WIP Shs'millions	Total Shs'millions
GROUP			
Year ended 31 December 2016			
At start of year	5 457	66	5 523
Acquisitions	10	42	52
Reclassification	25	-	25
Reclassification to property plant and equipment	-	(12)	(12)
Transfer from WIP	76	(76)	-
At end of year	5 568	20	5 588
Amortisation and impairment losses			
At start of year	(3 469)	-	(3 469)
Amortisation	(527)	-	(527)
At end of year	(3 996)	-	(3 996)
Net book value at end of year	1 572	20	1 592
Year ended 31 December 2015			
At start of year	5 392	-	5 392
Acquisitions	17	-	17
Transfers	48	(48)	-
Reclassification from property and equipment	-	114	114
At end of year	5 457	66	5 523
Amortisation and impairment losses			
At start of year	(2 902)	-	(2 902)
Amortisation	(567)	-	(567)
At end of year	(3 469)	-	(3 469)
Net book value at end of year	1 988	66	2 054
BANK			
Year ended 31 December 2016			
At start of year	5 457	66	5 523
Acquisitions	10	42	52
Transfer to property plant and equipment	-	(12)	(12)
Transfer from WIP	76	(76)	-
At end of year	5 543	20	5 563
Amortisation and impairment losses			
At start of year	(3 469)	-	(3 469)
Amortisation	(526)	-	(526)
At end of year	(3 995)	-	(3 995)
Net book value at end of year	1 548	20	1 568

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

25. Intangible assets (continued)

	Computer software Shs'millions	WIP Shs'millions	Total Shs'millions
BANK			
Year ended 31 December 2015			
At start of year	5 392	-	5 392
Acquisitions	17	-	17
Transfers	48	(48)	-
Transfers from property and equipment	-	114	114
At end of year	5 457	66	5 523
Amortisation and impairment losses			
At start of year	(2 902)	-	(2 902)
Amortisation	(567)	-	(567)
At end of year	(3 469)	-	(3 469)
Net book value at end of year	1 988	66	2 054

26. Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
At start of year	56	57
Amortisation charge for the year	(1)	(1)
At end of year	55	56

27. Deposits and balances due to banking institutions

	GROUP and BANK	
	2016	2015
	Shs'millions	Shs'millions
Due to local banks	3 000	-
Due to foreign banks	264	187
	3 264	187

The weighted average effective interest rate on deposits and balances due to banking institutions at 31 December 2016 was 11.4% (2015: 8.5%).

Deposits and balances due to banking institutions are current.

28. Customer deposits

	GROUP and BANK	
2016	Shs'millions	Shs'millions
Call deposits	109 341	109 877
Savings and transmission accounts	33 350	33 082
Fixed deposits	35 489	35 489
	178 180	178 448
2015		
Call deposits	101 834	101 834
Savings and transmission accounts	26 684	26 960
Fixed deposits	36 565	36 564
	165 083	165 358

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

28. Customer deposits (continued)

2016	GROUP and BANK	
	Shs'millions	Shs'millions
Current	142 763	143 031
Non-current	35 417	35 417
	178 180	178 448
2015		
Current	146 103	146 378
Non-current	18 980	18 980
	165 083	165 358

The weighted average effective interest rate on customer deposits at 31 December 2016 was 2.6% (2015: 2.7%).

The carrying value of customer deposits approximates their fair value.

29. Borrowings

	GROUP and BANK	
	2016 Shs'millions	2015 Shs'millions
Subordinated debt	5 159	5 133
	5 159	5 133

The US\$50million subordinated loan from Barclays Africa Group Limited was obtained on 26 March 2015 and has a maturity date of 26 March 2020. Interest is paid quarterly in arrears at a rate of 270bps above USD Libor which re-sets every three months. The carrying value of borrowings approximates their fair value.

30. Other liabilities and accrued expenses

	GROUP		BANK	
	2016 Shs'millions	2015 Shs'millions	2016 Shs'millions	2015 Shs'millions
Accrued expenses	305	271	305	271
Items in the course of collection due to other banks	1 813	1 937	1 813	1 937
Deferred income	741	797	741	797
Outstanding bankers cheques	703	585	703	585
Other payables	6 856	4 442	6 817	4 442
	10 418	8 032	10 379	8 032

Other payables include items relating to excise duties payable, interchange payable and trade payables

Other liabilities and accrued expenses are current.

31. Deferred income tax

The analysis of the deferred tax assets and deferred tax liabilities is as follows:

	GROUP		BANK	
	2016 Shs'millions	2015 Shs'millions	2016 Shs'millions	2015 Shs'millions
Deferred income tax assets	860	803	855	803
Deferred income tax liabilities	(241)	(328)	(241)	(328)
	619	475	614	475

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

31. Deferred income tax (continued)

Consolidated deferred income tax assets and liabilities are attributable to the following:

GROUP

2016	At start of year Shs'millions	Credit/ (charge) to profit or loss Shs'millions	(Charge)/ credit to other comprehensive income Shs'millions	At end of year Shs'millions
Property and equipment	(328)	87	-	(241)
Financial assets available-for-sale	414	-	(320)	94
Prior year overstatement available-for-sale	-	-	64	64
Re-measurements of defined benefit liability (asset)	-	-	61	61
Provision for impairment of loans and advances	389	247	-	636
Tax losses	-	5	-	5
	475	339	(195)	619

2015				
Property, plant and equipment	(207)	(121)	-	(328)
Financial assets available-for-sale	133	-	281	414
Provision for impairment of loans and advances	328	61	-	389
	254	(60)	281	475

BANK

2016				
Property, plant and equipment	(328)	87	-	(241)
Financial assets available-for-sale	414	-	(320)	94
Prior year overstatement of financial assets available-for-sale	-	-	64	64
Re-measurements of defined benefit liability (asset)	-	-	61	61
Provision for impairment of loans and advances	389	247	-	636
	475	334	(195)	614

2015				
Property, plant and equipment	(207)	(121)	-	(328)
Financial assets available-for-sale	133	-	281	414
Provision for impairment of loans and advances	328	61	-	389
	254	(60)	281	475

32. Retirement benefit asset

The Barclays Bank of Kenya Limited Staff Pension Fund ("the Fund") is a defined benefit pension fund. Prior to 1 January 2010 the Fund consisted of both a Defined Benefit ("DB") and a Defined Contribution ("DC") component. On 1 January 2010, the Fund was split into two separate legal entities, with the liabilities of the DB section remaining in the Fund, and the DC liabilities being transferred to the Barclays Bank of Kenya Limited Staff Retirement Benefits (Defined Contribution) Scheme 2009 ("the DC Fund").

The operation of the Fund is regulated by the Retirement Benefits Authority ("RBA") and subject to the provisions of the Retirement Benefits Act, 1997. The Fund is governed by the Trust Deed and Rules set out in the Fourteenth Deed of Amendment dated 12 February 2010 ("Rules").

Membership data

The membership data used for the valuation is summarised in the table below:

	Category	Number	Annual Salary / Pension Shs'millions
Defined Benefit			
Active members		6	22
Deferred pensioners		936	78
Pensioners		1 508	541

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

32. Retirement benefit asset (continued)

Summary of benefit and contribution structure

Eligibility	Existing Members who opt to remain Members of the Fund on the terms applying to DB Members.								
Final pensionable salary	(i) If the Member has been in service for 20 years or more as, the annual pensionable salary at the date of leaving. (ii) If the Member has been in service for less than 20 years, the average annual salary paid to the member during the last five years of service.								
Normal retirement age	Males 60 Females 55 (60 for some females)								
Service	Continuous service with Bank or with Barclays Bank DCO or Barclays Bank International Limited, immediately prior to the establishment of Barclay's Bank of Kenya Limited. For those employees who joined the Fund aged 17 or less, service will count from the member's 17th birthday.								
Normal retirement and late retirement pension	If service is 20 years or more then 1/720 of Final Pensionable Salary for each month of service to 31 December 2009. Thereafter, benefits accrue at a rate of 1/960 per month. If service is lower than 20 years 1/960 of Final Pensionable Salary for each month of service. This pension is reduced by an amount in respect of the social security pensions as described below and cannot exceed 2/3 of his or her pensionable salary at the date of retirement.								
Ill-health retirement*	Pension based on potential service to Normal Retirement Age and Final Pensionable Salary at the date of ill-health retirement. This pension will be paid only if service is 5 years or more.								
Retirement due to unsatisfactory service	Deferred pension payable from the later of the date the Member attains age 50 or retires from Service.								
Commutation	Up to ¼ of pension (calculated on the advice of the Actuary).								
Death in service	Lump sum equal to three year's annual pensionable salary, if the member has been in service for more than five years, otherwise ¼ of the member's rate of Pensionable Salary at the date of death.								
Death in deferment	Lump sum equal to five times deferred pension amount.								
Death after retirement	Lump sum equal to the remaining pension payable within 5 years of retirement age.								
Withdrawal	Deferred Pension payable at Normal Retirement Age calculated as follows: <table> <tr> <th>Service</th><th>Fraction of Pensionable Salary for each month of service to 31 December 2009</th></tr> <tr> <td>Less than 20 years</td><td>1/960</td></tr> <tr> <td>20 to 30 years</td><td>1/840</td></tr> <tr> <td>30 years and over</td><td>1/720</td></tr> </table> Benefits accrue at a rate of 1/960 per month for service post 1 January 2010. In no case shall a deferred pension exceed the amount which could have been paid to the Member if he or she had stayed in service until Normal Retirement Age. This pension is reduced by an amount in respect of the social security pensions as described below and cannot exceed 2/3 of his or her pensionable salary at the date of retirement. A cash lump sum** equal to 1/3 of the deferred pension may be taken prior to normal retirement age, with a reduced pension being payable from normal retirement age.	Service	Fraction of Pensionable Salary for each month of service to 31 December 2009	Less than 20 years	1/960	20 to 30 years	1/840	30 years and over	1/720
Service	Fraction of Pensionable Salary for each month of service to 31 December 2009								
Less than 20 years	1/960								
20 to 30 years	1/840								
30 years and over	1/720								
Pension increases	The Scheme Trustees may, with the consent of the Principal Employer, review pensions in payment and subject to there being sufficient funds for the purpose or the Employers paying a special additional contribution as determined by the Actuary, may increase such pensions.								
Contributions	Members are not required to contribute to the Fund, although they can elect to pay voluntary contributions. The Bank contributes to the Fund, the balance of the cost of providing the benefits.								

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

32. Retirement benefit asset (continued)

Government pensions

If a member has completed 40 years' service a deduction is made equal to ½ of any government pension payable to a single person (for members with less than 40 years' service a percentage of this pension is deducted). In addition, a deduction equal to the pension equivalent of any sum paid by the Bank to a DB member under any statutory enactment, order, directive, or under any agreement with a trade union or similar body.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	Valuation at 2016	2015
Discount rate	13.00%	15.00%
Expected rate of salary increase	9.50%	9.50%
Inflation	7.50%	7.50%
Mortality rate	13.00%	15.00%
Change in pensions	4.50%	4.50%

Amounts recognised in profit or loss in respect of these defined benefit plans are as follows:

	2016 Shs'millions	2015 Shs'millions
Current service cost	28	29
Net interest (expense)/income	(41)	(17)
	(13)	12

Amounts recognised in other comprehensive income in respect of these defined benefit plans are as follows:

	2016 Shs'millions	2015 Shs'millions
Actuarial loss/(gains)	545	(948)
Experience adjustment	(359)	370
Return on plan assets	199	339
Irrevocable (deficit)/surplus (effect of asset ceiling)	(156)	160
	229	(79)

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

The plan assets comprise the following:

	2016 Shs'millions	%	2015 Shs'millions	%
Equity instruments	1 038	21	1 215	25
Debt instruments and fixed deposits	1 229	25	1 684	34
Investment property	1 976	41	1 889	39
Cash and cash instruments	602	13	100	2
	4 845	100	4 888	100

The amount included in the statement of financial position arising from the Bank's obligation in respect of its defined benefit plans is as follows:

	2016 Shs'millions	2015 Shs'millions
Present value of funded defined benefit obligation	(4 776)	(4 472)
Fair value of plan assets	4 845	4 888
Restrictions on asset recognised	(4)	(160)
Net asset arising from defined benefit obligation	65	256

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

32. Retirement benefit asset (continued)

Movements in the present value of the defined benefit obligation in the current year were as follows:

	2016 Shs'millions	2015 Shs'millions
Opening defined benefit obligation	(4 472)	(5 040)
Current service cost	(28)	(29)
Interest expense	(622)	(567)
Actuarial (loss)/gain	(545)	947
Experience adjustment	359	(370)
Net actuarial gain	(186)	577
Benefits paid	532	587
Closing defined benefit obligation	(4 776)	(4 472)

Movements in the present value of the plan assets in the current year were as follows:

Opening fair value of plan assets	4 888	5 129
Return on plan assets (in excess of interest)	(199)	(339)
Interest income	687	584
Contributions from the employer	2	101
Benefits paid	(533)	(587)
Closing fair value of plan assets	4 845	4 888

Cash-flows

The cash-flows in the current and expected in the next valuation period are shown below:

	2017 Next valuation (expected) Shs'millions	2016 Current valuation (expected) Shs'millions
Company contributions - normal	2	2
Company contributions - expenses	29	-
Pension payments	581	479
Other benefit payments	10	33
Expense payments	21	20

Sensitivity analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

	Basis Shs'000	Discount rate -1.00% Shs'000	Discount rate +0.50% Shs'000	Inflation 0.50% Shs'000	PA(90) - 1 year Shs'000
2016					
Active members	81 614	93 281	76 509	87 502	83 332
Deferred members	522 732	574 945	499 468	551 133	532 237
Pensions in payment	4 171 491	4 433 179	4 051 436	4 318 827	4 276 029
Total liability	4 775 837	5 101 405	4 627 413	4 957 462	4 891 598
Gross service cost (excluding interest)	23 527	23 820	23 398	23 872	23 525

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

32. Retirement benefit asset (continued)

Sensitivity analysis (continued)

	Basis	Discount rate	Discount rate	Inflation	PA(90)
	Shs'000	-1.00%	+0.50%	0.50%	- 1 year
2015	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Active members	79 965	89 478	75 758	84 880	81 327
Deferred members	458 682	501 069	439 665	482 277	465 378
Pensions in payment	3 933 300	4 159 932	3 828 806	4 064 028	4 017 474
Total liability	4 471 947	4 750 479	4 344 229	4 631 185	4 564 179
Gross service cost (excluding interest)	24 072	24 391	23 932	24 334	24 056

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the retirement benefit obligation to significant actuarial assumptions the same method (present value of the obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

The weighted average duration of the defined benefit obligation is 50 years. The figure is not very sensitive to the precise time horizon given the high net discount rate.

33. Share capital

The authorised share capital of Barclays Bank of Kenya Limited is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares with a par value of Shs 0.50 each.

	2016	2015
	Shs'millions	Shs'millions
Authorised and issued share capital		
5 432 (2015: 5 432) million shares	2 716	2 716
	2 716	2 716

34. Reserves

34.1 Regulatory reserve

The regulatory reserve represents an appropriation from retained earnings to comply with the prudential guidelines of the Central Bank of Kenya on loan loss provisions. The balance represents the excess of impairment provisions determined in accordance with the prudential guidelines over the impairment provisions recognised in accordance with the International Financial Reporting Standards. The reserve is non-distributable.

34.2 Available-for-sale reserve

The available-for-sale reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the instrument is derecognised or impaired, in which case the cumulative amount recognised in other comprehensive income is released to profit or loss.

34.3 Share-based payment reserve

The Bank's senior management participate in the following Barclays group share based payment arrangement:

(a) Barclays Africa Group Limited Long-Term Incentive Plan

The Long-Term Incentive Plan (LTIP) is an equity-settled share-based payment arrangement. Qualifying participants are entitled to Barclays Africa Group Limited ordinary shares either by way of a share award or a cash award that must be used to purchase Barclays Africa Group Limited ordinary shares. The award will be issued by the employing entity or subsidiary in the Group. In order for the participant to be entitled to these awards, the participant needs to render three years of service and meet requisite performance conditions.

(b) Barclays Africa Group Limited Joiners Share Value Plan

The Joiners Share Value Plan (JSVP) enables the Group to attract and motivate new employees by buying out the "in the money" portion of a participant's shares or options under their previous employers' share scheme by offering the employees Barclays Africa Group Limited awards. There is no consideration payable for the grant of an award and the vesting of the award is not subject to performance conditions. Dividends accumulate and are reinvested over the vesting period, which can be over one to five years.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

34.3 Share-based payment reserve (continued)

(c) Barclays Africa Group Limited Share Value Plan

The Share Value Plan (SVP) awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest in equal tranches after one, two and three years, with each tranche subject to its own independent non-market-related performance condition on vesting. The Group retains the obligation to settle in cash, certain historic SVP awards that were not converted to equity-awards in 2015. The amount that is paid to the cash-settled participants is equal to the market value of a number of Barclays Africa Group Limited ordinary shares, as determined on the vesting date, to the extent that the non-market-related conditions attached to the awards are met. On vesting, equity-settled participants are awarded Barclays Africa Group Limited ordinary shares in settlement of their awards. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the period.

(d) Barclays Africa Limited Retention Share Value Plan

The Share Value Retention Plan (SVP Cliff) awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest after three years, subject to their own independent non-market related performance condition on vesting. The Group retains the obligation to settle in cash, certain historic SVP Cliff awards that were not converted to equity-awards in 2015. The amount that is paid to the cash-settled participants is equal to the market value of a number of Barclays Africa Group Limited's ordinary shares, as determined on the vesting date, to the extent that the non-market related conditions attached to the awards are met. On vesting, equity-settled participants are awarded Barclays Africa Group Limited ordinary shares in settlement of their awards. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the vesting period.

(e) Deferred cash

Barclays Africa Group Limited Cash Value Plan

The Cash Value Plan ("CVP") is a deferred cash settled payment arrangement. The award will vest in three equal tranches over a period of three years, subject to the Rules which includes a ten percent service credit for the third anniversary of the CVP award date. The service credit for awards granted in 2016 is 10% (2015: 10%) of the initial value of the award that vests.

The movement in share based payment reserve was as follows:

	GROUP and BANK	
	2016 Shs'millions	2015 Shs'millions
At start of year	223	170
Granted in the year	70	83
Forfeited options	(1)	(9)
Options exercised	(7)	(21)
At end of year	285	223

35. Cash used in operations

	GROUP		BANK	
	2016 Shs'millions	2015 Shs'millions	2016 Shs'millions	2015 Shs'millions
Profit before income tax	10 852	12 074	10 439	12 074
Adjustments for:				
Interest paid	3 205	4 215	3 205	4 215
Interest received	(24 586)	(23 452)	(24 586)	(23 452)
Gain on disposal of property and equipment	2	-	2	-
Impairment loss recognised (Note 10)	3 927	1 766	3 927	1 766
Depreciation	665	487	665	487
Amortisation-intangible assets	527	567	526	567
Amortisation prepaid operating lease rentals	1	1	1	1
Other non cash movements	178	(165)	219	(165)
Cash used in operations before working capital changes	(5 229)	(4 507)	(5 602)	(4 507)

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

35. Cash used in operations (continued)

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Changes in working capital				
Increase in other assets and prepaid expenses	(1 304)	(2 250)	(1 304)	(2 250)
Increase in other liabilities and accrued expenses	2 386	552	2 347	552
Increase in loans and advances to customers	(26 599)	(21 722)	(26 599)	(21 722)
(Increase) / decrease in AFS securities maturing after 90 days	(5 685)	4 682	(5 685)	4 682
Increase in CBK cash reserve requirement	(688)	(767)	(688)	(767)
(Increase) / decrease in financial assets at FVTPL	(5 100)	3 888	(5 100)	3 888
Increase in customer deposits	13 097	585	13 090	585
Total changes in working capital	(23 893)	(15 032)	(23 939)	(15 032)
Cash used in operations	(29 122)	(19 539)	(29 541)	(19 539)

36. Taxation paid

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Tax receivable at start of year	134	396	134	396
Current income tax expense	(3 792)	(3 613)	(3 662)	(3 613)
Reclassification to non-tax items	(24)	-	(24)	-
Tax payable/(receivable) at end of the year	504	(134)	374	(134)
	(3 178)	(3 351)	(3 178)	(3 351)

37. Dividends paid

	2016	2015
	Shs'millions	Shs'millions
Dividends payable at start of the year (2015 final proposed)	4 345	5 432
Interim dividend paid	1 086	1 086
Proposed final dividend	4 345	4 345
Dividends payable at end of year	(4 345)	(4 345)
	5 431	6 518

38. Cash and cash equivalents

For the purposes of the statement of cash flow, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition as follows:

	GROUP		BANK	
	2016	2015	2016	2015
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
Cash in hand	5 033	6 126	5 033	6 126
Non-cash reserve ratio balances with CBK	(1 008)	3 330	(1 024)	3 330
Available- for- sale securities maturing within ninety days	4 877	8 368	4 877	8 368
Items in the course of collection from banks	792	791	792	791
Due from group companies	5 971	13 951	5 568	13 951
Deposit and balances due from banking institutions	219	253	219	253
Items in the course of collection to banks	(1 813)	(1 936)	(1 813)	(1 936)
Due to group companies	(19 736)	(22 684)	(19 736)	(22 684)
Deposits and balances due to banking institutions	(3 264)	(187)	(3 264)	(187)
	(8 929)	8 012	(9 348)	8 012

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the Bank's day-to-day activities.

The amount is determined as percentage of the average outstanding customer deposits over a cash reserve cycle period of one month. At the end of year, the cash reserve ratio was 5.25% (2015: 5.25%).

39 Risk management

39.1 Risk management objectives

Effective risk management and control are essential for sustainable and profitable growth

The role of risk management is to evaluate, respond to and monitor risks (the ERM process) that arise in the execution of the strategy to become the 'Go-To' bank. It is essential that business growth plans are properly supported by an effective risk management infrastructure. Risk culture is closely aligned to that of the business, whilst retaining independence in analysis and objective decision-making. The Group's business involves taking on risks in a targeted manner and managing them professionally.

The core functions of the Groups' risk management are to identify all key risks for the Group, measure these risks, manage the risk positions and determine capital allocations. The Group regularly reviews its risk management policies and systems to reflect changes in markets, products and best market practice.

The main sources of financial risk that the Group faces arise from financial instruments, which are fundamental to the Group's business, and constitute the core of its operations.

Financial instruments create, modify or reduce the liquidity, credit, market and operational risks of the Group's statement of financial position and constitute the most significant sources of risk. Consequently, the Group devotes considerable resources to maintain effective controls to manage, measure and mitigate each of these risks and regularly reviews its risk management procedures and systems to ensure that they continue to meet the needs of business. This note presents information about the Group's exposure to each of the above risks, and the Group's objectives, policies and processes for measuring and managing risk.

The Bank has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes. At a strategic level, our risk management objectives are to:

- › Identify the Bank's significant risks;
- › Formulate the Bank's risk appetite and ensure that business profile and plans are consistent with it;
- › Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- › Ensure that business growth plans are properly supported by effective risk infrastructure;
- › Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and
- › Help executives improve the control and co-ordination of risk taking across the business.

The Group's approach is to provide direction on:

- › understanding the principal risks to achieving Group strategy;
- › establishing risk appetite; and
- › establishing and communicating the risk management framework.

The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below). The Bank's aim is to achieve an appropriate balance between risk and return and minimise potential adverse effects on the Bank's financial performance. The Bank defines risk as the possibility of losses or profits foregone, which may be caused by internal or external factors.

Steps	Activity
Identify	› Establish the process for identifying and understanding business-level risks
Assess	› Agree and implement measurement and reporting standards and Methodologies.
Control	› Establish key control processes and practices, including limit structures, Impairment allowance. › Criteria and reporting requirements › Monitor the operation of the controls and adherence to risk direction and limits › Provide early warning of control or appetite breaches › Ensure that risk management practices and conditions are appropriate for the business environment
Report	› Interpret and report on risk exposures, concentrations and risk-taking outcomes › Interpret and report on sensitivities and key risk indicators › Communicate with external parties

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.1 Risk management objectives (continued)

Steps	Activity
Manage and challenge	➤ Review and challenge all aspects of the Bank's risk profile ➤ Assess new risk-return opportunities ➤ Advise on optimising the Bank's risk profile ➤ Review and challenge risk management practices

Risk responsibilities

The Group achieves its risk management objectives by keeping risk management at the centre of the executive agenda and building a culture that combines risk management with everyday business decision-making. The risks arising from financial instruments to which the Bank is exposed are:

Financial risks

- (a) Credit risk;
- (b) Liquidity risk;
- (c) Market risk

On a day-to-day basis risks are managed through a number of management committees. Through this process the Bank monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date.

The Board approves risk appetite and the Board Audit and Risk Committee (BARC) monitors the Bank's risk profile against this appetite. In more detail:

- The BARC has responsibility for ensuring effective risk management and control.
- Business Heads are responsible for the identification and management of risk in their businesses.
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.
- The ALCO is tasked with managing financial risk, specifically liquidity, interest rates, market risk, capital management and balance sheet structure.

The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

39.2 Credit risk

Credit risk is the risk of suffering financial loss should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group. The credit risk that the Group faces arises mainly from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts entered into with our clients. Other sources of credit risk arise from trading activities, including debt securities; settlement balances with market counterparties, Available-for-sale assets and reverse repurchase loans. Credit risk furthermore arises from the granting of financial guarantees or making loan commitments.

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations; - monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

The Group manages credit risk by:

- Defining clear risk appetite thresholds and triggers, using applicable stress test measures.
- Ensuring maximum exposure guidelines are in place relating to the exposures to any individual customer or counterparty.
- Controlling concentrations of credit risk wherever they are identified in particular, to individual counterparties and groups of borrowers, countries, and to industry segments.
- Clearly understanding the target market.
- Establishing risk acceptance criteria.
- Undertaking sound credit origination, monitoring and account management.
- Ensuring appropriate risk infrastructure and controls.

39. Risk management (continued)

39.2 Credit risk (continued)

The Bank establishes, through charges against profit, impairment allowances and other credit provisions for the incurred loss inherent in the lending book. Under IFRS, impairment allowances are recognised where there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition, and where these events have had an impact on the estimated future cash flows of the financial asset or portfolio of financial assets. Impairment of loans and receivables is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. If the carrying amount is less than the discounted cash flows, then no further allowance is necessary.

The Group has an established governance process with respect to its approach to credit risk and any resultant impairment of loans and advances. The governance process includes the existence of Retail and Wholesale Credit Risk Technical Committees, whose remit includes:

- › the development, implementation and evaluation of risk and impairment models;
- › periodic assessment (at least annually) of the accuracy of the models against actual results; and
- › approval of new models or changes to models, in line with the model validation framework.

The Group uses statistical modelling techniques throughout its business in its credit rating systems. These systems assist the Group in front line credit decisions on new commitments and in managing portfolios of existing exposures. They enable the application of consistent risk measurement across all credit exposures, retail and corporate.

The principal objective of credit measurement is to produce the most accurate possible quantitative assessment of credit risk to which the Group is exposed from the level of individual facilities up to the total portfolio level. Integral to this is the calculation of internal ratings that is used in numerous aspects of credit risk management. The key building blocks in the measurement system are:

1. *Probability of Default (PD)*

PD measures the likelihood of a customer defaulting on its obligations within the next 12 months and is a primary component of the internal risk rating for customers. The Group assesses the PD of individual counterparties using internal rating tools tailored to the various categories of counterparty. They have been developed internally and combine statistical analysis with credit officer judgement, in line with group policy. The rating methods are subject to annual validation and recalibration so that they reflect the latest projection in the light of the actually observed defaults.

2. *Exposure at default (EAD)*

EAD represents the expected level of utilization of the credit facility when default occurs. At default the customer may not have drawn the loan fully or may already have repaid some of the principal, so that exposure is typically less than the approved loan limit. For example, for a loan, the EAD is the face value. For a commitment, the Group includes any amount already drawn, plus the further amount that may be drawn at the time of default, should it occur.

3. *Loss given default (LGD)*

LGD represents the Group's expectation of the extent of loss on a claim should default occur. The severity of the loss is measured as a percentage of the EAD. For derivative instruments, EAD is the estimated costs of replacing contracts with a positive value if counterparties should fail to perform their obligations. LGD typically varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. Impairment allowances are measured individually for assets that are individually significant, and collectively where a portfolio comprises homogenous assets and where appropriate statistical techniques are available. In terms of individual assessment, the principal trigger point for impairment is the missing of a contractual payment which is evidence that an account is exhibiting serious financial problems, and where any further deterioration is likely to lead to failure. Two key inputs to the cash flow calculation are the valuation of all security and collateral, as well as the timing of all asset realisations, after allowing for all attendant costs. This method applies mainly in the corporate portfolios.

For collective assessment, the principal trigger point for impairment is the missing of a contractual payment which is the policy consistently adopted across all credit cards, unsecured loans, mortgages and most other retail lending. The calculation methodology relies on the historical experience of pools of similar assets; hence the impairment allowance is collective. The impairment calculation is based on a roll-rate approach, where the percentage of assets that move from the initial delinquency to default is derived from statistical probabilities based on historical experience. Recovery amounts and contractual interest rates are calculated using a weighted average for the relevant portfolio. This method applies mainly to the Group's retail portfolios and is consistent with Barclay's policy of raising an allowance as soon as impairment is identified. The impairment allowance in the retail portfolios is mainly assessed on a collective basis and is based on the drawn balances adjusted to take into account the likelihood of the customer defaulting at a particular point in time (PD) and the amount estimated as not recoverable (LGD).

39 Risk management (continued)

39.2 Credit risk (continued)

The basic calculation is:

Impairment allowance = Total exposure x Probability of Default (PD) x Loss Given Default (LGD)

Impairment in the wholesale portfolios is generally calculated by valuing each impaired asset on a case by case basis, i.e. on an individual assessment basis. A relatively small amount of wholesale impairment relates to unidentified or collective impairment; in such cases impairment is calculated using modelled PD x LGD x EAD (Exposure at default) adjusted for an emergence period.

Unidentified impairment allowances are also raised to cover losses which are judged to be incurred but not yet specifically identified in customer exposures at the balance sheet date, and which, therefore, have not been specifically reported.

The incurred but not yet reported calculation is based on the asset's probability of moving from the performing portfolio to being specifically identified as impaired within the given emergence period and then on to default within a specified period. This is calculated on the present value of estimated future cash flows discounted at the financial asset's original effective interest rate.

The emergence periods vary across businesses and are based on actual experience and are reviewed on an annual basis. This methodology ensures that the Group captures the loss incurred at the correct balance sheet date. These impairment allowances are reviewed and adjusted at least quarterly by an appropriate charge or release of the stock of impairment allowances based on statistical analysis and management judgement.

Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or banks of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary.

Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default. Some other specific control and mitigation measures are outlined below:

Collateral

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed.

Before attaching value to collateral, business holding approved collateral must ensure that they are legally perfected devoid of any encumbrances. Security structures and legal covenants are subject to regular review, at least annually, to ensure that they remain fit for purpose and remain consistent with accepted local market practice.

The principal collateral types held by the Group for loans and advances are:

- › Mortgages over residential properties.
- › Charges over business assets such as premises, inventory and accounts receivable.
- › Charges over financial instruments such as debt securities and equities.

Valuation of collateral taken will be within agreed parameters and will be conservative in value. The valuation is performed only on origination or in the course of enforcement actions. Within the corporate sectors, collateral for impaired loans including guarantees and insurance is reviewed regularly and at least annually to ensure that it is still enforceable and that the impairment allowance remains appropriate given the current valuation.

39 Risk management (continued)

39.2 Credit risk (continued)

The Group will consider all relevant factors, including local market conditions and practices, before any collateral is realized.

Please note the following default grade definitions used in the credit risk analysis below:

- (a) DG 1 – 11: assets falling within these DG buckets are regarded as ‘investment grade’ and, when converted to a rating agency equivalent, correspond to a BB rating and better.
- (b) DG 12 – 19: financial assets in these grades typically require more detailed management attention where clear evidence of financial deterioration or weakness exists. Assets in this category, although currently protected, are potentially weaker credits. These assets contain some credit deficiencies.
- (c) DG 20 – 21: the PD of financial assets in these grades have deteriorated to such an extent that they are included for regular review. Assets so classified must have well defined weaknesses that exacerbate the PD. These assets are characterised by the distinct possibility that the borrower will default, and should the collateral pledged be insufficient to cover the asset, the Group will sustain some loss when default occurs.

The table below references the internal credit risk ratings to observable external ratings.

Barclays Bank Rating	Description of the Grade	External Rating S&P equivalent
DG 1 – 11	Investment Grade	AAA, AA+, AA-, A+, A -
DG 12 – 19	Standard Monitoring	BBB+, BBB, BBB-, BB+, BB, BB-, B+, B, B-
DG 20 – 21	Special Monitoring	CCC to C

The following table represents the credit risk exposure to the Group at 31 December 2016 and 2015, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out below are based on net carrying amounts as reported in the statement of financial position.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.2 Credit risk (continued)

31 December 2016	Gross maximum exposure	Neither past due nor impaired			Impaired	Impairment allowance		Total carrying value	Credit risk mitigation				Net credit exposure
		DG 1 – 11	DG 12 – 19	DG 20 – 21		Identified	Unidentified		Cash	Physical	Letter of credit	Other	
Balances with Central Bank of Kenya	8 345	8 345	-	-	-	-	-	8 345	-	-	-	-	8 345
Items in course of collection	792	792	-	-	-	-	-	792	-	-	-	-	792
Available for sale investments	48 699	48 699	-	-	-	-	-	48 699	-	-	-	-	48 699
Loans and advances to banks	219	219	-	-	-	-	-	219	-	-	-	-	219
Financial assets designated at FVTPL	7 345	7 345	-	-	-	-	-	7 345	-	-	-	-	7 345
Balances due from group companies	5 971	5 971	-	-	-	-	-	5 971	-	-	-	-	5 971
Loans and advances to customers	175 676	91 393	75 719	996	7 568	(5 968)	(1 198)	168 510	(55 073)	(29 038)	(1 792)	(134 424)	(51 817)
Total credit risk exposure	247 047	162 764	75 719	996	7 568	(5 968)	(1 198)	239 881	(55 073)	(29 038)	(1 792)	(134 424)	19 554

31 December 2015	Gross maximum exposure	Neither past due nor impaired			Impaired	Impairment allowance		Total carrying value	Credit risk mitigation				Net credit exposure
		DG 1 – 11	DG 12 – 19	DG 20 – 21		Identified	Unidentified		Cash	Physical	Letter of credit	Other	
Balances with Central Bank of Kenya	12 054	12 054	-	-	-	-	-	12 054	-	-	-	-	12 054
Items in course of collection	791	791	-	-	-	-	-	791	-	-	-	-	791
Available- for- sale investments	45 347	45 347	-	-	-	-	-	45 347	-	-	-	-	45 347
Loans and advances to banks	253	253	-	-	-	-	-	253	-	-	-	-	253
Financial assets designated at FVTPL	2 161	2 161	-	-	-	-	-	2 161	-	-	-	-	2 161
Balances due from group companies	13 951	13 951	-	-	-	-	-	13 951	-	-	-	-	13 951
Loans and advances to customers	150 293	8 4 121	61 142	323	4 707	(3 926)	(529)	145 838	(12 455)	(16 809)	(12 058)	(23 205)	81 311
Total credit risk exposure	224 850	158 617	61 142	323	4 707	(3 926)	(529)	220 395	(12 455)	(16 809)	(12 058)	(37 156)	155 868

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.2 Credit risk (continued)

Maximum credit risk	2016 Shs'millions	2015 Shs'millions
Deposits and balances due from banking institutions	219	253
Loans and advances to customers	168 510	145 838
Cash balances at Central Bank of Kenya	8 345	12 054
Financial assets designated at fair value through profit or loss	7 345	2 161
Loans and advances to group companies	5 971	13 951
Financial assets available-for-sale	48 699	45 347
Items in course of collection	792	791
	239 881	220 395

Credit exposures relating to off-statement of financial position items

For financial guarantees, the maximum exposure to credit risk is the maximum amount the Group would have to pay if the guarantee was called upon. For loan commitments and other credit-related commitments that are irrevocable over the life of the respective facilities, the maximum exposure to credit risk is the full amount of the committed facilities.

	2016 Shs'millions	2015 Shs'millions
Capital commitments (Note 44.1) – Forwards, swaps and spots	12 554	23 118
Capital commitments (Note 44.1) – Undrawn overdraft facilities	9 982	8 444
Acceptance letters of credit (note 44.2)	5 130	7 568
Guarantee and performance bonds (note 44.2)	14 166	17 342
	41 832	56 472

Concentration of credit risk exists when a number of counterparties are located in a geographical region, however all credit risk for Barclays Bank of Kenya is concentrated in Rest of Africa (Kenya).

Write-off policy

After an advance has been identified as impaired and is subject to an impairment allowance, the stage may be reached whereby it is concluded that there is no realistic prospect of further recovery. Write off will occur when, and to the extent that, the whole or part of a debt is considered irrecoverable. The timing and extent of write offs may involve some element of subjective judgement. Nevertheless, a write off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value to the carrying value of the original secured asset. Assets that are determined better to be sold are immediately transferred to inventory at their fair value at the repossession date in line with the Group's policy.

Such assets are only written off once all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off are written back and hence decrease the amount of the reported loan impairment charge in the profit or loss.

39.3 Market risk

Market risk is the risk that the Group's earnings, capital or business objectives will be adversely impacted by changes in the level or volatility of market rates or prices such as interest rates, foreign exchange rates, equity prices, commodity prices and credit spreads and comprises:

Traded market risk

The risk of the Group being impacted by changes in the level or volatility of positions in its trading books, primarily in the Investment Bank.

Non-traded market risk

The risk of the Group being unable to hedge the interest rate risk in the banking book, primarily in retail, business banking and corporate portfolios.

Traded market risk arises primarily as a result of client facilitation in wholesale markets. This involves market making, risk management solutions and execution of syndications. Mismatches between client transactions and hedges result in market risk. Trading risk is measured for the trading book, as defined for regulatory purposes and certain banking books. Interest rate risk in the banking book is subjected to the same rigorous measurement and control standards as in the trading book, but the associated sensitivities are reported separately as "interest rate risk in the banking book".

39. Risk management (continued)

39.3 Market risk (continued)

Non-traded market risk: The risk of the Bank being exposed to interest rate risk arising from loans, deposits and similar instruments held for longer term strategic purposes rather than for the purpose of profiting from changes in interest rates. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Bank's held-to-maturity and available-for-sale financial assets.

Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

Furthermore it includes the protection and enhancement of the statement of financial position and statement of comprehensive income and facilitating business growth within a controlled and transparent risk management framework.

(a) Value at risk

The Bank applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for the Bank, which are monitored on a daily basis by Bank Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Bank's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by Bank Treasury. Average daily VAR for the Bank was Shs 1.9 million (2015: Shs 3.4 million).

(b) Stress tests

The Bank applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

39.4 Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.4 Interest rate risk (continued)

The table below summarises the exposure to interest rate risks. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are millions of Shillings.

At 31 December 2016	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non – interest bearing	Total
Cash and balances with Central Bank of Kenya	-	-	-	-	13 378	13 378
Financial assets at fair value through profit or loss	-	-	7 345	-	-	7 345
Financial assets available-for-sale	-	6 797	7 820	34 082	-	48 699
Deposits and balances due from banking institutions	219	-	-	-	-	219
Due from group companies	5 971	-	-	-	-	5 971
Loans and advances to customers	22 679	4 844	19 474	121 513	-	168 510
Other assets and prepaid expenses	-	-	-	-	10 160	10 160
Property and equipment	-	-	-	-	3 081	3 081
Intangible assets	-	-	-	-	1 592	1 592
Current income tax	-	-	-	-	24	24
Deferred income tax	-	-	-	-	619	619
Retirement benefit asset	-	-	-	-	65	65
Prepaid operating lease rentals	-	-	-	-	55	55
Total assets	28 869	11 641	34 639	155 595	28 974	259 718
Deposits and balances due to banking institutions	3 264	-	-	-	-	3 264
Items in the course of collection due to other banks	1 813	-	-	-	-	1 813
Due to group companies	19 736	-	-	-	-	19 736
Customer deposits	143 616	21 698	12 327	539	-	178 180
Borrowings	-	5 159	-	-	-	5 159
Other liabilities and accrued expenses	-	-	-	-	9 109	9 109
Derivative financial liabilities	69	-	-	-	-	69
Shareholders' equity	-	-	-	-	42 388	42 388
Total liabilities and equity	168 498	26 857	12 327	539	51 497	259 718
Interest sensitivity gap	(139 629)	(15 216)	22 312	155 056	(22 523)	-

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.4 Interest rate risk (continued)

At 31 December 2015	Up to 1 month	1-3 months	3-12 months	Over 1 year	Non –interest bearing	Total
Cash and balances with Central Bank of Kenya	-	-	-	-	18 180	18 180
Financial assets at fair value through profit or loss	-	-	-	2 245	-	2 245
Financial assets available-for-sale	2 598	6 094	16 216	20 439	-	45 347
Deposits and balances due from banking institutions	253	-	-	-	-	253
Due from group companies	13 951	-	-	-	-	13 951
Loans and advances to customers	33 493	22 213	42 304	47 828	-	145 838
Other assets and prepaid expenses	-	-	-	-	8 830	8 830
Property and equipment	-	-	-	-	3 258	3 258
Intangible assets	-	-	-	-	2 054	2 054
Current income tax	-	-	-	-	134	134
Deferred income tax	-	-	-	-	475	475
Retirement benefit asset	-	-	-	-	256	256
Prepaid operating lease rentals	-	-	-	-	56	56
Total assets	50 295	28 307	58 520	70 512	33 243	240 877
Deposits and balances due to banking institutions	187	-	-	-	-	187
Items in the course of collection due to other banks	1 937	-	-	-	-	1 937
Due to group companies	-	-	-	-	22 684	22 684
Customer deposits	50 510	13 088	22 719	78 766	-	165 083
Borrowings	-	5 133	-	-	-	5 133
Other liabilities and accrued expenses	-	-	-	-	6 084	6 084
Derivative financial liabilities	53	-	-	-	-	53
Shareholders' equity	-	-	-	-	39 716	39 716
Total liabilities and equity	52 687	18 221	22 719	78 766	68 484	240 877
Interest sensitivity gap	(2 392)	10 086	35 801	(8 254)	(35 241)	-

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.4 Interest rate risk (continued)

The sensitivity analyses below have been determined based on the exposure to interest rates for both derivative and non-derivative instruments at the end of the reporting period. For floating rate liabilities, the analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

Interest rate sensitivity analysis

	1% Increase in interest rate 2016 Shs'millions	1% Decrease in interest rates 2016 Shs'millions	1% Increase in interest rate 2015 Shs'millions	1% Decrease in interest rates 2015 Shs'millions
Changes in interest				
Increase/(decrease) in interest received	2 308	(2 308)	2 076	(2 076)
Increase/(decrease) in interest paid	(1 884)	1 884	(1 724)	1 724
Increase/(decrease) in profit before income tax	424	(424)	352	(352)
Increase/(decrease) in income tax	(127)	127	(106)	106
Increase/(decrease) in profit before tax	297	(297)	246	(246)

As at 31 December 2016 if interest rates were to increase / decrease by 1%, with all other variables remaining constant, the after tax profit would have been Shs 297 million (2015: Shs 246 million) higher / lower with other components of equity remaining the same.

39.5 Foreign currency risk

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarises the Bank's exposure to foreign exchange risk at 31 December 2015. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenyan Shillings):

The carrying amounts of the company's foreign currency denominated monetary assets and monetary liabilities at the end of the year are as follows:

	Assets Shs'millions	Liabilities Shs'millions
2016		
USD	38 718	(36 290)
GBP	1 504	(1 851)
Euro	5 374	(4 283)
Other	1 933	(2 050)
	47 529	(44 474)
2015		
USD	36 466	(36 012)
GBP	1 611	(1 543)
Euro	4 940	(5 183)
Other	673	(650)
	43 690	(43 388)

Foreign currency sensitivity analysis

The following table details the Bank's sensitivity to a 10% increase and decrease in the Kenyan Shilling against the relevant foreign currencies. 10% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end of a 10% change in foreign currency rates. The sensitivity analysis includes external loans as well as loans to foreign operations within the Group where the denomination of the loan is in a currency other than the currency of the lender or the borrower. A positive number below indicates an increase in profit and other equity where the Shilling strengthens 10% against the relevant currency. For a 10% weakening of the Shilling against the relevant currency there would be a comparable impact on the profit and other equity and the balance below would be negative.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.5 Foreign currency sensitivity (continued)

	2016 Profit or loss Shs'millions	2015 Profit or loss Shs'millions
Assets		
USD	3 872	3 646
GBP	150	161
Euro	537	494
Other	193	67
Liabilities		
USD	(3 629)	(3 601)
GBP	(185)	(154)
Euro	(428)	(518)
Other	(205)	(65)
	305	30
Income tax effect at 30%	(91)	(9)
After profit tax effects	214	21

At 31 December 2016 if the Shilling had weakened / strengthened by 10% against the major trading currencies listed above, with all other variables remaining constant, the after tax profit would have been Shs 214 million (2015: Shs 21 million) lower/higher net of tax.

39.6 Liquidity risk

Confidence in an organization, and hence liquidity, can be affected by a range of institution specific and market-wide events including, amongst others, market rumours, credit events, payment system disruptions, systemic shocks, and even natural disasters

The definition of liquidity risk is the risk that the Bank is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs. This risk is inherent in all banking operations and can be affected by a range of Bank-specific and market-wide events which can result in: – an inability to support normal business activity; and – a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Bank's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Bank. In illiquid markets, the Bank may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Bank's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Bank in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- To maintain market confidence in the Bank's name;
- To set limits to control liquidity risk within and across lines of business;
- To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;
- To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- To maintain a contingency funding plan ("CFP") that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

39. Risk management (continued)

39.6 Liquidity risk (continued)

Liquidity risk management process

The Bank's liquidity management process, as carried out within the Bank and monitored by a separate team in Bank Treasury, includes:

Liquidity stress testing; ▶ Liquidity planning (funding plans, contingency funding plans, recovery and resolution planning); ▶ Reporting and behavioural balance sheet analysis; ▶ Funds transfer pricing; and ▶ Defined management actions to mitigate risk.

Stress and scenario testing:

Under the Liquidity Risk Framework, the Group has established the Liquidity Risk Appetite ("LRA"), which is the level of liquidity risk the Group chooses to take in pursuit of its business objectives and in meeting its regulatory obligations.

It is measured with reference to anticipated stressed net contractual and contingent outflows for a variety of stress scenarios and is used to size the liquidity pool. Stress testing is undertaken to assess and plan for the impact of various scenarios which may put the Group's liquidity at risk. Stress tests consider both institution-specific and market-wide scenarios separately and on a combined basis. Treasury develops and monitors stress tests on the Group's projected cash flows.

These stress scenarios include the Group's specific scenarios such as unexpected operational problems and external sources such as country crises, payment system disruption and macroeconomic shocks. Stress testing also allows the Group to identify appropriate responses to crises, setting liquidity limits, sources of stress funding and liquidity buffers as well as formulating a funding strategy designed to minimise liquidity risk. The results of the stress tests are therefore used to develop the CFP (Contingency Funding Plan) and are taken into account when setting limits for the management of liquidity risk and the business planning process.

The Group maintains a range of early warning indicators ("EWIs"). These assist in informing management on deciding whether the CFP should be invoked. Each operation must adopt and conform to the Company CFP and establish local processes and procedures for managing local liquidity stresses that are consistent with the Group's level plan. The CFPs set out the specific requirements to be undertaken locally in a crisis situation. This could include monetising the liquidity pool, slowing the extension of credit, increasing the tenor of funding and securitising or selling assets.

The Group CFP is regularly tested and updated so as to ensure that it is operationally robust. Diversification Sources of liquidity are regularly reviewed by a separate team within Treasury to maintain a wide diversification by provider, product and term. In addition, to avoid reliance on a particular group of customers or market sectors the distribution of sources and the maturity profile of deposits are also carefully managed. Important factors in assuring liquidity are strength of relationships and the maintenance of depositors' confidence. Such confidence is based on the Group's reputation and relationship with those clients, the strength of earnings and the Group's financial position.

Assets held for managing liquidity risk

The Group maintains a portfolio of highly marketable assets, which includes a diverse portfolio of cash and high quality liquid securities to support payment obligations and contingent funding in a stressed market environment. The Group's assets that may be held for managing liquidity risk may comprise cash deposits with the Central Bank/monetary authority and/or holdings of high quality eligible liquid assets, such as, for example, government bonds or other securities that would be readily acceptable in repurchase agreements.

Funds transfer pricing

Liquidity costs, benefits and risk should be clearly and transparently attributed to business lines and understood by business line management. The Group Treasury and ALCO is responsible for implementing a "funds transfer pricing" mechanism as a means of communicating and disseminating the cost of liquidity risk.

Group deploys liquidity risk funds transfer pricing processes as a means of controlling the behavioural profile of the Group's balance sheet. Funds transfer pricing incentivises business units to manage assets and liabilities in accordance with the Group liquidity risk appetite.

Structural liquidity

An important source of structural liquidity is provided by core deposits; mainly current accounts and savings accounts. Although current accounts are repayable on demand and savings accounts on short notice, the Group's broad base of customers numerically and by depositor type helps to protect against unexpected fluctuations. Such accounts form a stable funding base for the Group's operations and liquidity needs.

Sources of liquidity risk

Group has material liquidity risk exposure arising from the following sources:

Wholesale secured and unsecured funding risk

Wholesale funding providers are a key source of liquidity funding for the Group operations. A disruption to wholesale markets could impact

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.6 Liquidity risk (continued)

the Group's ability to effectively fund certain business activities.

Retail funding risk

Most retail loans and advances are funded by customer deposits. A material loss of retail deposit funding could arise through a lack of confidence in the Group name or credit worthiness; and could impact the Group's ability to effectively fund retail banking operations.

Contingent liquidity risks

The Group could experience material cash outflows arising from contingent events such as rating downgrade triggers, off balance sheet transactions, drawdowns of unused credit facilities and the early termination of derivative transactions.

Concentration risk

Concentrations in the sources of funding utilized by the Group can give rise to liquidity risk if access to any of these sources is disrupted.

Other funding source represent risk to the Group when these sources are subject to material counterparties, markets, currencies, tenors or instrument types.

The table below represents the undiscounted cash flows payable by the Bank under non – derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

	Undiscounted maturity				Discounted maturity	
	On demand Shs'millions	Within 1 year Shs'millions	1 – 5 years Shs'millions	More than 5 years Shs'millions	Total Shs'millions	Total Shs'millions
2016						
Non- Derivative Financial Assets						
Cash and balances with Central Bank of Kenya	13 378	-	-	-	13 378	13 378
Financial assets at fair value through profit or loss	-	8 152	-	-	8 152	7 345
Financial assets available-for-sale	-	16 224	48 947	-	65 171	48 699
Deposits and balances due from banking institutions	219	-	-	-	219	219
Due from group companies	5 971	-	-	-	5 971	5 971
Loans and advances to customers	13 465	37 219	139 433	66 127	256 244	168 510
Non- Derivative Financial Assets	33 033	61 595	188 380	66 127	349 135	244 122
Non-Derivative Financial Liabilities						
Amounts owing to related parties	19 736	-	-	-	19 736	19 736
Customer deposits	106 660	78 429	1 232	-	186 321	178 180
Deposits and balances due to banking institutions	3 264	-	-	-	3 264	3 264
Other liabilities and accrued expenses	6 530	4 425	-	13 886	24 841	15 646
	136 190	82 854	1 232	13 886	234 162	216 826
Non-Derivative Financial Liabilities					714	504
Total liabilities					234 876	217 330

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.6 Liquidity risk (continued)

	Undiscounted maturity				Discounted maturity	
	On demand Shs'millions	Within 1 year Shs'millions	1 – 5 years Shs'millions	More than 5 years Shs'millions	Total Shs'millions	Total Shs'millions
2015						
Non- Derivative Financial Assets						
Cash and balances with Central Bank of Kenya	18 180	-	-	-	18 180	18 180
Financial assets at fair value through profit or loss	-	2 354	-	-	2 354	2 161
Financial assets available-for-sale	-	26 429	31 587	-	58 016	45 347
Deposits and balances due from banking institutions	253	-	-	-	253	253
Due from group companies	13 951	-	-	-	13 951	13 951
Loans and advances to customers	15 067	30 199	126 905	39 409	211 580	145 838
Total undiscounted assets	47 451	58 982	158 492	39 409	304 334	225 730
Non-Derivative Financial Liabilities						
Amounts owing to related parties	22 684	-	-	-	22 684	22 684
Customer deposits	100 970	69 045	1 027	-	171 042	165 083
Deposits and balances due to banking institutions	187	-	-	-	187	187
Other liabilities and accrued expenses	1 335	7 340	-	15 597	24 272	13 165
Non-Derivative Financial Liabilities	125 176	76 385	1 027	15 597	218 185	201 119

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.6 Liquidity risk (continued)

The Group's expected cash flows on some financial assets and financial liabilities vary significantly from the contractual cash flows. The principal differences are as follows:

- demand deposits from customers are expected to remain stable or increase;
- unrecognised loan commitments are not all expected to be drawn down immediately

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents, and other financial securities, which can be readily sold to meet liquidity requirements

	On demand Shs'millions	Within 1 year Shs'millions	1 – 5 years Shs'millions	Total Shs'millions
2016				
Cash and balances with Central Bank of Kenya	13 378	-	-	13 378
Financial assets available-for-sale	-	14 617	34 082	48 699
Assets held for managing liquidity	13 378	14 617	34 082	62 077

2015				
Cash and balances with Central Bank of Kenya	18 180	-	-	18 180
Financial assets available-for-sale	-	23 812	21 535	45 347
Assets held for managing liquidity	18 180	23 812	21 535	63 527

Derivative liabilities

The table below analyses the Bank's derivative financial instruments that are settled on a gross basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. Contractual maturities are assessed to be essential for an understanding of the timing of the cash flows on all derivatives. The amounts disclosed in the table are the contractual undiscounted cash flows.

31 December 2016	Notional amount	On demand	Within 1 year	More than 5 years
Derivative liabilities held for trading	(61)	-	-	-
Outflow	-	(61)	-	-
Inflow	-	-	-	-
	(61)	(61)	-	-

31 December 2015				
Derivative liabilities held for trading	(60)	-	-	-
Outflow	-	(60)	-	-
Inflow	-	-	-	-
	(60)	(60)	-	-

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.7 Capital risk management

Capital risk is the risk that the Bank is unable to maintain adequate levels of capital which could lead to an inability to:

- (i) support business activity;
- (ii) a failure to meet regulatory requirements; and
- (iii) changes to credit ratings, which could also result in increased costs or reduced capacity to raise funding.

Our objectives are achieved through well embedded capital management practices:

Primary Objectives and Core Practices are:

- › Provide a viable and sustainable business offering by maintaining adequate capital to cover the Bank's current and forecast business needs and associated risks
- › Monitor internal targets for capital demand and ratios
- › Meet minimum regulatory requirements
- › Ensure the Bank maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions
- › Perform internal and regulatory stress tests
- › Maintain capital buffers over regulatory minimum
- › Develop contingency plans for severe (stress management actions) Support the Bank's growth and strategic options
- › Maintain a capital plan on a short-term and medium term basis aligned with strategic objectives

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Barclays operates.

Capital planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles. The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs. Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

Regulatory Capital

The Bank maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Bank's regulatory capital is managed by its Treasury and comprises two tiers:

(i) Tier 1 capital:

- › share capital
- › Retained earnings, excluding unrealised gains arising on the fair valuation of Available- for- sale investments

(ii) Tier 2 capital:

- › Statutory reserve
- › Medium term note
- › Subordinated loan capital

Capital adequacy ratios

	Regulatory minimum	As at 31 Dec 2016	As at 31 Dec 2015
Tier 1	10.5%	15.7%	15.7%
Total capital	14.5%	17.9%	18.4%

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

39. Risk management (continued)

39.7 Capital risk management

Capital adequacy ratios (continued)	Regulatory minimum Shs'millions	As at 31 Dec 2016 Shs'millions	As at 31 Dec 2015 Shs'millions
Tier 1 capital	1 000	37 617	35 183
Ordinary share capital		2 716	2 716
Retained earnings		34 901	32 467
Tier 2 capital		5 128	6 060
Subordinated debt		5 128	5 133
Qualifying portion of regulatory reserve		-	927
Total regulatory capital	1 000	42 745	41 243
Total risk weighted assets		239 299	224 121
Total shareholders' equity / capital resources		42 095	39 716
Core capital / total deposit liabilities	8.0%	21.1%	21.4%
	Regulatory minimum	As at 31 Dec 2016	As at 31 Dec 2015
Liquidity ratio	20.0%	28.3%	34.1%

40. Fair value hierarchy of assets and liabilities held at fair value

40.1 Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable.

Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfer between levels of fair value hierarchy is recognised by the Bank at the end of the reporting period during which the change occurred.

Process of determination and use of estimates, assumptions and judgements

Loans and advances

The fair value of loans and advances to banks and customers is determined by discounting contractual cash flows. Discount factors are determined using the relevant forward base rates (as at valuation date) plus the originally priced spread. Where a significant change in credit risk has occurred, an updated spread is used to reflect valuation date pricing. Behavioural cash flow profiles, instead of contractual cash flow profiles, are used to determine expected cash flows where contractual cash flow profiles would provide an inaccurate fair value.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

40. Fair value hierarchy of assets and liabilities held at fair value (continued)

40.1 Fair value hierarchy (continued)

Deposits, debt securities in issue and borrowed funds

Deposits, debt securities in issue and borrowed funds are valued using discounted cash flow models, applying rates currently offered for issuances with similar characteristics. Where these instruments include embedded derivatives, the embedded derivative component is valued using the methodology for derivatives.

The fair value adjustments on amortised cost financial liabilities held in a fair value hedging relationship are taken through profit and loss in the statement of comprehensive income.

The fair value of amortised cost deposits repayable on demand is considered to be equal to their carrying value. For other financial liabilities at amortised cost the disclosed fair value approximates the carrying value because the instruments are short-term in nature or have interest rates that reprice frequently.

2016	Level 1 Shs'millions	Level 2 Shs'millions	Level 3 Shs'millions	Total Shs'millions
Recurring fair value measurements				
Financial Assets				
Fair value through profit or loss - Held for trading				
Government Securities	-	7 345	-	7 345
Derivative financial assets	-	26	-	26
Retirement benefit asset	-	65	-	65
Financial Liabilities				
Fair value through profit or loss - Held for trading				
Derivative financial liabilities	-	(69)	-	(69)
	-	7 367	-	7 367
Available- for- sale				
Government Securities	-	48 699	-	48 699
	-	48 699	-	48 699

2015

Recurring fair value measurements

Financial Assets				
Fair value through profit or loss - Held for trading				
Government Securities	-	2 161	-	2 161
Derivative financial assets	-	84	-	84
Retirement benefit asset	-	256	-	256
Financial Liabilities				
Fair value through profit or loss - Held for trading				
Derivative financial liabilities	-	(42)	-	(42)
	-	2 459	-	2 459
Available- for- sale				
Debt investments	-	45 347	-	45 347
	-	45 347	-	45 347

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

40. Fair value hierarchy of assets and liabilities held at fair value (continued)

40.2 Assets and liabilities not held at fair value

The following table summarises the carrying amounts and fair value of those assets and liabilities not held at fair value.

The carrying amount of assets and liabilities held at amortised costs is considered to approximate the fair value of the assets and liabilities.

2016	Carrying value Shs'millions	Fair value Shs'millions	Level 1 Shs'millions	Level 2 Shs'millions	Level 3 Shs'millions
Assets at amortised cost					
Cash and cash equivalents	13 378	13 378	13 378	-	-
Deposits and balances due from banking institutions	219	219	-	-	219
Due from group companies	5 971	5 971	-	-	5 971
Loans and advances to customers	168 510	168 510	-	-	168 510
	188 078	188 078	13 378	-	174 700
Liabilities at amortised cost					
Deposits and balances due to banking institutions	3 264	3 264	-	-	3 264
Due to group companies	19 736	19 736	-	-	19 736
Customer deposits	178 180	178 180	-	-	178 180
Borrowings	5 159	5 159	-	-	5 159
	206 339	206 339	-	-	206 339

2015	Carrying value Shs'millions	Fair value Shs'millions	Level 1 Shs'millions	Level 2 Shs'millions	Level 3 Shs'millions
Assets at amortised cost					
Cash and cash equivalents	18 180	18 180	18 180	-	-
Deposits and balances due from banking institutions	253	253	-	-	253
Due from group companies	13 951	13 951	-	-	13 951
Loans and advances to customers	145 838	145 838	-	-	145 838
	178 222	178 222	18 180	-	160 042
Liabilities at amortised cost					
Deposits and balances due to banking institutions	187	187	-	-	187
Due to group companies	22 684	22 684	-	-	22 684
Customer deposits	165 083	165 083	-	-	165 083
Borrowings	5 133	5 133	-	-	5 133
	193 087	193 087	-	-	193 087

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

40. Fair value hierarchy of assets and liabilities held at fair value (continued)

40.3 Valuation techniques for the level 2 fair value measurement of assets and liabilities held at fair value

The table below sets out information about the valuation techniques applied at the end of the reporting period in measuring assets and liabilities whose fair value is categorised as Level 2 in the fair value hierarchy. A description of the nature of the techniques used to calculate valuations based on observable inputs and valuations is set out in the table below:

Category of asset/liability	Valuation technique applied	Significant observable inputs
Government debt instruments	Discounted cashflow valuation technique	Quoted yields and 30bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment
Foreign exchange derivatives	Discounted cashflow valuation technique	Spot price, interest rate and/or volatility

40.4 Valuation techniques for the levels 1, 2 or 3 fair value measurement of assets and liabilities held at amortised cost

For assets or liabilities held at amortised cost and disclosed in levels 1, 2 or 3 of the fair value hierarchy, the discounted cash flow valuation technique is used. Interest rates and money market curves are considered unobservable inputs for items which mature after five years. However, if the items mature in less than five years, these inputs are considered observable

41. Operating segments

41.1 Statement of financial position

The Group has two main business segments:

Consumer banking – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and

Corporate banking – the business model centres on delivering specialist investment banking, financing, risk management and advisory solutions across asset classes to corporates, financial institutions and government clients.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis. There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated statement of profit or loss. Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses. The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

41. Operating segments (continued)

41.1 Statement of financial position (continued)

2016

	Corporate Banking Shs'millions	Consumer Banking Shs'millions	Total Shs'millions
Assets			
Loans and advances to customers	65 092	103 418	168 510
Other assets	64 415	26 793	91 208
	129 507	130 211	259 718
Liabilities			
Customer accounts	27 385	150 795	178 180
Trade and other payables	28 689	10 461	39 150
	56 074	161 256	217 330

2015

Assets			
Loans and advances to customers	48 727	97 111	145 838
Other assets	44 936	50 103	95 039
	93 663	147 214	240 877
Liabilities			
Customer accounts	24 716	140 367	165 083
Trade and other payables	28 004	8 074	36 078
	52 720	148 441	201 161

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

41. Operating segments (continued)

41.1 Statement of comprehensive income

2016	Corporate Banking Shs'millions	Consumer Banking Shs'millions	Total Shs'millions
Interest income	8 963	34 304	43 267
Interest expense	(4 694)	(16 239)	(20 933)
Net interest income	4 269	18 065	22 334
Fee and commission income	711	5 719	6 430
Fee and commission expense	(79)	(581)	(660)
Net fee and commission income	632	5 138	5 770
Net trading income	1 580	1 040	2 620
Other income	951	8	959
Total income	7 432	24 251	31 683
Credit impairment charge and other provisions	(93)	(3 834)	(3,927)
Net operating income	7 339	20 417	27 756
Depreciation and amortisation	-	(1 192)	(1 192)
Administrative expenses	(2 527)	(13 185)	(15 712)
Total operating expenses	(2 527)	(14 377)	(16 904)
Profit before income tax	4 812	6 040	10 852
Income tax expense	(1 531)	(1 922)	(3 453)
Profit for the year tax	3 281	4 118	7 399

2015			
Interest income	7 541	30 932	38 473
Interest expense	(3 998)	(14 064)	(18 062)
Net interest income	3 543	16 868	20 411
Fee and commission income	657	6 952	7 609
Fee and commission expense	(95)	(864)	(959)
Net fee and commission income	562	6 088	6 650
Net trading income	1 603	884	2 487
Other income	(353)	267	(86)
Total income	5 355	24 107	29 462
Credit impairment charge and other provisions	(329)	(1 437)	(1 766)
Net operating income	5 026	22 670	27 696
Depreciation and amortisation	-	(1 054)	(1 054)
Administrative expenses	(2 167)	(12 401)	(14 568)
Total operating expenses	(2 167)	(13 455)	(15 622)
Profit before income tax	2 859	9 215	12 074
Income tax expense	(870)	(2 803)	(3 673)
Profit for the year tax	1 989	6 412	8 401

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

42. Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount reported in the statement of financial position (SOF) where the Bank has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The Bank has also entered into arrangements that do not meet the criteria for offsetting but still allow for the related amounts to be set off in certain circumstances, such as bankruptcy or the termination of a contract.

The following table presents the recognised financial instruments that are offset, or subject to enforceable master netting arrangements and other similar agreements but not offset, as at 31 December 2016 and 31 December 2015. The column 'net amount' shows the impact on the Bank's statement of financial position if all set-off rights were exercised. There were no gross amounts set off in the statement of financial position at 31 December 2016 (2015: nil).

	Effects of offsetting in the SOFP	Related amounts not offset		Net amount
	Amounts presented in the SOFP	Amounts subject to master netting agreement	Financial instrument collateral	
	Shs'millions	Shs'millions	Shs'millions	Shs'millions
2016				
Financial assets				
Cash and balances with Central Bank of Kenya	13 378	-	-	13 378
Financial assets at fair value through profit or loss	7 345	-	-	7 345
Derivative financial assets	26	-	-	26
Financial assets available-for-sale	48 699	-	-	48 699
Deposits and balances due from banking institutions	219	-	-	219
Due from group companies	5 971	(5 971)	-	-
Loans and advances to customers	168 510	-	(55 073)	113 437
Items in the course of collection from banks	792	(792)	-	-
	244 940	(6 763)	(55 073)	183 104
Liabilities				
Derivative financial liabilities	69	-	-	69
Deposits and balances due to banking institutions	3 264	-	-	3 264
Due to group companies	19 736	(5 971)	-	13 765
Customer deposits	178 180	-	(55 073)	123 107
Borrowings	5 159	-	-	5 159
Items in the course of collection to banks	1 813	(792)	-	1 021
	208 221	(6 763)	(55 073)	146 385

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

42. Offsetting financial assets and financial liabilities (continued)

2015	Effects of offsetting in the SOPF	Related amounts not offset		
	Amounts presented in the SOPF Shs'millions	Amounts subject to master netting agreement Shs'millions	Financial instrument collateral Shs'millions	Net amount Shs'millions
Financial assets				
Cash and balances with Central Bank of Kenya	18 180	-	-	18 180
Financial assets at fair value through profit or loss	2 245	-	-	2 245
Financial assets available-for-sale	45 347	-	-	45 347
Deposits and balances due from banking institutions	253	-	-	253
Due from group companies	13 951	(13 951)	-	-
Loans and advances to customers	145 838	-	(12 455)	133 383
Items in the course of collection from banks	791	(791)	-	-
	226 605	(14 742)	(12 455)	199 408
Financial Liabilities				
Financial liabilities at fair value through profit or loss	42	-	-	42
Deposits and balances due to banking institutions	187	-	-	187
Due to group companies	22 684	(13 951)	-	8 733
Customer deposits	165 358	-	(12 455)	152 903
Borrowings	5 133	-	-	5 133
Items in the course of collection to banks	1 937	(791)	-	1 146
	195 341	(14 742)	(12 455)	168 144

Master netting arrangements

Under the terms of these arrangements, only where certain credit events occur (such as default), the net position owing/receivable to a single counterparty in the same currency will be taken as owing and all the relevant arrangements terminated. As the Bank does not presently have a legally enforceable right of set-off, these amounts have not been offset in the statement of financial position, but have been presented separately in the table above.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

43. Related Parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

Barclays Bank Kenya is a subsidiary of Barclays Africa Group Limited, which is listed on the Johannesburg Stock Exchange.

The ultimate parent of the Group is Barclays PLC incorporated in the United Kingdom. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

2016

	Interest received Shs'millions	Interest paid Shs'millions	Recharges Shs'millions
Barclays Bank PLC	-	6	-
Barclays Africa Group Limited	37	374	864
Other Group companies	3	5	(49)
	40	385	815

2015

Barclays Bank PLC	14	374	455
Barclays Africa Group Limited	-	-	355
	14	374	810

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market.

The weighted average effective interest rate at 31 December 2016 on amounts due from group companies was 0.6% (2015:0.2%) and on amounts due to group companies was 2.2% (2015: 2.5%).

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

The value of the services provided has been debited to the profit or loss and is included in total expenditure of the Group.

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Barclays Bank of Kenya Limited. The Funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Funds by virtue of shareholding. There was no transaction with the Barclays Bank of Kenya Limited Staff Pension Fund during the year

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

43. Related Parties (continued)

The transactions were at similar terms and conditions to those offered to other customers.

GROUP

2016	Due from Shs'millions	Due to Shs'millions
Barclays Bank PLC	797	(1 937)
Barclays Africa Group Limited	5 144	(17 770)
Other Group companies	30	(29)
	5 971	(19 736)

2015		
Barclays Bank PLC	8 696	(1 960)
Barclays Africa Group Limited	5 222	(20 693)
Other Group companies	33	(31)
	13 951	(22 684)

BANK

2016	Due from Shs'millions	Due to Shs'millions
Barclays Bank PLC	797	(1 937)
Barclays Africa Group Limited	5 144	(17 770)
Other Group companies	(373)	(29)
	5 568	(19 736)

2015		
Barclays Bank PLC	8 696	(1 960)
Barclays Africa Group Limited	5 222	(20 693)
Other Group companies	33	(36)
	13 951	(22 689)

At 31 December 2016 advances to directors or companies controlled by directors or their families amounted to Shs 47 million (2015: Shs 49 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features. No allowances for impairment were recognised in respect of loans to Directors. (2015: Nil).

During the year, the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2016 balances relating to directors deposits amounted to Shs 162 million (2015: Shs 71 million).

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

43. Related Parties (continued)

	Short-term employee benefits Shs'millions	Share and cash value plans Shs'millions	Total Shs'millions
2016			
Senior Management	306	43	349
Executive Directors	84	37	121
	390	80	470
2015			
Senior Management	298	26	324
Executive Directors	81	27	108
	379	53	432

	2016 Shs'millions	2015 Shs'millions
The compensation paid to directors was in respect of:		
Services rendered as directors of the Bank	23	22
	23	22

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

44. Capital commitments and contingencies

44.1 Capital commitments

44.1 Capital commitments	GROUP and BANK	
	2016 Shs'millions	2015 Shs'millions
Forwards, swaps and spots	12 554	23 118
Undrawn overdraft facilities	9 982	8 444
	22 536	31 562
44.2 Contingent liabilities		
Acceptances and letters of credit	5 130	7 568
Guarantee and performance bonds	14 166	17 342
Undrawn overdraft facilities	9 982	8 444
	29 278	33 354

Pledged assets in amounted to Shs 1250 million (2015: Shs 1250 million). The class of asset pledged in both years was a bond issue. The purpose of the pledge was to create an ILF with the Central Bank of Kenya.

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the Bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The Group will only be required to meet these obligations in the event of the customers' default. At year end, the Bank has obtained undertakings from Barclays PLC in respect of bonds, guarantees and indemnities facility and letters of credit of Shs 6,898 million (2015: Shs 4,986 million).

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The Bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

44.3 Operating lease contingent liabilities	2016 Shs'millions	2015 Shs'millions
Less than one year	853	816
Between one and five years	1 849	1 914
More than five years	-	114
Total non-cancellable operating lease rentals	2 702	2 844

The Group leases a number of branch and office premises under operating lease rentals. Lease payments are escalated per individual contracts and are taken into consideration in the above analysis.

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

44. Capital commitments and contingencies (continued)

44.4 Contingent tax liabilities

The Bank has unresolved tax disputes with the Kenya Revenue Authority currently pending at the Court of Appeal. Based on professional advice and the previous High Court rulings, the directors are of the opinion that no significant loss will arise from these matters.

45. Dividends per share

At the Annual General Meeting to be held on 28 April 2017, a final dividend in respect of the year ended 31 December 2016 of Shs 0.80 (2015: Shs 0.80) amounting to Shs 4,345 million (2015: Shs 4,345 million) will be proposed for approval. An interim dividend of Shs 0.20 (2015: Shs 0.20) was paid during the year amounting to Shs 1,086 million (2015: Shs 1,086 million). This will bring the total dividend for the year to Shs 1.00 (2015: Shs 1.00) per share amounting to Shs 5,432 million (2015: Shs 5,432 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10% for non-residents.

46. New accounting pronouncements

Adoption of new and revised Standards

During the current year, the Bank has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2016. The adoption of these new and revised standards and interpretations has not resulted in material changes to the Group's accounting policies.

The Bank adopted the following standards, interpretations and amended standards during the year:

IFRS 2	<i>Share-based payments</i> - Amendments to clarify the classification and measurement of share-based payment transactions.
IFRS 10	<i>Consolidated Financial Statements</i> - Clarifications to the requirements when accounting for investment entities. The amendments also provide relief in particular circumstances.
IFRS 11	<i>Joint arrangements</i> - Amendments regarding the accounting for acquisitions of an interest in a joint operation.
IAS 1	<i>Presentation of Financial Statements</i> - Amendments are designed to encourage entities to apply professional judgement in determining what information to disclose, as well as where and in what order information is presented in the financial disclosures provided in the financial statements.
IAS 16	<i>Property and Equipment</i> - Amendments regarding the clarification of acceptable methods of depreciation and amortization, and amendment to include bearer plants in the scope of IAS 16.
IAS 38	<i>Intangible Assets</i> - Amendments regarding the clarification of acceptable methods of depreciation and amortisation.
Annual improvements (2012- 2014 cycle)	
Non-urgent but necessary clarifications and amendments to the following standards of IFRS:	
IFRS 7	Financial Instruments: Disclosure
IAS 19	Employee Benefits

Notes to the consolidated annual financial statements (continued)

for the year ended 31 December 2016

46. New and revised International Financial Reporting Standards issued not yet effective

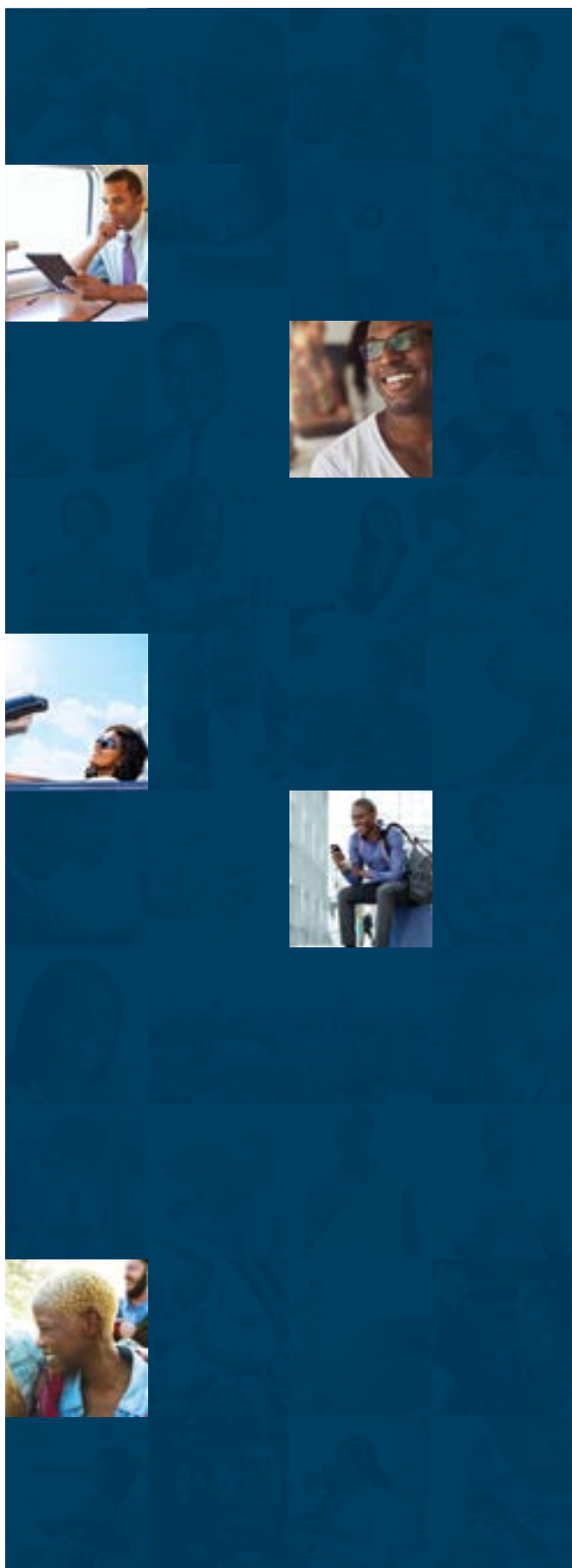
At the date of authorisation of these financial statements, the following standards and interpretations were in issue but not yet effective:

Standard		To be adopted annual periods beginning on or after
IAS 7	Statement of Cash Flows - Amendments as result of the Disclosure Initiative. Additional disclosures to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes.	1 January 2017
IAS 12	Income Taxes - Amendments regarding the recognition of deferred tax assets for unrealised losses.	1 January 2017
IFRS 9	Financial Instruments - A new accounting standard that represents a package of reforms to financial instrument accounting was issued in July 2014. IFRS 9 replaces the previous standard on financial instruments, IAS 39.	1 January 2018
	IFRS 9 will lead to significant changes in the accounting for financial instruments. The key changes relate to:	
	Financial assets: Financial assets will be measured at either fair value through profit or loss or amortised cost, except for debt instruments meeting specific criteria, which are required to be measured at fair value through other comprehensive income, or equity investments not held for trading, which may be measured at fair value through other comprehensive income;	
	Financial liabilities: The accounting for financial liabilities is largely unchanged, except for non-derivative financial liabilities designated at fair value through profit or loss. Gains and losses on such financial liabilities arising from own credit risk will be presented in other comprehensive income rather than in profit or loss;	
	Impairment: Credit losses expected at the reporting date (rather than only losses incurred in the year) on loans and advances, debt securities, loan commitments and financial guarantee contracts not held at fair value through profit or loss will be reflected in impairment allowances.	
IFRS 15	Revenue from Contracts with Customers - A new accounting standard that provides a single, principle based, five-step model to be applied to all contracts with customers. New disclosures about revenue are also introduced.	1 January 2018
IFRS 16	Leases - A new accounting standard that eliminates the classification of leases as either operating leases or finance leases for lessees and, instead, introduces a single accounting model, which recognises all leases on the statement of financial position.	1 January 2019

The Group is in the process of assessing the potential impact that the adoption of these standards and interpretations may have on its future financial performance or disclosures in the annual financial statements.

Shareholder Information

Notice of the Annual General Meeting	160
Notes	161
Proxy Form	162
Fomu ya Uwakilishi	163
Company Information	164



The ten largest shareholders in the Company (ordinary share only) and the respective number of shares held as at 31 December 2016 are as follows:	%
Barclays Africa Group Limited	68.50
Standard Chartered Nominees NON-RESA A/C KE8723	1.11
Standard Chartered Nominees RESA A/C KE11401	0.86
Kenya Commercial Bank Nominees Limited A/C 915B	0.77
Standard Chartered Nominees RESA A/C KE11450	0.70
Kenya Commercial Bank Nominees Limited A/C 915A	0.63
STANDARD CHARTERED NOMINEES LTD NON RESA A/C KE11663 FC	0.53
Standard Chartered Nominees A/C 9230	0.44
CFC Stanbic Nominees Ltd A/C NR1873738	0.42
The Jubilee Insurance Company of Kenya Limited	0.37
Other	25.67
	100.00

Shareholders as at 31 December 2016 were as follows:

Shares Range	Number of Shareholders	No. of Shares Held	% Holding
1-500	11 865	3 299 828	0.06
501-5 000	22 951	49 568 817	0.91
5 001-10 000	6 975	50 981 941	0.94
10 001-100 000	18 313	532 347 449	9.80
100 001-1 000 000	1 018	280 159 391	5.16
>1 000 000	164	4 515 178 574	83.13
	61 286	5 431 536 000	100.00

Notice of the Annual General Meeting

Notice is hereby given that the Thirty-Eighth Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held at the Barclays Sports Club, Ruaraka, Nairobi on Friday, April 28, 2017 at 10:00 a.m. to transact the following business:-

A. Ordinary Business

1. To confirm the Minutes of the Thirty-Seventh Annual General Meeting held on May 27, 2016.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31st December 2016 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:
 - a. In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, offer themselves for re-election:
 - i. Winnie Ouko
 - ii. Laila Macharia
 - b. In accordance with Article 101 of the Company's Articles of Association, the following Director is due for retirement this being the first Annual General Meeting to be held since his appointment as Director and being eligible, offers himself for re-election:
 - i. Charles Muchene
 - c. In accordance with the provisions of Section 769 of the Companies Act, 2015, the following Directors, being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said Committee:
 - i. Winnie Ouko (Chair)
 - ii. Ashok Shah
 - iii. Norah Odwesso
 - iv. Laila Macharia
5. To authorise the Board to fix the remuneration of the Directors.
6. To approve the appointment of KPMG Kenya as Auditors and to authorise the Board to fix the remuneration of the Auditors.
7. To transact any other business of the Company of which due notice has been received.

By order of the Board



Paul K. Ndungi
Company Secretary

April 5, 2017

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday April 26, 2017.

Note 2: Physical registration of members and proxies at the Annual General Meeting will commence at 8.00 a.m. on April 28, 2017. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process. Members can also pre-register themselves (or their proxies) at the online portal <http://sharehub.candrgroup.co.ke> between April 10, 2017 and April 26, 2017 after a verification process. To pre-register a proxy the member will be required to upload a signed proxy nomination form and a copy of the proxy's national ID card onto the said online portal. For online registration support please contact telephone number +254 020 2230518 between 8.00am and 5.00pm, Monday to Friday.

Note 3: In accordance with Article 133 of the Company's Articles of Association a full copy of the Annual Report and Financial Statements may be viewed on the Company's website www.barclays.co.ke. A printed copy may be requested from the Company's Share Registrar, Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi.

Notes

Proxy Form

Custody and Registrars Services Limited
Bruce House, 6th Floor, Standard Street
P. O Box 8484-00100, Nairobi

*I/We _____
_____ of _____
_____ being *a member/members of Barclays Bank of Kenya Limited, hereby appoint:

_____ of (address) _____

or failing *him/her _____

_____ of (address) _____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the thirty-eighth Annual General Meeting of the Company to be held on Friday, April 28, 2017 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this _____ day of _____ 2017.

Signature(s) _____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

*Delete whichever is not applicable.

NOTE 1. A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf. A proxy need not be a member of the Company.

NOTE 2. In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

NOTE 3. To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services Limited, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services Limited, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday, April 26, 2017. The duly completed form should be supported by a copy of the National ID of the member. Duly signed proxy forms and ID copies may also be emailed to proxy@candrgroup.co.ke in PDF format.

Fomu ya Uwakilishi

Company Information

Registered/Head Office

The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi

Company Secretary
Paul Ndungi
The West End Building
Waiyaki Way
P.O. Box 30120-00100
Nairobi
Tel: +254 20 4254000

Share Registrar
Custody & Registrars Services Limited
Bruce House, 6th Floor
Standard Street
P. O Box 8484-00100
Nairobi
Tel: +254 20 2230518

Auditor
PricewaterhouseCoopers
Certified Public Accountants
PwC Tower
Waiyaki way/Chiromo road
Westlands
P. O Box 43963-00100
Nairobi
Tel: +254 20 2855000

Advocates

Iseme Kamau & Maema Advocates
IKM Place, Tower A, 5th Floor
5th Ngong Avenue
Off Bishops Road
P.O. Box 11866-00400
Nairobi
Tel: +254-20- 2711021

Kaplan & Stratton
Advocates
Williamson House, 9th Floor
4th Ngong Avenue
P.O. Box 40111-00100
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Tel: +254 20 2841000

Mohammed Muigai Advocates
MM Chambers
K-Rep Centre, 4th Floor
Wood Avenue
Off Lenana Road
P.O. Box 61323-00200
Nairobi

Miller & Company Advocates
Bruce House, 13th Floor
Standard Street
P.O. Box 45707-00100
Nairobi
Tel: +254 20 2248461

Biashara sahii sahii

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